GREEN CLIMATE FUND

Meeting of the Board
23 – 26 October 2023
Tbilisi, Georgia
Provisional agenda item 12

GCF/B.37/02/Add.14

2 October 2023

Consideration of funding proposals – Addendum XIV

Funding proposal package for FP223

Summary

This addendum contains the following six parts:

a) A funding proposal summary titled "Project GAIA ("GAIA")" submitted by MUFG Bank, Ltd.;
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Independent Technical Advisory Panel's assessment;
e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
f) Gender documentation of the funding proposal.

These documents are presented as submitted by the accredited entity and the national designated authority(ies) or focal point(s), respectively. Pursuant to the Comprehensive Information Disclosure Policy of the Fund, the funding proposal titled "Project GAIA ("GAIA")" submitted by MUFG Bank, Ltd. is being circulated on a limited distribution basis only to Board Members and Alternate Board Members to ensure confidentiality of certain proprietary, legally privileged, or commercially sensitive information of the entity.

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Funding Proposal

Project/Programme title:	Project GAIA ("**GAIA**")
Country(ies):	**Africa:** Benin, Côte d'Ivoire, Ghana, Kenya, Mauritius, Morocco, Tanzania, Togo **Asia:** India, Indonesia, Mongolia, Philippines **Latin America and the Caribbean:** Barbados, Costa Rica, Dominican Republic, Guatemala, Jamaica, Panama, Peru
Accredited Entity:	MUFG Bank, Ltd. (MUFG)
Date of first submission:	2022/06/01
Date of current submission	2023/08/14
Version number	V.04

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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

PROJECT/PROGRAMME SUMMARY

A.1. Project or programme	Programme	**A.2. Public or private sector**	Private
A.3. Request for Proposals (RFP)	Not applicable		

A.4. Result area(s)			
		GCF contribution	**Co-financers' contribution**[1]
	Mitigation total	30 %	30 %
	☒ Energy generation and access	15 %	15 %
	☒ Low-emission transport	15%	15%
	☐ Buildings, cities, industries and appliances		
	☐ Forestry and land use		
	Adaptation total	70 %	70 %
	☐ Most vulnerable people and communities		
	☒ Health and well-being, and food and water security	20 %	20 %
	☒ Infrastructure and built environment	25 %	25 %
	☒ Ecosystems and ecosystem services	25 %	25 %

A.5. Expected mitigation outcome *(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)*	Average of 1,018,450 tCO2e annually (i.e., 30.55 M tCO2e over 30-year funded activity lifespan)	**A.6. Expected adaptation outcome** *(Core indicator 2: direct and indirect beneficiaries reached)*	*Indicate total number of direct and indirect beneficiaries*	
			Indicate number of direct beneficiaries 6.49 million	*Indicate number of indirect beneficiaries* 12.98 million[2]
			Indicate % of direct beneficiaries vis-à-vis total population ~ 0.30% of total population	*Indicate % of indirect beneficiaries vis-à-vis total population* ~0.61% of total population
A.7. Total financing (GCF + co-finance[3])	1,482,500,000 USD	**A.9. Project size**	Large (Over USD 250 million)	
A.8. Total GCF funding requested	[4]152,500,000 USD			

[1] Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e., GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

[2] The number of indirect programme beneficiaries is based on a 2:1 indirect/direct beneficiary ratio. The assumptions for this ratio are further outlined in Annex 24.

[3] Refer to the Policy of Co-financing of the GCF.

[4] USD150M is the amount to be destined to GAIA LP and used for underlying Loans, USD2.5M is for covering operational costs associated with the GCF GAIA Holdco SPV (as defined in Section A.20).

A.10. Financial instrument(s) requested for the GCF funding	☐ Grant Enter number ☐ Loan ☐ Guarantee Enter number ☒ Equity 152,500,000 USD ☐ Results-based payment Enter number		
A.11. Implementation period	The total implementation period is of 30 years comprised by the below: a) **Ramp-up Period:** 7.5 years. This is non-contractual and is based on the expected speed at which new loans can be originated and disbursed. b) **Revolving Investment Period**: Following the initial Ramp-up Period where GAIA will disburse the total facility amount (junior and senior loans), any loan amortisation will be reinvested by the platform to extend additional loans. On the 15th anniversary of the Fund, the revolving period will end and therefore GAIA will no longer extend new loans. c) **Portfolio Wind-down**: After the 15th year anniversary, the existing loan portfolio will amortize to maturity. The principal repayments will be used to repay senior investors and then the junior investors (according to the structural subordination). Since the longest potential maturity for an underlying loan is 15 years, this phase could take up to 15 additional years (assuming a 15 year loan has been made one day prior to the 15th year anniversary).	**A.12. Total lifespan**	30 years
A.13. Expected date of AE internal approval	*5/27/2022* *(Internal approval on submission of the Funding Proposal)*	**A.14. ESS category**	I-1
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☒	**A.18. Is this FP included in the country programme?**	Yes ☐ No ☒

A.19. Complementarity and coherence	Yes ☒ No ☐ The GAIA Platform provides opportunities for NOL countries to broaden the menu of climate finance tools available to them. GAIA's principal focus on adaptation investments, partnered towards this objective with many specialised local and regional partners, will be an important complement to the offerings of other climate finance providers and will significantly expand the availability of both implementation finance and technical assistance in the countries in which it will operate, as follows: • It will provide an incremental source of climate finance that countries will be able to use flexibly to finance their most pressing mitigation and adaptation priorities. • It will provide long-term debt finance in local and hard currency, without a mandatory requirement of a sovereign guarantee. • In countries with few or no GCF accredited entities that currently have the capacity to deliver projects at scale/within a high-risk, I-1 ESS category, GAIA closes these gaps in the international climate finance architecture. • It will offer targeted technical assistance (via a parallel Facility) to support borrowers through project development, structuring and financing, and construction stages, to ensure that they are able to realize the projects' impact potential and advance financial sustainability. • It will undertake appropriate knowledge generation and dissemination efforts, such as through aggregation of outputs and outcomes from financed projects and sharing lessons learned between GAIA borrowers and with relevant external audiences. • It will engage other funders and financiers in the projects it co-finances to align the structure with the need of the recipient. • It will also engage with a broad network of partners with specific sector or geographical expertise throughout the investment cycle. *Please see the full description of complementarity with related projects/interventions outlined in Section B.1.*
A.20. Executing Entity information	GAIA Climate Loan Fund Limited Partnership (GAIA LP, the Fund): a newly-created limited partnership registered in Luxembourg. This is the legal entity providing the financing to end borrowers/projects. The LP is registered, however, does not hold legal personality and it will act through the GP. GAIA's General Partner (GP) will act on behalf of the LP (e.g., executing loans; contracting services); the Investment Manager will act as the GP. The GP role will be performed by an entity set up and managed by the IM, and the shares of the GP entity will be held by the IM. Investment Manager: GAIA will be supported by an Investment Manager[5] that will act on project structuring, administration, implementation and monitoring. It will also ensure project compliance with GAIA's relevant policies and Organizational Documents (including but not limited to ESMS Framework, Procurement Policy etc),playing an important active role within the Governance Structure and , as such, will be an EE. Further details of the IM's specific responsibilities over the Funded Activity and implementation are detailed in the Operations Manual annex (Annex 21A). GCF GAIA Holdco SPV: A special purpose vehicle used for GCF's investment in GAIA to be established in Hong Kong SAR. GCF GAIA Holdco SPV Manager: Entity responsible for management of day to day administration of the SPV which could be the AE or a selected third party
A.21. Executive summary (max. 750 words, approximately 1.5 pages)	

[5] Global RFP being conducted. The selected Fund Manager will be announced by October 20th, 2023.

Climate Change Problem

The consequences of climate change are upon us, evident in rising sea levels, extreme weather events, acute temperature ranges and highly variable rainfall patterns. The dramatically increased incidence of major climate-related disasters, up 83 percent over the past twenty years compared to the 1980-1999 period (UNDRR Oct 2020), manifests itself in floods, droughts, heatwaves and violent maritime weather. The massive cost of these environmental threats to human life, community livelihoods, and interlinked productive systems will have a disproportionate impact on low income and low-middle income economies, and demands an immediate and ramped up response to these hazards and physical risks. Estimates of the annual cost of adaptation are between USD140B and USD300B by 2030, accelerating to requirements of up to USD500B per annum by 2050 (GCA 2018, UNEP 2019). Putting in place sustained funding for adaptation investments and resilience capacity in vulnerable societies, partnering public and private financing at a previously unrealised scale, is a core challenge of our age and the driving imperative behind the establishment of the GAIA Climate Loan Fund (GAIA).

Proposed Interventions

GAIA is a blended finance platform that enables deployment of long-term loans into climate adaptation and mitigation investments from sources previously not available to NOL countries, providing local authorities with new tools and partners to combat the impact of climate change. GAIA broadens the menu of options available to partner countries just as the urgency of intelligent response becomes more acute. In line with the urgent imperative evoked above, platform design privileges a focus on adaptation assets and programs (70% of portfolio expenditures) with a meaningful allocation to LDCs and SIDS (minimum 25% of portfolio expenditures). The selection of target Countries was initiated by an analysis of all Countries supported by the GCF (climate-impacted Global South Countries,) followed by further screening. The selected Countries were determined by also applying various factors (such as credit ratings, geographies, size, population) to ensure a diversified base that can support the impact goal of GAIA to catalyse low-carbon and climate-resilient development through its capital deployment.

Most of the countries targeted by GAIA fall within GCF's Priority Group Countries (Africa, LDCs, SIDS). GAIA will contribute to the range of climate resources and know-how available to vulnerable countries, helping to tackle the historically inadequate contribution of private sector partners to climate investments– less than 8% according to CPI (2022) and mostly focused to mitigation – through efficient leveraging of concessional capital to balance risk-return profiles associated with often unfamiliar sectors of intervention and, in many cases, less familiar jurisdictions for global institutional investors. The fundamental objective is to make available to partner countries a powerful new holistic instrument that brings together sophisticated climate specialists, backed by technical assistance, with substantive private sector experience and resources.

These financial and project realisation benefits are structured across the GAIA platform to be more sustainable and affordable than the private sector has previously been able to deliver. Local currency financing will be available to a great diversity of domestic public sector entities at longer tenors than usual, eliminating the volatility associated with hard currency financing and profiled to be more flexible and manageable.

GAIA will be a country-led platform to source, refine and originate climate investments through a formalised network of localised public and non-governmental institutions. Across the developing economies where it is in receipt of an NOL, the platform will lend to to quasi-sovereign and sub-sovereign borrowing partners. This decentralised approach to resilience financing will facilitate project scope, catchment and outcome definition, improvements in local capacity, and heightened awareness of public-private solutions for climate risk management that enable scale and diversification of risk. Providing long-term financing, available to borrowers in local or hard currency (achieved via innovative mechanisms embedded in the structure), the platform will introduce a flexible complement to other sources of climate finance at the country level. The platform's overarching ambition is to establish a scalable, replicable template that will advance a vital paradigm shift, unlocking private sector financial support for investments in climate-resilient infrastructure, ecosystems and health, agriculture and water systems in vulnerable jurisdictions.

Climate risks addressed by adaptation investments are cross-cutting and systemic in nature at the transaction and country-program level. In contrast to more well-established practices targeting the low-carbon transition, climate resilience risk management techniques, supported by evidence-based adaptation and resilience metrics and standards, is an emerging specialisation. GAIA will have to be responsive to evolving country requests aligned with their NDCs and NAPs across diverse sectors over its 30-year lifetime. For this reason, GAIA integrates impact outputs comprising multiple GCF Result Areas to facilitate holistic outcomes. These incorporate more familiar energy generation/access (MRA1) and low-emission transport (MRA2) segments which may also have resilience co-benefits, while privileging three adaptation results areas: health, well-being, food and water security (ARA2); infrastructure and the built environment (ARA3); and ecosystems and ecosystem services (ARA4).

In recognition of the challenge of bringing forward impactful projects in these new financing spaces, an Independent parallel Technical Assistance Facility will be established, financed by public sector, philanthropic sources and ongoing excess returns from the Fund (further detailed in Section B and Annex 3), complementary but aligned with and linked to GAIA's project identification, screening and origination processes. The associated institutional learning by local project proponents, promulgated to other jurisdictions and projects and underpineed by standardised contracting documents, will be an important feature of the platform's long-term impact.

Bringing together public, private and philanthropic partners, all of whom are investing their own funds, mobilised by the GCF's critical financial contribution, GAIA constitutes a USD1.48B platform to complement other global commitments and address the adaptation financing gap. GCF's investment of USD150M legitimizes the financing structure at the heart of the GAIA platform. GCF crowds in fellow concessional capital partners that constitute the subordinated foundation of the capital stack and makes possible the significant leverage provided by senior institutional and commercial investors. Overall concessional capital in GAIA mobilises approximately USD3.8 for every USD1 contributed, an efficiency far in excess of equivalent private sector mobilisation efforts by traditional multilateral development partners (ODI 2019). In other words, GCF's concessional investment achieves almost 9x leverage in the delivery of public-private financing for sustainability. This outcome would not be possible without the authority, climate orientation,and financing capacity of the GCF.

MUFG will act as the GCF Accredited Entity for the GAIA proposal in addition to the Executing Entities. GAIA's vision originates from a close partnership between MUFG, Canada's bilateral development bank, FinDev Canada; and Other Investors. In addition to the diversified pool of finance partners, GAIA counts with an ecosystem of supporting entities with geographical reach and technical expertise (e.g. UNDP; GGGI; UN IFAD) in adaptation and resilience to support the meaningful deployment of GAIA's capital.

In alignment with GCF's strategic priorities, these public-private-philanthropic collaborators bring deep experience in climate and social impact financing, comprising programmatic design, beneficiary and climate outcome metrics, and on-the-ground capacity building. These climate and social impact lenses define GAIA's core additionality, given scope and scale by the deep experience of its private, development and philanthropic sector partners. Alongside other climate finance providers, this holistic integrated platform scales up sustainable and flexible project support that countries can draw on in the planning, execution and advancement of their national climate resilience objectives.

Annex 2 has detailed information about the country context and national priorities that call for financing that can be delivered by a platform like GAIA.

PROJECT/**PROGRAMME INFORMATION**

B.1. Climate context (max. 1000 words, approximately 2 pages)

Climate Change Problem

Table 1 shows the climate-related natural hazards for countries having issued a NOL to GAIA per the World Bank Climate Risk Country Profiles[6]. The top three hazards for the target countries include drought, sea level rise/coastal erosion, and flood. The table also shows the per capita GHG emissions (in tCO2e). As can be seen in the penultimate column, there is a large disparity in per capita emissions within the portfolio. Finally, it also shows the Notre Dame Global Adaptation Initiative Index (ND-GAIN)[7], which is a summary of a country's vulnerability to climate change impacts and its capacity to improve its resilience and adapt to these impacts. Countries are given a combined score of vulnerability and adaptive capacity and ranked amongst nearly all sovereign nations (the index includes 182 countries). The rightmost column in the table below identifies the relative ND-GAIN score for the countries included in GAIA, with most countries ranked in the latter half of the Index (i.e., below at least 90 countries), signaling vulnerability and a lack of resilience capacity in the face of climate-related impacts.

Table 1: Climate-related Natural Hazards

CLIMATE RELATED NATURAL HAZARDS											GHG Emissions	ND-GAIN Ranking
Country	Drought	Flood	Sea Level Rise	Heatwaves	Cyclones	Precipitation Changes	Landslides	Wildfires	Increased Aridity	Dust Storms		
Barbados (SIDS)	•	•	•	•	•	•					4.46	44
Benin (LDC)	•	•	•	•		•	•	•			0.59	152
Costa Rica	•	•	•		•	•	•		•		1.62	61
Cote d'Ivoire	•	•	•	•		•	•	•			0.41	142
Dominican Republic (SIDS)	•	•	•	•		•					2.50	101
Ghana	•	•	•	•	•	•	•	•	•		0.64	111
Guatemala	•	•			•		•				1.16	119
India	•	•	•	•	•						1.78	111
Indonesia	•	•	•	•	•			•			2.30	100
Jamaica (SIDS)	•		•	•	•						2.98	84
Kenya	•	•	•			•	•	•	•		0.44	149
Mauritius (SIDS)	•	•	•	•	•						3.30	46
Mongolia	•	•		•					•	•	7.14	64
Morocco	•	•	•	•		•			•	•	1.97	66
Panama	•	•	•		•	•	•	•			3.15	81
Peru	•	•	•	•		•	•				1.73	86
Philippines	•	•	•	•	•		•				1.32	113
Togo (LDC)	•	•	•	•	•			•			0.21	145
Tanzania (LDC)	•		•	•		•					0.29	129
Total	15	13	13	12	9	9	7	5	4	2		

The most prevalent climate-related hazards within the GAIA portfolio are increased incidence of droughts, floods, sea level rise, and heatwaves, with drought being an important hazard to monitor as it is expected to impact each of the GAIA platform countries, as shown in Table 1. Impacts to water resource access and availability and other climate impacts are not isolated issues. The compounding effect of increased heat and drought will produce cascading economic effects to agricultural production and food security (i.e., crop production losses and high tree mortality), leading to additional social effects (i.e., increased food prices and reduced household incomes), and exacerbating existing gender and human health issues (i.e., malnutrition and climate related mortality).[8]

To mitigate these risks and impacts, significant investments in quality adaptation and mitigation projects are needed. The UN projects a financing gap of well over USD500B per year for climate projects in EMs over the next ten years[9]. The challenge is even more acute when considering the need for climate adaptation finance, where the annual funding level was USD46B versus the USD330B needed in 2020[10]. Public budgets across EMs remain insufficient to close the investment gap – a situation exacerbated by the COVID-19 pandemic – thus making the mobilization of private sector capital critical. With more than USD100T in assets under management globally, institutional investors make up only 0.67% in EM infrastructure finance[11]. In adaptation finance, the private sector's contribution was negligible with c.a. USD1B[12]. Limiting factors include the availability of investable projects, high risk-premiums, and challenging macro-economic factors, all leading to an unfavourable risk-return profile[13]. Despite

[6] *Climate Risk Country Profiles.* World Bank. 2021. https://climateknowledgeportal.worldbank.org/country-profiles
[7] *ND-GAIN Country Index.* University of Notre Dame. July 21. https://gain.nd.edu/our-work/country-index/
[8] For additional information please refer to Annex 2 of the Funding Proposal.
[9] Investor Leadership Network. *Review of Investing in Emerging and Frontier Economies.*
[10] Climate Policy Initiative. 2020. *Global Landscape of Climate Finance*. Climate Policy Initiative https://www.climatepolicyinitiative.org/wp-content/uploads/2021/10/Full-report-Global-Landscape-of-Climate-Finance-2021.pdf
[11] World Bank Group. 2018. *Contribution of Institutional Investors, Private Investment in Infrastructure* (2011-H1 2017). https://ppi.worldbank.org/content/dam/PPI/documents/PPI_InstitutionalInvestors_Update _2017.pdf
[12] Climate Policy Initiative. *Global Landscape of Climate Finance.*
[13] Investor Leadership Network. *Review of Investing in Emerging and Frontier Economies.*

these very real barriers, the WBG (2021) concludes it is "mission possible" to unlock private sector investment in adaptation and resilience, provided a well-crafted enabling environment is in place.

Socioeconomic Context

Table 2 provides a snapshot of the socioeconomic context within the target GAIA countries, including income level, GDP indicators, and indicators pertaining to the access of goods and services.

Table 2: Socioeconomic Context[14]

	Economic Context				*Access to Goods and Services*				
Country	**Income Level**	**GDP (Billions)**	**Debt to GDP ratio**	**Poverty Rate**	**Access to Electricity**	**Access to Healthcare**	**Access to Education**	**Food Security**	**Water Security**
Barbados	High-Income Economies ($13,205 or More)	$5	..	..	100	2.5	98.0	7.4	..
Benin	Lower-Middle Income Economies ($1,086 to $4,255)	$17	47.2	38.5	41	0.1	97.0	13.8	..
Costa Rica	Upper-Middle-Income Economies ($4,256 to $13,205)	$64	82.4	30	100	3.3	97.0	2.8	81.0
Cote d'Ivoire	Lower-Middle Income Economies ($1,086 to $4,255)	$70	30.0	39.5	70	0.2	94.0	9.4	35.0
Dominican Republic	Upper-Middle-Income Economies ($4,256 to $13,205)	$94	62.6	21	100	1.5	94.0	..	..
Ghana	Lower-Middle Income Economies ($1,086 to $4,255)	$78	88.8	23.4	86	0.2	87.0	5.6	41.0
Guatemala	Upper-Middle-Income Economies ($4,256 to $13,205)	$86	30.0	59.3	97	1.2	89.0	20.7	56.0
India	Lower-Middle Income Economies ($1,086 to $4,255)	$3,176	89.3	21.9	99	0.7	98.0	..	..
Indonesia	Lower-Middle Income Economies ($1,086 to $4,255)	$1,186	40.9	9.5	97	0.6	94.0	0.7	..
Jamaica	Upper-Middle-Income Economies ($4,256 to $13,205)	$15	86.2	19.9	100	0.5	81.0	23.1	..
Kenya	Lower-Middle Income Economies ($1,086 to $4,255)	$110	67.3	36.1	71	0.2	81.0	26.1	..
Mauritius	Upper-Middle-Income Economies ($4,256 to $13,205)	$12	86.0	10.3	100	2.7	95.0	9.1	..
Mongolia	Lower-Middle Income Economies ($1,086 to $4,255)	$15	56.0	27.8	98	3.9	99.0	5	30.0
Morocco	Lower-Middle Income Economies ($1,086 to $4,255)	$143	78.4	4.8	100	0.7	99.0	9.7	80.0
Panama	High-Income Economies ($13,205 or More)	$64	63.7	21.5	97	1.6	87.0	..	..
Peru	Upper-Middle-Income Economies ($4,256 to $13,205)	$223	36.0	25.9	99	1.4	99.0	20.5	51.0
Philippines	Lower-Middle Income Economies ($1,086 to $4,255)	$394	60.9	18.1	97	0.8	95.0	4.8	47.0
Tanzania	Lower-Middle Income Economies ($1,086 to $4,255)	$68	40.1	26.4	40	0.1	82.0	25.8	..
Togo	Low-Income Economies ($1,085 or Less)	$8	61.0	45.5	54	0.1	95.0	18.8	20.0

Mitigation and Adaptation Needs and Priorities

GAIA will ultimately be a diversified portfolio across countries investing across five GCF Results Areas with a 70% adaptation / 30% mitigation split at the portfolio level.

GAIA is positioned to respond flexibly to these priorities in a country-driven manner. It aims to address stated adaptation and resilience priorities and the countries' respective GHG emissions reductions priorities and targets. These national priorities include a large array of initiatives that align with GCF's eight adaptation and mitigation Result Areas for country projects. As shown in Table 3, priorities identified in NDCs cut across all eight Results Areas. The total number of countries in the portfolio that have identified priorities that match with a particular GCF Result Area is included in parentheses next to the GCF Result Area name.

Table 3: Count of Country NDC Priorities Mapped to GCF Result Areas

ADAPTATION							
Health, food, and water security (19)		**Infrastructure and Built Environment** (18)		**Livelihoods of people and communities** (18)		**Ecosystems and Ecosystem Services** (18)	
Sub-priority	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*
Health	**17**	Nature-based solutions	**12**	Livelihood Resilience	**16**	Biodiversity	**16**
Food Security	**9**	Resilient infrastructure	**17**	Mainstream Disaster Risk Reduction into National Policies	**14**	Ecosystem-based management of terrestrial and freshwater ecosystems	**12**
Water Security	**17**					Ecosystem-based management of coastal and marine zone management	**16**
MITIGATION							
Energy Generation and Access (19)		**Transport (15)**		**Buildings, Cities, Industries, and Appliances (16)**		**Forests and Land Use (18)**	
Sub-priority	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*
Energy Generation	**19**	Adoption of New Technologies and Approaches	**9**	Buildings	**10**	Forests	**17**
Energy Access	**16**	Modal Shifts	**9**	Cities	**13**	Land Use	**17**
		Sustainable Transport and Infrastructure Planning	**2**	Industries	**13**		
				Appliances	**8**		

*Please note that country portfolio totals do not equal the summation of the sub-priority totals as they are the count of how many countries identified these sub-priorities in their respective NDCs. Countries often stated multiple sub-priorities under one GCF Results Area.

GAIA partners identified the selected priority results areas by mapping each country NDC across each of the eight GCF results areas , which highlighted the results areas most prioritised by the Countries. The final 5 results areas selection process was based on Country's priorities followed by the platform's target of a greater focus to adaptation financing.

Additional country priorities have also been identified in other national-level climate strategies, including NAPs, national climate policies and plans, GCF Country Programmes, and other relevant plans, strategies, and policies, but are not included in the table. Annex 2 provides information on these additional priorities. The ongoing engagement process with the NDAs is helping us clarify

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[14] Please see Annex 2 – Feasibility Study – for additional information on country socioeconomic data, as well as information on sources utilized.

their latest climate priorities and further refine our analysis by country. Please see Annex 21A for a description of the process for eligibility and selection criteria envisaged.

While the national and regional context is important, the specific climate context (location, jurisdiction, sector, catchment area, population, etc.) for individual projects will be considered as GAIA selects projects and executes engagement, transparency, and risk mitigation activities.

Complementarity and Coherence

The GAIA Platform is complementary to the offerings of other climate finance providers including the Global Environment Facility, Adaptation Fund, and Climate Investment Funds and MDBs. It will significantly expand the availability of implementation finance in the countries in which it will operate, with technical assistance designed to help secure project success and the dissemination of best practice.

Table 4: Climate Investment Fund Eligibility

CLIMATE INVESTMENT FUND ELIGIBILITY							
COUNTRY	ACTIP	CTF	FIP	NPC	PPCR	REI*	SREP
Barbados							
Benin							
Costa Rica							
Dominican Republic	•			•			
Ghana			•				•
Guatemala			•				
India	•	•			•		
Indonesia	•	•	•				
Ivory Coast							
Jamaica					•		
Kenya		•		•		•	•
Mauritius							
Mongolia							
Morocco		•					
Panama							
Peru		•	•		•		
Philippines	•	•			•		
Tanzania		•		•			•
Togo							

* Costa Rica, India, and Indonesia are priority countries in the subsequent phases of the REI program

- It will provide an **incremental source** of climate finance that countries will be able to use flexibly to finance their most pressing mitigation and adaptation priorities. GAIA's capital structure uses international public finance (GCF and FinDev Canada) as well as philanthropic capital deployed catalytically and efficiently in a junior position to anchor large scale commercially-oriented capital from institutional investors (MUFG, FinDev Canada and others to be confirmed), to generate incremental flows of climate finance. In many of the GAIA countries, financed projects will be among the first transactions in the local climate finance market for some of the world's largest institutional investors.
- It will provide patient **long-term debt finance**[15] **in local and hard currency without the mandatory requirement of a sovereign guarantee,** a type of finance which is scarce for quasi- or sub-sovereign entities that need it for low-carbon, climate-resilient infrastructure. The facility will include an innovative and targeted grant-based FX hedging mechanism, which will help make local currency loans available aligned with local market rates (i.e., ensuring no distortion in local markets or arbitrage between local or foreign currency).
- It **closes gaps in the climate finance architecture by simplifying access**. GAIA will build from the different strengths of its partners, which include actors from finance to country/sector technical expertise providers. Partners of GAIA such as R20, UNDP, CAF, GGGI have participated in different roles in similar climate-focused blended finance instruments including ones with GCF participation.
- It will **engage other sources of funding and financing for parallel financing** at the project level, aligning the financial structure and concessionality of the project with the needs of the borrower and supporting the financing of projects that are larger than GAIA would finance alone. GAIA will aim to seek co-financing with local and regional institutions not only for additional capital mobilization but for enabling environment of enhanced local capacity.
- Through an independent parallel facility, GAIA will offer **targeted technical assistance**, to support projects through their development, structuring and financing, and construction stages, to ensure that project borrowers are able to improve their impact potential and financial sustainability. A menu of TA offerings will be developed outlining potential activities for various stages of the project lifecycle, which will lead to efficient implementation of TA projects based on recommendations made by the Investment Manager and delivered by trusted delivery partners which comprises experienced entities with a range of climate funds.
- It will undertake appropriate knowledge generation and dissemination efforts, through the aggregation of outputs and outcomes from financed projects.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

GAIA aims to contribute to a paradigm shift towards a more sustainable and inclusive economy by making available to recipient countries an innovative blended finance platform, which will mobilize capital from institutional investors towards climate projects. Its goal statement states that: **IF** GCF and additional institutional, commercial and philanthropic capital is blended to create a scalable and replicable climate finance platform with a technical assistance facility **THEN** low-carbon and climate-resilient growth

[15] This includes fixed income instruments, including loans, bonds, notes, and non-recourse project financing.

in recipient countries will be catalysed and become more sustainable and inclusive **BECAUSE** successful climate mitigation, adaptation and cross-cutting projects in emerging markets will be demonstrated to commercial and institutional investors.

The paradigm shift underpinning GAIA is to become a lasting and scalable platform that provides long-term debt finance in local and hard currency towards climate adaptation and mitigation projects in EMs. Inasmuch as blending commercial capital from an institutional investor, a commercial bank and a development finance institution with concessional capital is innovative, this model is designed to be scaled and used in other markets to catalyze the mobilization of private sector finance to support EM's transition to low-carbon and climate-resilient growth pathways. GAIA will become a sustainable financing platform through innovative financing mechanisms such as the FX facility and first-loss reserve account.The proposed programme is unique, firstly because of its scope of targeting Countries across three continents, with a minimum 25% allocation to LDCs and SIDS, but also because it provides access to finance across both mitigation and adaptation in a comprehensive way across five GCF Results Areas (three adaptation and two mitigation) in order to allow maximum flexibility for countries to prioritize projects in line with their own preferences and to leverage the benefits of portfolio diversification in order to deliver finance efficiently.

Preliminary analyses of the targeted countries show the magnitude of the challenge ahead and of the funding gap to be filled in terms of climate vulnerabilities, there are various examples of the climate impacts targeted countries are facing. Notable examples include the following:

- By the 2090s, sea level rise along Costa Rica's coastline may approach one meter above 1986-2005 levels, which will result in increased coastal erosion, reduced arable land near sea level, and saline intrusion into aquifers, among other impacts[16],
- By 2060, it is estimated that between 9.5 and 14 million people will reside in a 100-year flood plain in Indonesia[17];
- Andean farmers in Peru have had to cultivate crops in increasingly higher elevations due to temperature increases which have introduced new crop pests. This has exposed crops to shorter growing seasons and more snowstorms, floods, and droughts[18];
- Mongolia is expected to experience significant wheat yield declines (between 20% and 50%) by 2080 due to increasing ambient temperatures and decreased precipitation during the spring[19],
- In Ghana, decreasing rainfall, increased droughts, and rising temperatures are expected to exacerbate clean water and sanitation challenges in a context where approximately 25% of the country's population does not have access to clean water[20]
- Under a high emissions scenario, heat-related deaths among the elderly population of Morocco are projected to increase to nearly 50 deaths per 100,000 by the 2080s.

There is an urgent need for climate financing to increase resilience to these types of hazards and impacts. For example, as outlined in the financial needs to meet adaptation goals as outlined in most recent country NDCs, Benin estimates that approximately USD1.96B is required through 2030, Mongolia estimates that approximately USD5.2B is needed through 2030, and the Dominican Republic estimates that USD8.7B is required for adaptation to climate change, including in the sectors of water security, food security and resilient cities, through 2030 – all countries within GAIA's targeted scope.

By providing specific and innovative responses to each hurdle faced by institutional investors wishing to finance climate projects, GAIA effectively connects recipient countries' national priorities with the financing appetite of institutional capital, helping to pave a path others are sure to follow.

Specifically, the main climate outcomes targeted by GAIA include both mitigation, through reduced GHG emissions contributing to low-carbon growth, and adaptation, through increased resilience of physical assets, eco-systems and populations to adverse climate change impacts. GAIA will also help to enhance local capacity to identify and manage environmental and social (E&S) risks in climate projects and improve access to basic services for women and strengthen inclusion of women in climate projects. It will also contribute to the enhancement of national capacity to access and mobilize climate finance and to address real and

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16 World Bank. Climate Ris Country Profile: Costa Rica. 2021. https://climateknowledgeportal.worldbank.org/sites/default/files/country-profiles/15989-WB_Costa%20Rica%20Country%20Profile-WEB.pdf

17 World Bank Group and Asian Development Bank. Climate Risk Country Profile Indonesia. 2021. https://climateknowledgeportal.worldbank.org/sites/default/files/2021-05/15504-Indonesia%20Country%20Profile-WEB_0.pdf

19 World Bank. Climate Risk Country Profile: Mongolia. 2021. https://climateknowledgeportal.worldbank.org/sites/default/files/2021-06/15813-Mongolia%20Country%20Profile-WEB.pdf

19 World Bank. Climate Risk Country Profile: Mongolia. 2021. https://climateknowledgeportal.worldbank.org/sites/default/files/2021-06/15813-Mongolia%20Country%20Profile-WEB.pdf

20 World Bank. Climate Risk Country Profile: Ghana. 2021. https://climateknowledgeportal.worldbank.org/sites/default/files/2021-06/15857-WB_Ghana%20Country%20Profile-WEB.pdf

perceived risks of climate finance projects. In addition to these direct outcomes, GAIA will generate co-benefits such as the creation of quality jobs contributing to sustainable and inclusive economic growth.

Through a portfolio of climate projects, GAIA will generate a number of key outputs contributing to these outcomes. Climate mitigation outcomes will be achieved by financing low emission energy, transport and infrastructure projects. On the other hand, climate adaptation outcomes will be fulfilled through strengthened climate resilience of infrastructure, systems and services. Additional outputs from GAIA include the improvement of E&S and gender practices in financed projects and in counterparty institutions. GAIA will also help in strengthening the capacity of national, regional and local institutions to develop, manage, mobilize and finance high-impact, high-standard climate investments.[21]

Component 1 of the program is the deployment of an innovative, scalable and replicable financing structure composed of long term hard and local currency loans (including for small transactions and leveraging pre-negotiated term-sheets) through a platform that contains inbuilt de-risking mechanism : (i) a junior concessional equity tranche in a first-loss position; (ii) FX hedging on local currency loans and (iii) USD[75-300]M second-loss tranche (also referred as 'insurance/guarantee tranche') with currently $[50]M indicated to be provided by Axa XL.

The parallel TA facility, although independent and not in the scope of the GCF Funded Activity, is complementary to Component 1, as it aims to strengthen climate projects across various stages in the project lifecycle, from development to construction. In select cases, TA will be provided in the feasibility and design stages to strengthen the targeted impacts of the projects, and in the operations and scale-up stages to ensure that projects are able to deliver on impact targets and maintain reporting requirements. Through its offerings, the TA Facility will shift the way in which climate projects are planned, implemented, and managed ensuring a clear climate rationale is integrated within transactions from the moment GAIA gets involved. Provided as grants primarily, TA will incentivize project implementors and other related parties to adopt a systemic, long-term, and sustainable perspective across various project steps.

The structure and activities of GAIA are intended to respond to the main obstacles and barriers limiting privately-financed investments in climate adaptation and mitigation projects in EMs, namely:

- Capacity of public institutions: state-owned firms and enterprises and financial institutions, PPP agencies, cities and regions, and others often have limited capacity to manage, structure, and negotiate financing solutions to achieve climate impact.
- Transaction Size: Institutional investors usually make debt investments in the USD200-400M range, while opportunities in EMs often fall within a USD5-75M range. Navigating small distinct investment opportunities can deter institutional investors.
- Origination costs: Individually negotiated investments that are less than USD75M can have high origination costs.
- Credit risk: Often high yielding (classified below investment grade rating) with risk adjusted returns that are not attractive when compared to the universe of credit opportunities.
- Knowledge: Information pertaining to climate change risk and investment opportunities is not sufficiently available in a number of EMs.
- Macroeconomic context: In many countries, investment barriers such as regulatory, political, economic and institutional weaknesses also limit private sector investment in climate adaptation and mitigation projects.
- Legal/policy barriers: In many EMs, there is an absence of an authorizing environment for many potential sub-sovereign/quasi sovereign issuers, which lack the legal or policy support to issue debt for their projects.
- Technical capacity: Technical requirements are high for EM issuers to comply with the guidelines and specifications of "green" or climate bonds/loans, a factor which particular impacts LDCs and SIDS.
- Adaptation finance challenges: value creation through adaptation finance is largely driven by the avoidance of future costs. Estimating and monetizing this potential value is not yet a mature practice, such that cash flows sufficient to repay loans are hard to identify and securitize.

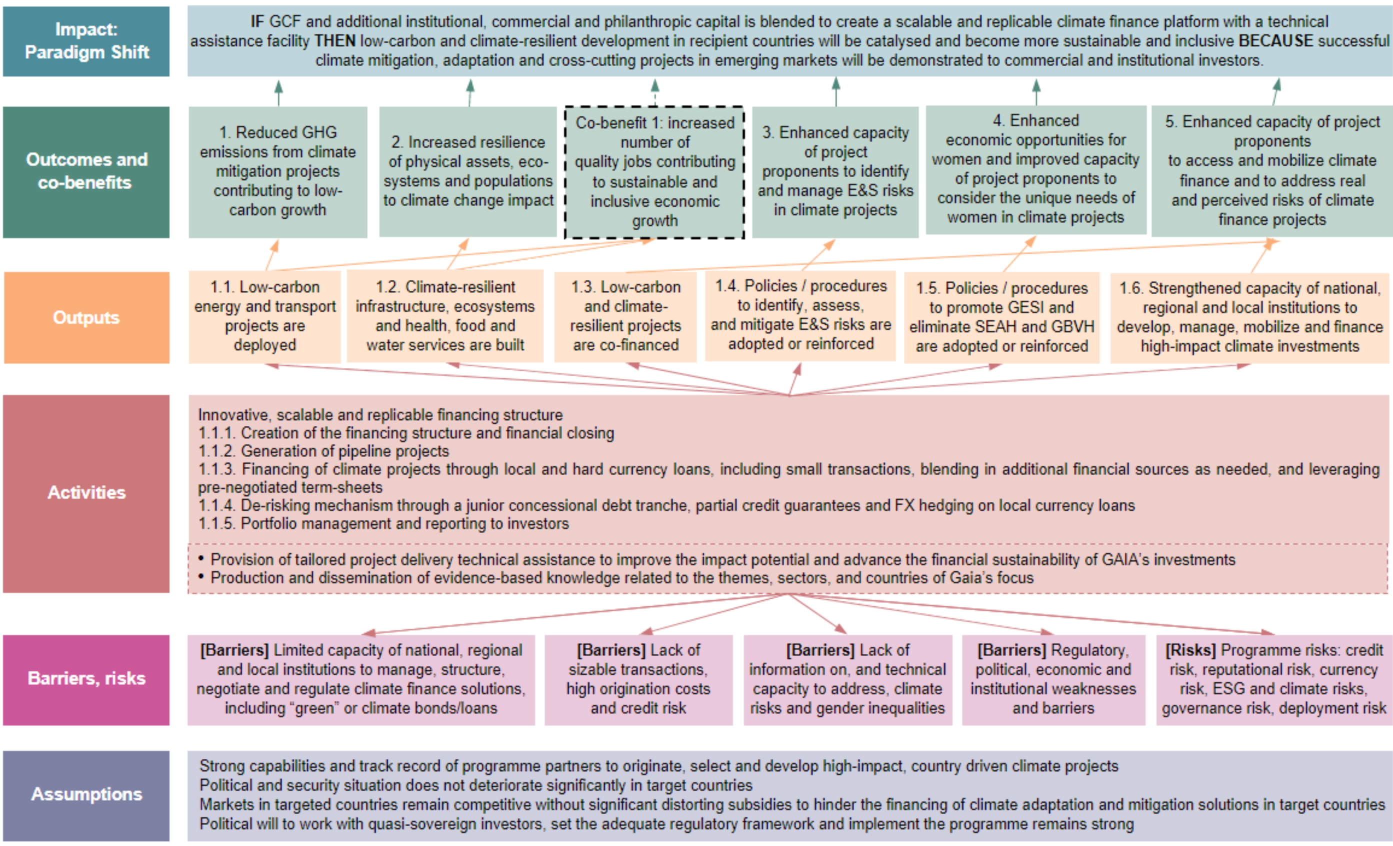
GAIA's proposed solutions to address these barriers include the integration of credit enhancement mechanisms such as junior concessional funding, second-loss insurance, FX hedging support and technical assistance. The preparation of pre-negotiated term sheets and documents to be provided to borrowers through the origination team will help to lower origination costs. This effect will strengthen over time with the integration of learnings from the Platform activities and ongoing monitoring of best practice. In addition, GAIA does not have a mandatory sovereign guarantee requirement from quasi-sovereign and sub-sovereign borrowers. Amongst the main strengths of the GAIA platform is the strong capabilities and track record of MUFG, FinDev Canada and the GAIA ecosystem of partners including UNDP, GGGI, Resilient Cities, C40 Cities, R20, CAF, and many others to originate, select and develop high-impact climate adaptation and mitigation projects driven by country needs.

Finally, the main assumptions underpinning the success of GAIA to support climate adaptation and mitigation projects in EMs, are:

[21] When referring to 'national, regional and local institutions' in the context of GAIA's capacity building activities, this refers to the potential borrowers (as outlined under Section B.3 of the FP), including quasi-sovereign corporate issuers (e.g., state-owned enterprises) and sub-sovereign entities (including cities, states, and regional governments). Additionally, other implementing entities, and organizations that assist in the development of project ideas would also be targeted under the capacity building activities.

- Strong capabilities and track record of programme partners to originate, select and develop high-impact, country driven climate projects: further information about the programme partners is available on annex 7 and annex 23.
- Political and security situation does not deteriorate significantly in target countries: GAIA NOL Countries are distributed across three continents, thus mitigating the risk that political volatility or security concerns in one or several countries would hinder the ability of the platform to support climate adaptation and mitigation projects in the remaining countries.
- Markets in targeted countries remain competitive without significant distorting subsidies to hinder the financing of climate adaptation and mitigation solutions in target countries: the diversification of eligible climate adaptation and mitigation activities described in annex 21A will enable GAIA to navigate through evolving economic priorities of targeted countries.
- Political will to work with quasi-sovereign investors, set the adequate regulatory framework and implement the programme remains strong: through its partnership ecosystem, GAIA will have local presence in the target countries and continue to build relationships with local and regional actors to navigate evolving regulatory landscapes and originate pipeline projects that meet GAIA's requirements.

Figure 1: Theory of Change Diagram



The program level theory of change in Figure 1 is complemented by illustrative theories of change for climate mitigation and adaptation projects in annexes 22C and 24C, respectively. These project level theories of change contain all the elements of the GCF's IRMF and demonstrate the outputs and outcomes that will be achieved by illustrative projects to be supported by GAIA. These results at the project level contribute to the achievement of outputs, outcomes, co-benefits and the paradigm shift described in Figure 1 at the GAIA program level.

GAIA aims to be a new long term financing source and channel available financing to countries in which it operates, enhancing access to climate finance and providing a platform for the engagement of commercially oriented institutional capital in the scaling up of urgently needed climate investment in GCF recipient countries. With GCF's support, GAIA will directly contribute to several SDGs, in particular Goals #5, #6, #7, #9, #11, #13, and #17.

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)	GCF Adaptation Results Area (ARA 1-4)

	MRA 1 Energy generation and access	**MRA 2** Low-emission transport	**MRA 3** Building, cities, industries, appliances	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable people and communities	**ARA 2** Health, well-being, food and water security	**ARA 3** Infrastructure and built environment	**ARA 4** Ecosystems and ecosystem services
Outcome 1: Reduced GHG emissions from climate mitigation projects contributing to low-carbon growth	☒	☒	☐	☐	☐	☐	☐	☐
Outcome 2: Increased resilience of physical assets, ecosystems and populations to climate change impact	☐	☐	☐	☐	☐	☒	☒	☒
Outcome 3: Enhanced national capacity to identify and manage E&S risks in climate projects	☒	☒	☐	☐	☐	☒	☒	☒
Outcome 4: Enhanced economic opportunities for women and improved consideration of their needs in climate projects	☒	☒	☐	☐	☐	☒	☒	☒
Outcome 5: Enhanced national capacity to access and mobilize climate finance and to address real and perceived risks of climate finance projects	☒	☒	☐	☐	☐	☒	☒	☒

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	**Co-benefit**					
	Environmental	**Social**	**Economic**	**Gender**	**Adaptation**	**Mitigation**
Co-benefit 1: Increased number of quality jobs contributing to sustainable and inclusive economic growth	☐	☐	☒	☒	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

GAIA: A Blended Finance Platform

GAIA is a blended finance facility mandated to finance projects within energy generation/access (MRA1) and low-emission transport (MRA2) segments which may also have resilience co-benefits, while privileging three adaptation results areas: health, well-being, food and water security (ARA2); infrastructure and the built environment (ARA3); and ecosystems and ecosystem services (ARA4) across a range of climate change vulnerable countries, at a scale and scope far beyond the conventional standalone appetite of its constituent financing partners. GAIA was designed as a platform to address the lack of institutional capital financing options in developing countries with a focus on LDCs and SIDS by providing a "full lifecycle" project financing solution that responds to investors with different risk/return profiles (ranging from philanthropies to public sector investors to commercial investors).

To address the barriers described in section B.1, the platform will be composed of the common archetypes of a blended finance structure, as presented in Figure 2 below.

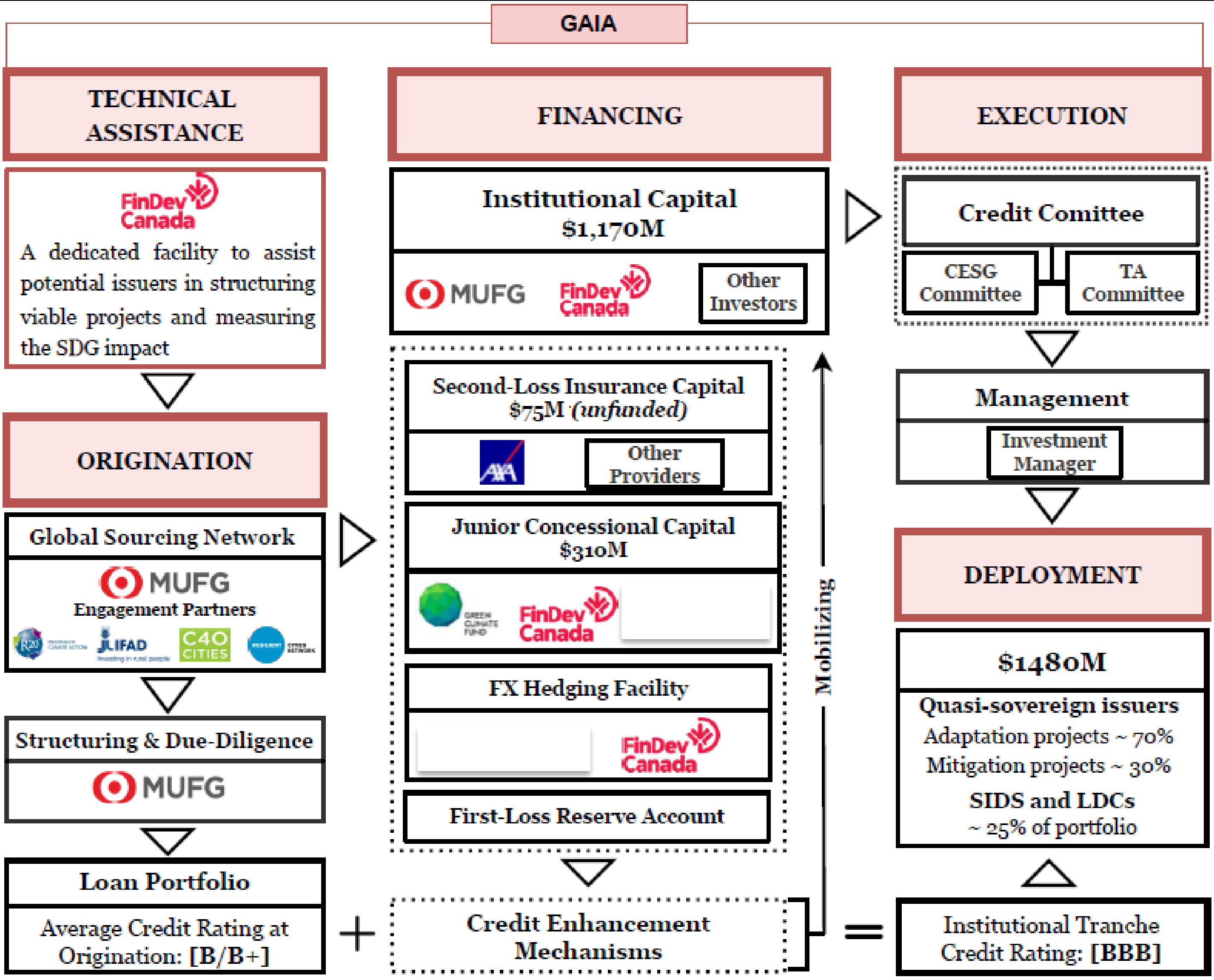
The commercial debt tranche provided by MUFG, FinDev Canada, and Other Investors will be accompanied by a junior concessional equity tranche, which we propose to be subscribed by GCF and supplemented by additional donors, including FinDev Canada and Other Investors.

A parallel TA facility funded by FinDev Canada and other donors will strengthen the transaction process, improve project climate impacts and success rate, and ensure that projects incorporate ESS and gender considerations. FinDev Canada will lead the management of the TA facility.

Borrowers will benefit from MFX Solutions' hedging services. MFX is a socially-oriented company that supports impact investing with hedging products for thinly-traded currencies, for which currency risk is more difficult to cover. Where hedging costs lead to interest rates that are significantly higher than local lending rates, grants will contribute to make the cost of the hedged loan in local currency equal to the available borrowing rates within the country ensuring that borrowers can take advantage of local currency borrowing rates equal to options available in their own market. In alignment with GAIA's value proposition of additionality, the subsidy of the FX Facility is only deployed to subsidize the transactional costs of currency hedging and align the rates with the local commercial rates, and will not be deployed to crowd out local financing.

Finally, additional credit enhancement will be taken on a case-by-case basis at the project level or via an increase at the insurance/guarantee tranche. This could be through sourcing single name commercial credit or political insurance. The decision to seek additional credit enhancement for a specific project will be taken after the analysis of the transaction and will be part of the recommendation to the Credit Committee, which will also need to take into account the portfolio composition (e.g., to mitigate country or sector concentration, maintain the creditworthiness of the portfolio, etc.).

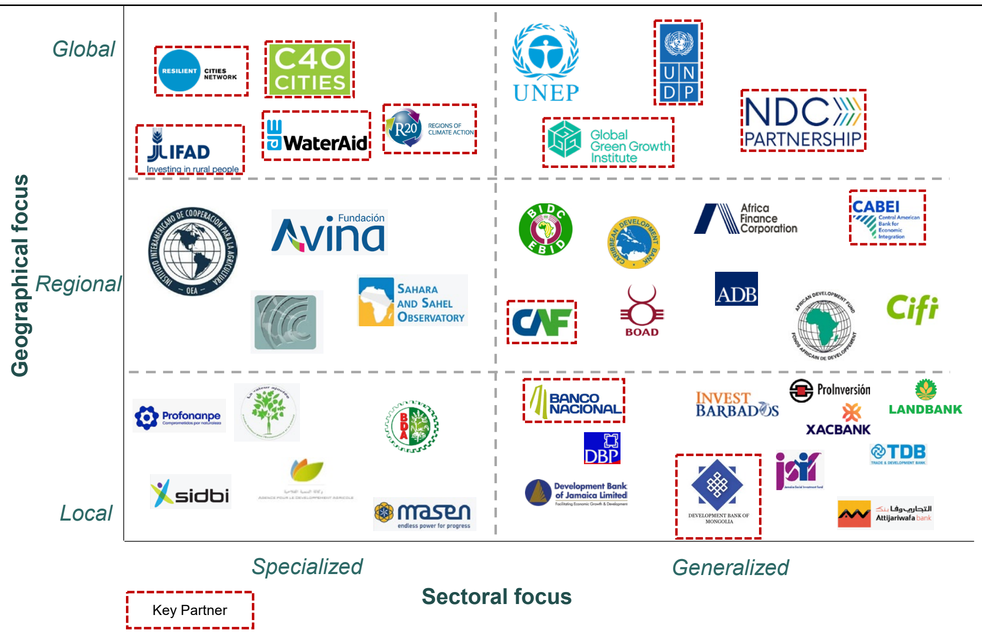
Figure 2: GAIA Ecosystem



Some of GAIA's main innovations will be to prepare pre-negotiated term sheets and standardized legal documentation to be used by the platform to simplify the origination and negotiation process. Institutional investors typically invest in transactions of ~USD200M or more and thus generally wont' invest in small transactions in emerging markets even if of adequate risk profile. Adaptation and resilience projects are by nature community-led and in general smaller in individual size. GAIA has been constructed to tackle those issues as: (i) the minimum ticket size for GAIA is USD5M; (ii) GAIA can aggregate smaller investments into one transaction (e.g., a project which has several loans to smallholder farmers that in aggregate meets the size requirement).

MUFG will front the deal origination effort by leveraging its global network of relationships in local markets. In addition, to help in replenishing the project pipeline, the platform has established relationships with R20 Regions of Climate Action, Resilient Cities Network, C40 Cities, IFAD, NDC Partnership, WaterAid, AFD, UNDP, GGGI, CAF, CABEI, CBD, ATI, TDB, AFC, Development Bank of Mongolia, PT SMI, LandBank, COFIDE, Proinversion, Development Bank of the Philippines, and others. The ultimate ecosystem of origination partners will span international, regional and local partners within the regions and countries of influence of the GAIA platform, and will be part of the GAIA legacy contributing to enhanced capacity and replication.

Figure 3: Mapped Potential Partners for GAIA's Investment Process



Besides acting as Origination Partners for GAIA's pipeline, such entities can also act throughout the Investment Process supporting both the Borrowers or the EE's. The establishment of a diversified and strong pool of relationship across the GAIA Countries is key to achieving successfull and impactful capital deployment – from origination, design, co-financing, monitoring, etc. – that is aligned with country climate priorities consistent with Country Ownership.

GAIA will be supported by an Investment Manager (IM), which will oversee project administration, monitor its implementation, and ensure project compliance with AE's own relevant policies;

The GAIA platform governance has been structured to leverage the different areas of expertise of the different partners of the programme and is detailed below:

Table 5: GAIA Platform Committees

Committee	Role	Composition
Credit	▪ Review and approval of investment proposals. ▪ Selected voting members have veto power. Approvals are otherwise based on super-majority approval (66%) ▪ All defaults and restructurings decisions will voted and approved by simple majority vote [50.1%] with pro-rata voting rights calculated based on the principal amount of the exposure.	**Voting members** • MUFGMUFG • FinDev Canada • [Additional Senior Investor – TBC] **Observers** • Chair or Member of the Climate & ESG Committee • Investment Manager • GCF-appointed representative
Climate and ESG (CESG)	▪ Review and approval of investment proposals in line with Climate and ESG related considerations. Voting is on the basis of a super-majority. ▪ Issuance of recommendations to the Credit Committee. ▪ Projects without super-majority approval do not proceed to Credit Committee.	**Voting members** • Climate expert from MUFG (the AE), representing the GCF • Climate expert from FinDev Canada • Climate expert to be selected through a global RFP led by the Other Junior Investor • Independent climate expert to be selected by the Senior Investors with the agreement of the Junior Investors as to the role requirements [22] **Observers** • MUFG

[22] The Terms of Reference for hiring of the independent climate expert are presented in Appendix 4 of the present document.

		• Investment Manager • AXA XL
Technical Assistance (TA)	▪ Review and approval of the scope of activities and budget of technical assistance proposals. ▪ Makes recommendations to the manager. ▪ Works in parallel to the Financing Component.	**Voting members** • FinDev Canada • Independent expert • Independent expert **Observers** • Chair or Member of the Climate & ESG Committee • Investment Manager • MUFG

GAIA will aim to invest in approximately 25-30 climate action projects (70% adaptation) ranging from USD5-100M (the max size of each transaction depends on the final amount of the total Fund) in the NOL Countries (minimum allocation to LDCs and SIDS of 25%) through its Investment Process.

Investment Process: GAIA will follow a specific process that will entail five phases 1) Generation of a pipeline of Projects (Origination); 2) Screening and Preliminary Approval; 3) Due Diligence and Development of Full Proposals; 4) Final Approval; 5) Supervision and Monitoring. A summary of the investment process is presented below (more details provided in the Operations Manuel, Annex 21a):

Phase 1. Generation of pipeline of projects (Origination): The origination of a project pipeline will be conducted by the Originating Bank (MUFG) for GAIA through its in-country offices and network of subsidiary/partner banks, with support and advice from the Partners in GAIA, the Investment Manager (IM), and the advisory partners to the Platform such as Resilient Cities Network, R20, C40, NDC Partnership and ICLEI (*also, see box 'Project EOS' below).*

MUFG, as the lead Originator for GAIA, will (a) reach out directly to the potential issuers, including those identified during the Funding Proposal development, (b) work through specialized development partners like UN IFAD, UNDP, GGGI, WaterAid, R20, C40, and Resilient Cities (as well as many other local partners in the field) to generate potential opportunities; and (c) work with GAIA partners, as well as through other financial institutions like local Development Finance Institutions (DFIs) and International Finance Institutions (IFIs), regional bank partners, and specialized investment banks to generate deal-flow. The Originating Bank will also establish relationship with local and regional Financial Institutions (commercial and IFI) to work together for originating of pipeline with a view of co-financing. Such partnership is collaborative and is not exclusive or pass it on any of MUFG's responsibilities as originator to these institutions. By doing so, MUFG – as Originating Bank – leverages the collective networks of GAIA partners in addition to its own network for maximum results.

Phase 2. Screening and Preliminary Approval: The IM will conduct an analysis of each project's information sent by the Originating Bank according to the eligibility criteria and qualitative factors (both detailed in Annex 21A). The eligibility criteria include the following items: if the projects is in a GAIA eligible country; if the project fits within the quasi-sovereign definition; if the sector is not part of the exclusion list (see Annex 21A); if the project's activities and/or sectors are included in the positive list; if the main objective of project is climate adaptation and/or mitigation; if the project is aligned with national climate finance priorities; if the project contributes to at least one of the GCF Result Areas targeted by GAIA; if the project contributes to GAIA goals for financing in LDCs and SIDS, and is within relevant portfolio thresholds. The qualitative factors include: initial E&S risk categorization; initial review of any potential negative issues and alignment with the "do no significant harm" principle related to E&S aspects; degree of contribution towards creating an enabling environment; additional information on climate objective(s) of the project and on contribution to targeted Result Area(s); details on the financing needs; initial due diligence (as these issues relate to governance / integrity / reputational concerns / financial aspects / E&S policies & procedures). Figure 4 below shows the decision making process during this phase.

Adaptation project concepts and full proposals must provide a concise narrative of the climate rationale, including all four high-level principles of identification, response, policy alignment, and monitoring and evaluation recommended by GCF in its Adaptation Guidance (March 2022). Mitigation project concepts and full proposals should indicate the project's additionality, describe a baseline scenario for scopes 1 and 2 (and 3, if applicable), and the methodology used. Tables 6 and 7 below present the list of climate adaptation and mitigation sectors and activities eligible for financing by GAIA. Further details regarding the screening activities are included in Annex 21A.

Table 6: Positive List for Adaptation Activities

GCF Results Area	Activities	Climate Impacts
Ecosystems & Ecosystem Services	Afforestation and reforestation as adaptation opportunity	Flooding, Droughts, Extreme Temperatures, Water Scarcity
Ecosystems & Ecosystem Services	Restoration and management of coastal wetlands	Sea Level Rise, Droughts, Storms, Flooding
Ecosystems & Ecosystem Services	Groynes and breakwaters	Sea Level Rise, Storms, Flooding
Ecosystems & Ecosystem Services	Beach and shoreface nourishment	Sea Level Rise, Storms, Flooding
Ecosystems & Ecosystem Services	Water sensitive forest management	Water Scarcity, Storms, Droughts, Flooding
Ecosystems & Ecosystem Services	Dune construction and strengthening	Sea Level Rise, Flooding
Health, Food & Water Security	Improvement of irrigation efficiency	Droughts, Water Scarcity
Health, Food & Water Security	Rehabilitation and restoration of rivers and floodplains	Droughts, Storms, Flooding, Sea Level Rise
Health, Food & Water Security	Adaptation of drought and water conservation plans	Water Scarcity, Droughts
Health, Food & Water Security	Water recycling	Water Scarcity, Droughts
Health, Food & Water Security	Establishment and restoration of riparian buffers	Droughts, Storms, Water Scarcity, Flooding, Sea Level Rise
Health, Food & Water Security	Improved water retention in agricultural areas	Droughts, Water Scarcity, Flooding
Health, Food & Water Security	Use of adapted crops and varieties	Extreme Temperatures, Water Scarcity, Droughts
Health, Food & Water Security	Conservation agriculture	Water Scarcity, Droughts
Health, Food & Water Security	Desalinization	Droughts, Water Scarcity
Health, Food & Water Security	Adaptation of groundwater management	Droughts, Sea Level Rise, Water Scarcity
Infrastructure & Built Environment	Climate proofed road design, construction and maintenance	Ice and Snow, Storms, Extreme Temperatures, Flooding
Infrastructure & Built Environment	Adaptation options for hydropower plants	Droughts, Flooding, Water Scarcity
Infrastructure & Built Environment	Adaptation options for electricity transmission and distribution networks and infrastructure	Storms, Ice and Snow, Extreme Temperatures
Infrastructure & Built Environment	Climate proofing of buildings against excessive heat	Extreme Temperatures
Infrastructure & Built Environment	Storm surge gates / flood barriers	Sea Level Rise, Storms, Flooding
Infrastructure & Built Environment	Floating and amphibious housing	Flooding, Sea Level Rise, Storms
Infrastructure & Built Environment	Adaptation or improvement of dikes and dams	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Raising coastal land	Flooding, Sea Level Rise, Storms
Multiple adaptation areas	Cliff strengthening and stabilization	Sea Level Rise, Storms
Multiple adaptation areas	Seawalls and jetties	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Green spaces and corridors in urban areas	Extreme Temperatures, Flooding, Water Scarcity
Multiple adaptation areas	Agro-forestry and crop diversification	Flooding, Extreme Temperatures, Droughts
Multiple adaptation areas	Water sensitive urban and building design	Flooding, Water Scarcity, Droughts

Multiple adaptation areas	Adaptation of integrated coastal management plans	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Adaptation of fire management plans	Droughts, Extreme Temperatures
Multiple adaptation areas	Establishment of early warning systems	Water Scarcity, Storms, Droughts, Flooding, Ice and Snow, Extreme Temperatures

Table 7: Positive List for Mitigation Activities

Mitigation sector	Activities
Renewable Energy	Wind Power
	Geothermal power (only if net emission reductions can be demonstrated)
	Solar power (concentrated solar power, photovoltaic power)
	Transmission lines for renewable energy
	Second and third-generation biofuels sourced from a sustainable feedstock
Energy Efficiency	Energy efficiency in industry in existing facilities (at least 20% improvement compared to relevant conservative baseline)
	Energy efficiency improvements in existing commercial, public and residential buildings (at least 20% improvement compared to relevant conservative baseline)
Waste and Wastewater	Treatment of wastewater, including wastewater collection networks (renewable energy based for greenfield projects, reduction of GHG emissions for brownfield projects)
	Solid waste management
Transport[1]	Urban mass transit
	Electric and non-motorized transport (bicycles and pedestrian mobility)
	Efficient freight transport (replacement of high-emissions trucking, etc.)

1: For the transportation sector, GAIA will finance projects strictly aligned to the GCF's sectoral guidance on low-carbon transportation. Projects must line-up with one of the pathways suggested in the guide: Accelerating the shift to low-emissions public transport; Rapidly electrifying the transport system; and, Supporting the scale-up of new generation zero-emission fuels. Also, the assessment of proposals will follow the guidance related to investment criteria for impactful proposals.

During this phase, when applicable, the IM may reach out to key specialized GAIA partners such as UNDP and GGGI to receive assistance on the creation and assessment of Project Concept with a focus on the Climate and ESG aspects and the logical framework.

GAIA Eligible Borrowers and Investment Characteristics

The following two tables include descriptions of the eligible borrower types and eligible investment characteristics within the GAIA platform.

Table 8: Eligible Borrowers Classification and Description

Eligible Borrower Classification	Description
Quasi-sovereign corporate and financial institutions, or **agency borrowers**	> 50% ownership or board control by a sovereign or sub sovereign; including State Owned Enterprises, national or regional development banks operating in a target country, and agency borrowers and public debt management agencies. Examples of these types of borrowers include the PT Sarana Multi Infrastruktur (PT SMI) in Indonesia and the Moroccan Agency for Sustainable Energy (MASEN).[23]
Sub-sovereigns	City, state, region. Examples of these types of borrowers include the Provincial Government of DKI Jakarta in Indonesia (city) and the Ouémé Department in Benin (region).
Sovereign Borrowers	National governments. Sovereign borrowers may also benefit from GAIA financing in cases where the two prior types are not available in a particular

[23] Borrower type examples identified here are only utilized for illustrative purposes. For additional examples of borrower types, please see the Feasibility Study (Annex 2).

	country and when a clear Use of Proceeds can be identified and tracked in relation to GAIA lending.
Financial Institutions	Relevant to GAIA in two main forms (1) origination efforts and co-financing; (2) borrowing counterparties. The relationship and engagement in each of the scenarios is as follows: ○ Co-Financing/Origination Partnership: The selected FI's are able to present transactions to the platform in which they require a financing partner. The transaction will be evaluated in its standalone merits by the screening criteria of the Platform. GAIA is a Lender of record in the transaction, as in a standard Syndicated Lending Facility. The establishment of such relationships increases the country ownership as the local and regional State-owned entities have increased penetration and capillarity in its respective country. ○ Borrowing Counterparty: State-owned FI's can be eligible to access lending from GAIA directly. For such, the first screening selection is that the FI has the capability to monitor the impact of its activities (as GAIA would require from any other project or corporate).

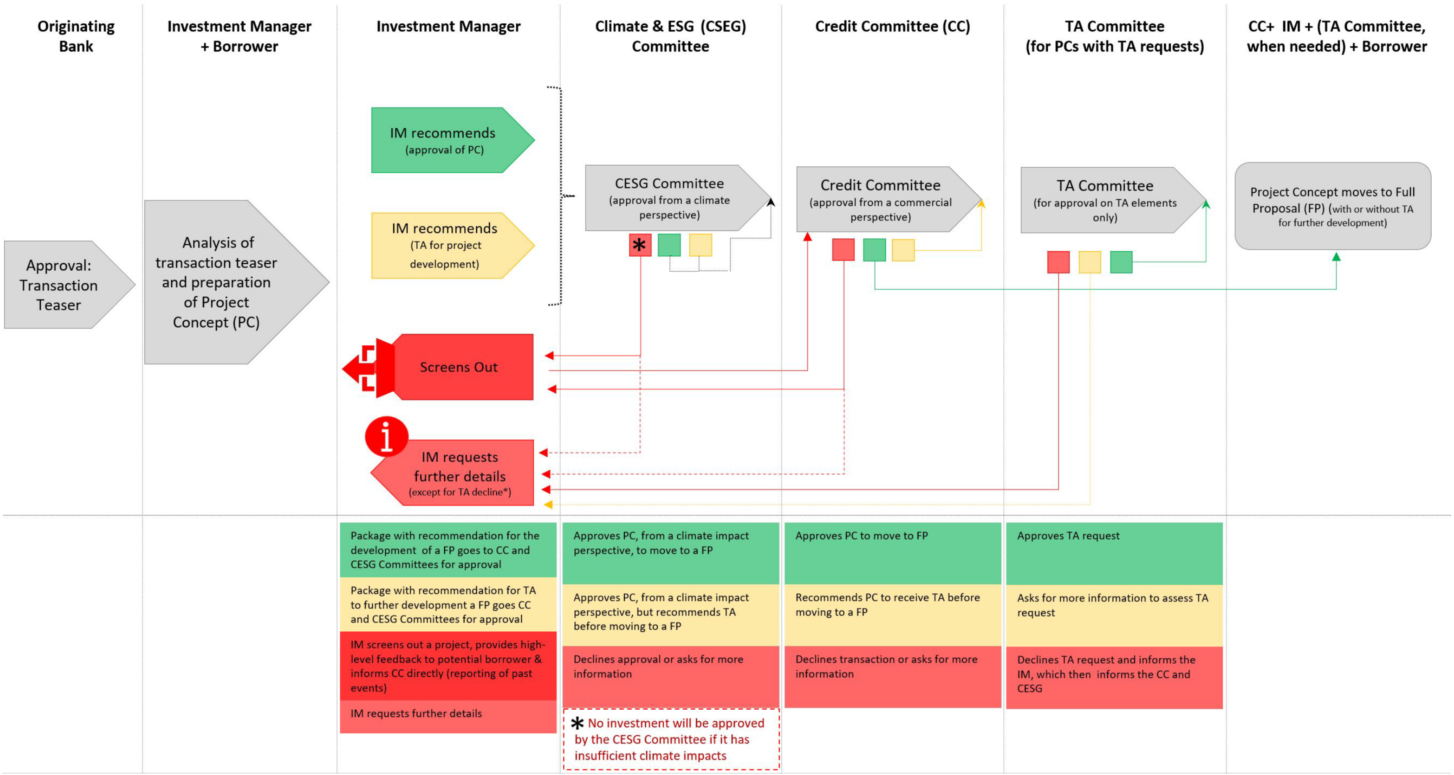
Table 9: Eligible Investment Characteristics and Description

Eligible Investment Characteristics	Description
Quasi-sovereign infrastructure projects	PPP projects where, in all circumstances of project termination, the debt is either guaranteed by a government entity or termination payment provisions from a government entity . An example of such transaction is Pacifico 2, presented in Annex 23 (PDF, p. 45 to 50).
Structured finance	Debt service cash flow originates from a sovereign, quasi-sovereign, sub-sovereign, or agency. An example of such project is presented in Annex 23 (PDF, p. 51 to 60).
Sovereign sponsored projects	Specific use of proceeds, exclusive and reflected in the project contractual structure. Examples of such investments are the Sovereign Blue Bonds.

The programme will focus on greenfield projects. However, in such instances where GAIA finances a project during the construction phase, GAIA could participate in the refinancing of this project during the operation phase. This refinancing would be limited to the amount initially disbursed for the construction phase. It is standard practice for issuers to refinance their loans with better terms and conditions once they are near completion of the construction phase as the risk profile has usually considerably improved. The analyses of projects by the Investment Manager will yield three possible results:

1. **A Green Light** for preparing a full proposal: Project Concepts that adequately fit the Eligibility Criteria and the qualitative factors will be offered the opportunity to develop a Full Proposal, which should include a climate rationale, business plan, financial model, etc. Project Concepts should first be pre-approved by the Climate and ESG Committee with a super-majority and then by the Credit Committee.
2. **A Yellow Light**, for provision of TA to be allocated by GAIA for further project preparation. While such TA can be considered as a remediation measure, GAIA's independent TA Committee and the TA Facility Manager will ensure that the scope of TA projects in these instances is ring-fenced to the specific gaps identified during initial screening, with clear expectations on outputs and outcomes that would enable the IM to re-consider the project after the TA project has concluded. The TA Manager will closely monitor TA project implementation, liaising with the IM as needed, and inform the IM when expected milestones are achieved. If the milestones are not achieved, the IM will coordinate with the TA Manager and the potential Project borrower for a remediation plan.
3. **A Red Light**, declining the Project Concept. Projects Concepts that do not meet either the Eligibility Criteria or did not pass a review of the qualitative factors and requirements will be advised in writing that the concept was declined, including high-level feedback on why it was not screened for further consideration, should the borrower seek to remedy and re-apply. In some instances, it might also be the case that further information is needed to further assess the Project Concept. A Project Concept that was not endorsed by the Climate and ESG Committee with super-majority will not be presented to the Credit Committee.

Figure 4: GAIA's two Decision-Making Process During Phase 2



Phase 3. Full Due Diligence and Development of Full Proposals: The assessment of each proposal will be based on GAIA's Selection Criteria (detailed in Annex 21A) to assess alignment with the GCF Investment Framework. At this phase, the project's financial model will be evaluated, the climate-related transformational proposition and logical structure to the delivery of outcomes will be evaluated, and a full due diligence assessment takes place. This full due diligence is an in-depth analysis of financial, governance, climate, environmental, and social requirements as well as any other elements required. The IM will also need to make sure the Eligibility Criteria are still met throughout this process.

During this phase, the IM can count on the support of the key specialized partners. These included sector-focused partners (e.g., UN IFAD, WaterAid, C40, Resilient Cities) and UNDP and GGGI.

Once the Investment Manager completes its Full Due Diligence, the IM will prepare a Full Proposal package to be submitted for formal analysis by the CESG and Credit Committees for final approval in Phase 4.

Phase 4. Final Approval: The IM will first present the Full Proposal to the CESG Committee for approval based on the climate and ESG aspects. The transaction can only proceed to the Credit Committee if a super majority approval is obtained at the CESG Committee.

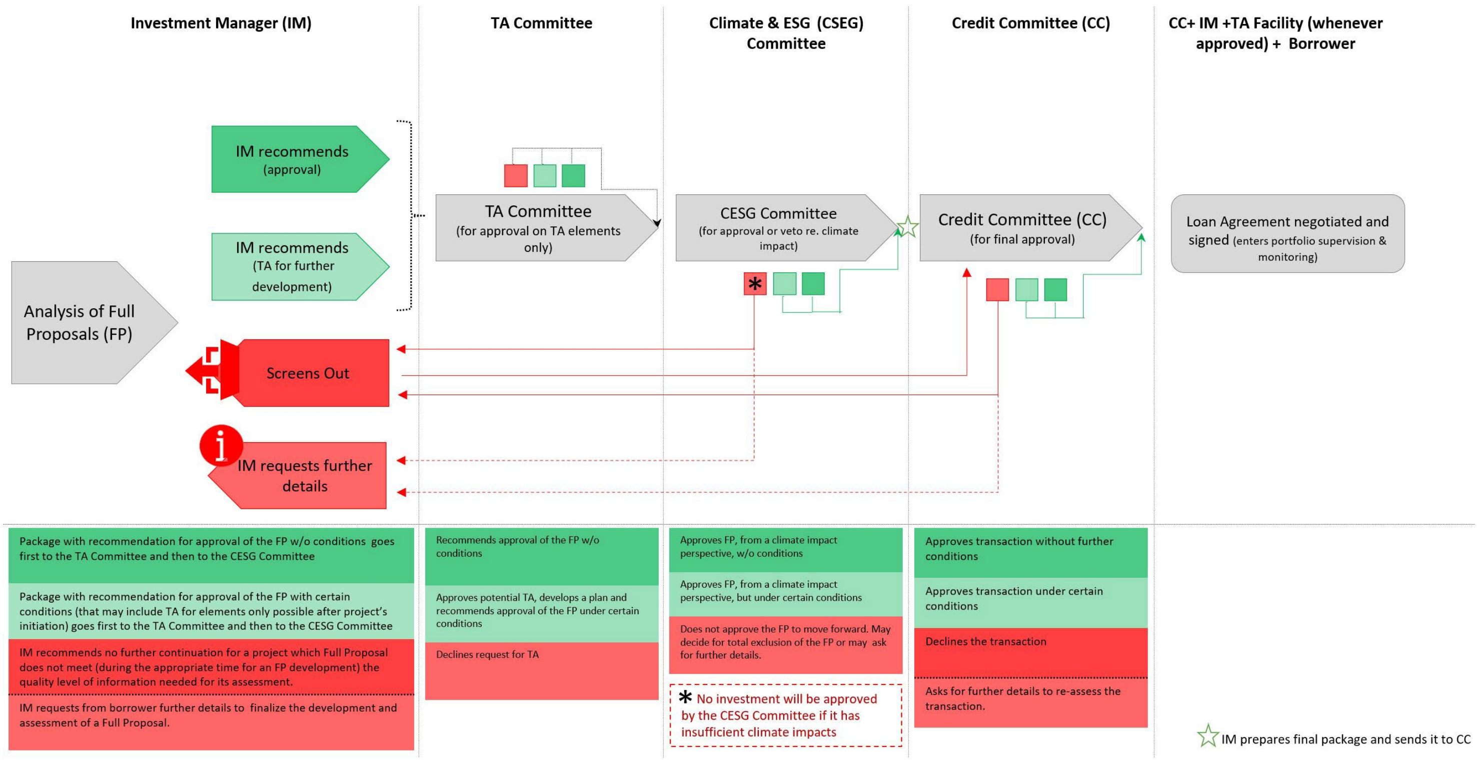
The three possible outcomes following the presentation to the CESG Committee are:

1. Final Green Light: a recommendation to the Credit Committee to approve the Full Proposal. Such guidance will contain the amount and terms of financing and the amount and nature of technical assistance to go alongside the funding if required.
2. Green Light with conditions: a recommendation to the Credit Committee to finance the Full Proposal, subject to specific conditions. Projects receiving a Green Light with conditions must satisfy all conditions before they can receive implementation finance but will be eligible for technical assistance to help address the conditions imposed when applicable.
3. A Red Light, declining the Project: the CESG Committee may reject a Full Proposal if it fails to meet the Climate and ESG requirements that cannot be remediated through Technical Assistance, further improvements of the proposal or through the imposition of conditions. The proponents of Full Proposals that receive a red light will be advised, in writing, that the proposal was declined, including high-level feedback on why it was not approved, should the proponent seek to remedy them and re-apply. MUFG, the origination leader, will provide feedback to the proponent.

If a transaction is approved by the Climate and ESG Committee, it proceeds to the Credit Committee, taking into account the CESG and TA (when applicable) committees' and Investment Manager's recommendations. The IM will be responsible for the process of establishing the full financing agreement with the borrower. The agreement will determine the amount and terms of the funding, any granted TA for project implementation (amount and scope), and supervision, monitoring, and reporting requirements.

Each Approved Project will have a logical framework (log frame) of output and outcome indicators, to be monitored and reported to GAIA, at least annually. Further, approved projects will be required to structure environmental and social systems to enhance GAIA's capacity for proposed impact outcomes, improve stakeholder relationships, and achieve greater positive societal impact (see Annexes 6 and 8 for details). Figure 5 shows the decision making process during phases 3 and 4.

Figure 5: GAIA's two Decision-Making Process During Phases 3 and 4



Phase 5. Supervision and Monitoring: GAIA's Investment Manager will be responsible for robust asset management during the life of each project, including for example, holding supervision meetings, with each project's borrowers, periodically. The main objective is to develop the supervision relationship with the investee, monitor project advancements, check if it is on track with the

agreed timeline and budget, flag unexpected challenges, and mitigate potential risks in the execution. The IM, under MUFG oversight, will implement relevant elements of the Environmental and Social Management Framework (ESMF).

Annual reporting requirements of the approved project will include collection and review of quantitative and qualitative output information and selected project financial, operational, climate-related, and E&S benchmarks, with subsequent analysis of progress toward achieving targeted outputs and outcomes.

Parallel TA Facility

The platform will count with an independent parallel TA facility beginning with a funded amount of USD5M provided by FinDev Canada and increasing up to USD50M that will act independently but with a complementary role to maximise the impact of GAIA's deployed capital. The TA Facility – through its mission of enhancing borrower capacity and knowledge contribution – aims to unlock an enabling environment for GAIA, more broadly to financing adaptation and resilience initiatives, and ultimately to the private sector sustained involvement in the segment. This collaborative and parallel approach takes place in an iterative exchange based on the below principles:

- **Relevance and effectiveness**. TA engagements will be designed together with project sponsors on the basis of gaps and opportunities identified during screening, due diligence, and other assessments. They will be rightsized according to the type of climate project, what is feasible given the context of the project, and the absorptive capacity and resource availability of borrowers.
- **Buy-in and ownership**. Project sponsors/borrowers will need to demonstrate buy-in and ownership of TA engagements, as appropriate, in a manner consistent with the project type and sponsor capacity. This could be demonstrated through active engagement by staff and leadership, in-kind contributions, and/or participation in the funding of the TA project.
- **Impact potential.** TA engagements will work closely with project borrowers to ensure clear demonstration of climate potential and inclusive environmental and social benefits to local communities.
- **Sustainability.** TA projects will be comprised of activities that deliver long-term benefits, including building borrowers' capabilities which can be leveraged for future projects.
- **Financial Sustainability.** TA engagement will focus on ensuring the achievement of the financial viability of projects.
- **Additionality.** GAIA's TA Facility will support activities which the Facility is best placed to support given its resources and expertise. It will also build on commitments made by borrowers, and where reasonable, build on existing efforts.
- **Local or Regional Delivery** – To the extent possible, implementation of TA engagements will be carried out by local and regional experts, who are well versed in the market contexts.

Although the remit of each segment is distinct, GAIA and the parallel TA have the same vision: to enhance climate resilience in Emerging Markets. To ensure this outcome, the objectives of these parallel Facilities and governance structure of the overall programme have been designed holistically to ensure that the TA and financing implementation deliver key synergies that maximise the impact of GAIA.

The TA Facility is being Funded by FinDev Canada, that has so far committed USD5M. Further financing will be provided by additional sources and through the excess returns generated by GAIA, in accordance to the payment waterfall.

The prescription of TA deployment will depend on individual project needs and readiness, and the final scope of the GAIA Investment Selection process. The TA Facility will develop a list of likely services for each of those stages. These services are not exclusive but designed to help GAIA early on in navigating its relationship with FinDev Canada and requests for TA. The menu of TA services will vary depending on the stage of project development (see figure 6 below). The TA aims to achieve the following outcomes through its deployment:

<u>Build borrowers' capacity to improve the impact potential of GAIA's investments</u>
To ensure that GAIA project borrowers are supported on their journey of realizing their impact potential, specifically related to E&S, GESI, and broader climate smart approaches. For example:

- GAIA project borrowers are expected to establish and maintain their own Environmental and Social Risk Management Systems (ESMS) to assess, address, and monitor E&S risks and impacts of company operations in line with GAIA requirements. TA can be provided to support the development of such systems, as well as to build internal capacities to manage broader E&S risks and shift existing policies and practices. Additionally, TA can be provided to carry out critical E&S impact assessments which are required prior to and during various project phases, as well as to develop specific E&S management plans with comprehensive mitigation measures. These could include occupational health and safety plans; community health, safety, and security plans; emergency preparedness and response plans; and pollution prevention measures and management plans.
- GAIA will require that all borrowers submit a project/sector specific gender assessment and a gender action plan that reflects findings of the assessment. These documents should contain baseline information and realistic, specific, time-bound actions/goals. Gender Action Plans are expected to include relevant and context-specific commitments with regard to social

inclusion and the safeguarding of women and vulnerable populations. TA funds can be provided for the realization of prioritized commitments. FinDev Canada will leverage its experience in delivering TA specifically to advance gender action among private sector entities on this front.

- GAIA borrowers will be at the forefront of climate-smart technologies and innovations. The TA Facility will support borrowers in adopting and/or scaling the use of such technologies whether that is through assessment of how emerging technologies fit within the borrowers' business and operating models, equipping staff/teams to appropriately leverage new technologies, building demand-side capacity, etc.

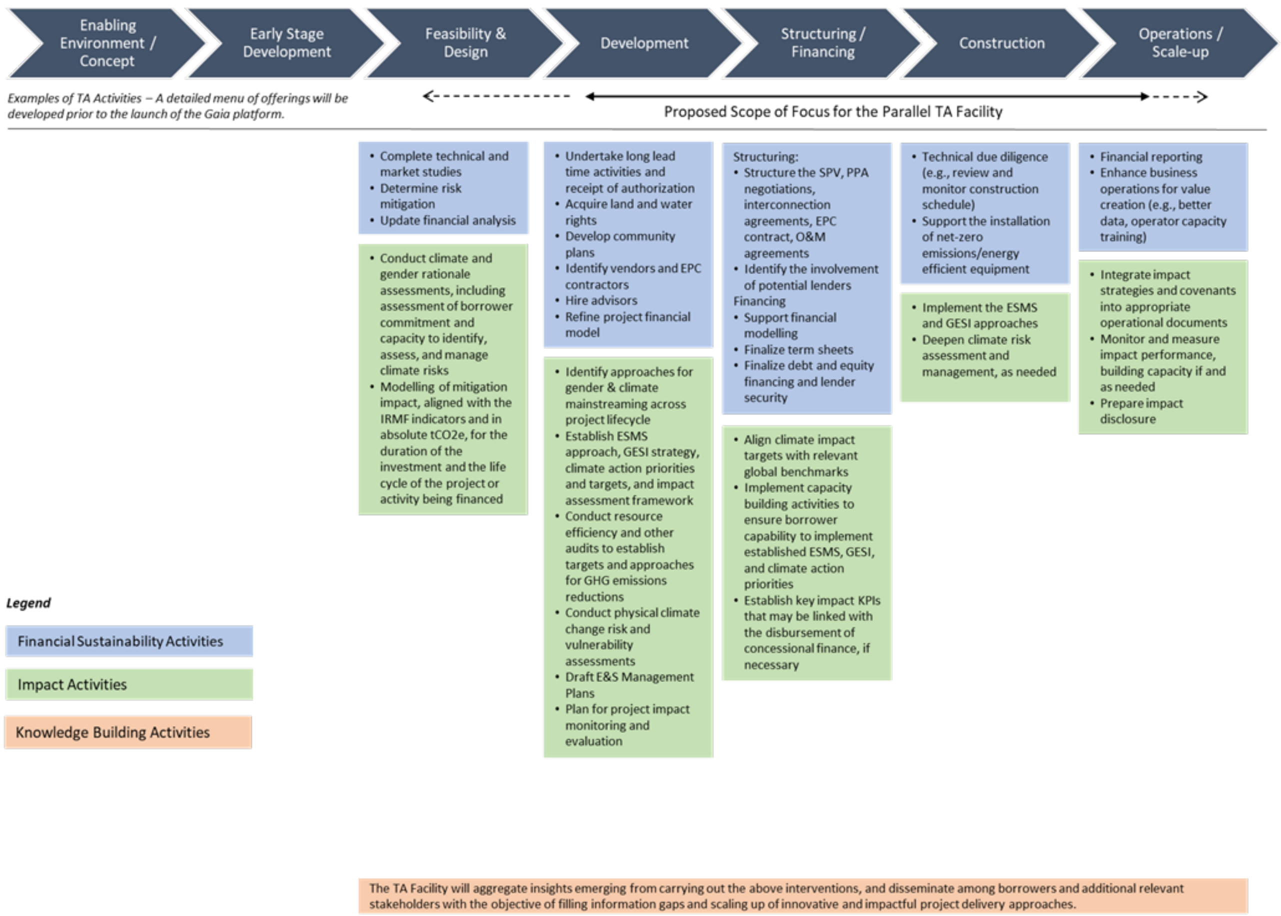
<u>Build borrowers' capacity to advance the financial sustainability of GAIA's investments</u>

Support that project financial models are strengthened throughout the life of a project. Further, to ensure effective and efficient project implementation, the TA Facility will support project borrowers to map out detailed project timelines, resource needs, risk mitigation approaches, as well as plan for timely engagement with potential vendors, suppliers and contractors. The TA Facility can also support market assessments, stakeholder buy-in exercises, and technical studies. Lastly, while the TA Facility will not directly establish or manage team structures, TA funds can be availed to project sponsors so that they can retain human resources support to strengthen leadership, retain appropriate technical expertise for critical project phases, and obtain specialized training.

<u>Contribution of evidence-based knowledge related to the themes, sectors, and countries of Gaia's focus</u>

Given the anticipated number of transactions under the GAIA facility, as well as the number of TA engagements, it is anticipated that critical evidence on what works and what does not will emerge from GAIA's operations. The TA Facility will aggregate these insights, and share them among relevant stakeholders with the objective of filling information gaps and supporting the scaling of proven project delivery approaches within the adaptation finance space in emerging markets and the LDCs and SIDS.

Figure 6: GAIA Parallel TA Facility Scope *(indicative)*



<u>Components, Activities, and Co-benefits</u>

The GAIA platform is structured with one Component (Component 1 – Financing) and a Parallel Technical Assistance (TA) Facility.

<u>Component 1 – Innovative, scalable and replicable financing structure</u>

Activity 1.1.1 Fundraising, Creation of the financing structure and financial closings

Description: This Activity includes the fundraising of remaining capital required, creation of the legal structure for the GAIA platform and reaching first and and consequent financial closings.

Source of Funding: Financing of this Activity will be sources from the GAIA Junior and Senior Investors.

Executing Entities: GAIA LP acting through the General Partner will be responsible for the implementation of this activity (contracting legal counsel; organizational documents; LPA, Intercreditor Agreement, etc.). GCF GAIA Holdco and GCF GAIA Holdco Manager are the EEs responsible for the implementation of GCF's participation. The AE is involved and has oversight to ensure alignment with FAA for GCF's participation.

Activity 1.1.2 Generation of pipeline projects

Description: This Activity includes ongoing sourcing of climate adaptation and mitigation projects for the pipeline.[24]

Source of Funding: Financing of this Activity will be sourced primarily from GAIA's operating cash flow.

Executing Entities: This Activity is implemented by the Executing Entities (GAIA LP and GP) which will have an Origination Agreement with MUFG as Origination Bank, which will engage with the relevant stakeholders for the sourcing of a wide range of potential projects which will be selected, prioritised, approved and deployed by the EEs.

Activity 1.1.3 Financing of climate projects through up to 15-year local and hard currency loans

Description: This Activity will include provision of local currency loans for terms up to 15 years in local and hard currency to sub-sovereign/quasi-sovereign issuers. These loans will, as described above, facilitate the implementation of adaptation and mitigation projects in the GAIA Countries, supporting implementation of the countries' identified national climate priorities.

Source of Funding: Financing of this Activity will include financing from the Senior Investors (MUFG, FinDev Canada), Junior Investors (GCF, FinDev Canada, Other Investors) and other commercial investors to be confirmed. Additionally, financing will be blended from other concessional and commercial sources via co-financing at the project level, when needed to suit the needs of the project or to finance projects larger than the scale GAIA can handle.

Executing Entities: GAIA LP (acting through the GP), Investment Manager, GCF GAIA Holdco and GCF GAIA Holdco Manager

Activity 1.1.4 De-risking mechanism

Description: This Activity includes the implementation and establishment of all of GAIA's instruments and mechanisms of credit enhancement and de-risking as detailed below:

- A junior concessional equity tranche that will be blended into the entire portfolio to act as a credit enhancement and allow for an adequate 'risk-return' profile for senior investors, to be funded by the GCF, FinDev Canada, and Other Investors;
- a USD75M-USD300M insurance/guarantee tranche acting as a credit enhancement mechanism by protecting senior investors would loan reflows be insufficient to repay them. Currently $50M to be provided by Axa XL (subject to final approvals);
- a USD20M FX hedging support on local currency loans to subsidize the FX hedging costs, to be funded by FinDev Canada, and;
- a First Loss Reserve Account (FLRA)[25] that offers protection to the junior tranche that will be funded through the excess income produced by the platform.

[24] Please see Annex 21A (Operations Manual) for additional description of the planned pipeline generation process, as well as Annex 2 (Feasibility Study) for a description of the indicative pipeline.

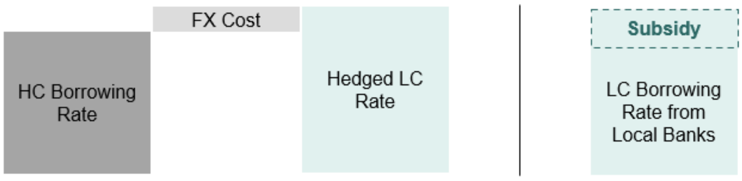
[25] Funding for the de-risking mechanism is described in Section C.1.(d) and is outside of the overall funding structure as part of this Funding Proposal.

Local Currency Loans: The local-currency loans that GAIA will provide will be exclusively what are called "synthetic local-currency loans", which means that the nominal financing is in local-currency but the cashflows (both disbursement and repayments plus interest) are paid in USD cash (using the spot exchange rate). So, GAIA will only need a USD cash account, and a USD balance for all its operation. The risk of the local-currency rate will be hedged at the GAIA fund level, via a cross-currency swap with MFX Solutions.

Hence, the cash flow between the borrower and GAIA fund will all be in USD. In case the borrower requests the financing amount to be indicated in local currency, the amount will be written in local currency in the Facility Agreement. With the agreement exchanged with MFX, GAIA will finance the equivalent amount in USD, and the currency exchange.

The FX hedging support is an innovative solution to allow local currency financing to be deployed without distorting local markets. The subsidy will be equivalent to the differential between (a) the hard currency (HC) rate once converted to local currency (LC) using a swap and (b) the borrowing rate offered by local banks. The subsidy will not be deployed as means to crowd-out and/or compete with local financing providers, it will only be used to cover the hedging costs and allow the Borrowers to evaluate between local and foreign currency based on the projects needs and not on transactions costs (i.e. hedge). It will be deployed only if the HC rate once converted to LC is unattractive to local borrowers since it stands above the local benchmark rates.

Figure 73: Illustration of the FX Support



Source of Funding: Financing of this Activity will include: (i) Junior Investors capital contribution for the concessional equity tranche (first-loss); (ii) primary financing from FinDev Canada and potentially a philantropic partner for the FX Hedging Facility; and (iii) GAIA LP's own cash flow and access to the FLRA and the mezz tranche. However as the Fund (GAIA LP, EE) develops and generates cash flow, part of the excess flows from GAIA LP will be channeled to the FX Hedging Facility.

Executing Entity: GAIA LP (contracting via the GP), Investment Manager, GCF GAIA Holdco and GCF GAIA Holdco Manager

Activity 1.1.5 Portfolio management and reporting to investors

Description: This Activity includes ongoing management of GAIA's portfolio and reporting on results to investors, based on the logframe indicators. The monitoring, evaluation and reporting activities will be led by the Investment Manager (IM) as mentioned above, with close collaboration from borrowers and implementing entities (when applicable).[26]

Source of Funding: Financing of this Activity will include financing be primarily from GAIA's operating cash flow but could use the resources from Senior Investors when applicable (in accordance with the financial model).

Executing Entities: GP and Investment Manager.

Outcomes and Outputs Under Component 1

***Outcome 1**: Reduced GHG emissions from climate mitigation projects contributing to low-carbon growth*

- The key indicator under Outcome 1 is the tCO_2e avoided/reduced/sequestered

Output 1.1 Low-carbon energy and transport projects are deployed

- The key indicators under Output 1.1 are 1) the level of deployment of financing allocated for mitigation projects under GAIA, 2) the number of mitigation projects built, and 3) the number of direct and indirect climate mitigation beneficiaries reached.

***Outcome 2:** Increased resilience of physical assets, ecosystems, and populations to climate change impact*

- The key indicators under Outcome 2 are 1) the value of assets built/improved from GAIA funded projects, and 2) the number of direct and indirect programme beneficiaries.

Output 1.2: Climate-resilient infrastructure, ecosystems and health, food and water services are built

- The key indicators under Output 1.2 are 1) the level of deployment of financing allocated for adaptation projects under GAIA, 2) the number of adaptation projects developed and built.

Output 1.3: Low-carbon and climate-resilient projects are co-financed

[26] Please see Annex 11 (Monitoring and Evaluation Plan) for further description/details of the programme's monitoring and evaluation framework.

- The key indicator under Output 1.3 is the percentage of transactions which will be syndicated or co-financed with other financial institutions. We will monitor the type of co-financer (local and regional financial institutions (private or MDBs (multilateral development banks) and GCF DAEs).

Outcome 3: *Enhanced capacity of project proponents to identify and manage E&S risks in climate projects*

- The key indicator under Outcome 3 is the improvement in capacity in counterparty institutions.

Output 1.4: Policies / procedures to identify, assess, and mitigate E&S risks are adopted or reinforced

- The key indicator under Output 1.4 is the number of policies, operational manuals or other formalized practices that are strengthened and applied to GAIA projects.

Outcome 4: *Enhanced economic opportunities for women and improved capacity of project proponents to consider the unique needs of women in climate projects*

- They key indicators under Outcome 4 are 1) the inclusion of women in key project roles, 2) the number of women beneficiaries, and 3) women representation in GAIA's governance positions.

Output 1.5: Policies / procedures to promote GESI and eliminate sexual exploitation, abuse, and sexual harassment (SEAH) and gender-based violence (GBV) are adopted or reinforced

- The key indicator under Output 1.5 is the improvement of counterparty institutions in line with the GESI.

Outcome 5: *Enhanced capacity of project proponents to access and mobilize climate finance and to address real and perceived risks of climate finance projects*

- They key indicator under Outcome 5 is the improvement in capacity in counterparty institutions.

Output 1.6: Strengthened capacity of national, regional and local institutions to develop, manage, mobilize and finance high-impact climate investments

- The key indicator under Output 1.6 is the number of national, regional, and local institution staff members trained to manage, mobilize, and finance climate investments.

Programme Co-benefits

Co-benefit 1: *Increased number of quality jobs contributing to sustainable and inclusive economic growth*

- They key indicator under Co-benefit 1 is the number of jobs created (disaggregated by sex).

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

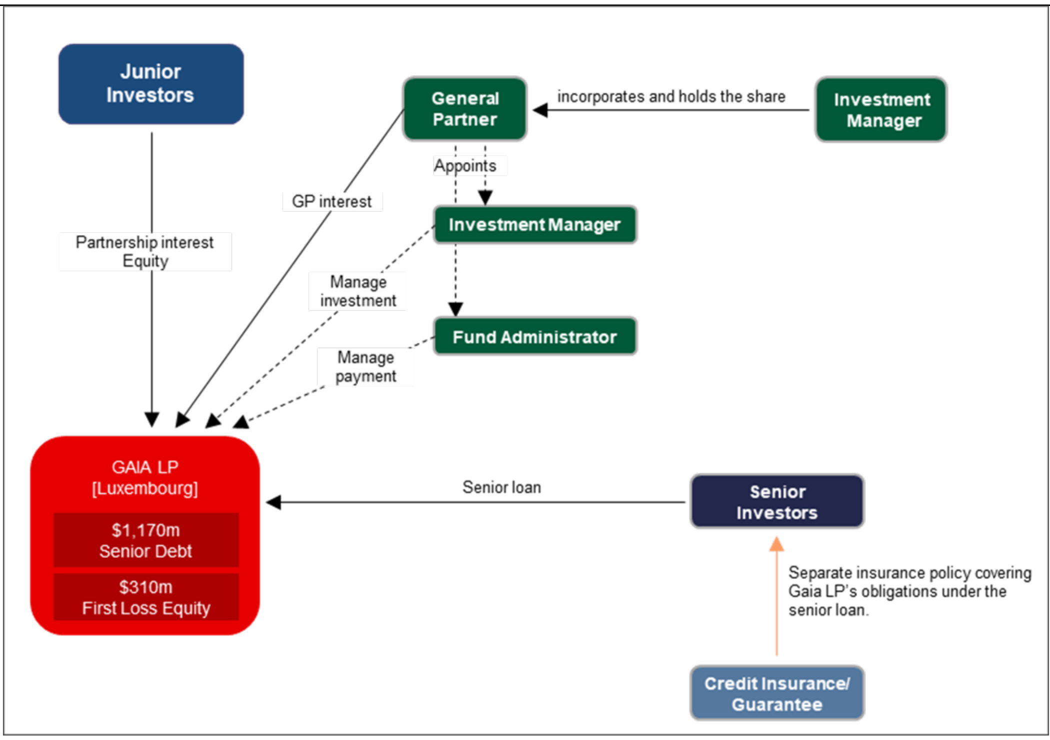
Legal Structure:

GAIA Fund is structured via a limited partnership established in Luxembourg and will be capitalised via Junior (Equity) and Senior (debt) Capital, in contrast to traditional PE Funds where the general approach is to have the capitalisation only via an LP structure (i.e equity).

GAIA structure is drawn from the typical Blended Finance archetypes that have been widely deployed globally[27] where its legal structure allows for the subordination of the concessional capital (equity) and adequate risk-return profile to commercial capital (debt).

Figure 8: GAIA Proposed Platform Legal Structure

[27] https://sdgshub.ui.ac.id/wp-content/uploads/2020/03/Blended-Finance-Archetypes-_-Underlying-Rationale.pdf



Executing Entities:

GAIA Climate Loan Fund Limited Partnership (Executing Entity): a newly-created limited partnership,registered in Luxembourg. The Fund will not be listed, and it does not possess separate legal entity and will act through the GP. However, as the governance of the Fund is set at the partnership level (i.e., through the LPA which only the Juniors Investors are the parties) the entity is to be classified as an Executing Entity. Additionally, acting through the GP, GAIA LP is the entity which will be providing the underlying loans to the Borrowers. GAIA LP is the vehicle in which the Investors will contribute its capital (debt or equity) as described in the image above.

General Partner (Executing Entity): The General Partner (GP) will be the Entity which will act on behalf of the LP (e.g., executing contracts). The GP role will be performed by an entity set up and managed by the Investment Manager.

Investment Manager – (Executing Entity): The appointed Investment Manager (IM)[28] under the GAIA platform will have responsibility over the due diligence before a deal is approved and portfolio supervision afterwards. The IM will provide an independent view and assessment of the transactions prior to approval and as an ongoing monitoring of the projects through their lifetime as part of GAIA's portfolio. The IM will oversee certain administrative functions of the GAIA Platform, present to the Credit Committee recommendations for investment, manage and monitor investments once in the portfolio, and report to the Credit Committee on the performance of the portfolio. The Investment Manager will oversee project administration and ensure project compliance with the AE's (MUFG) own relevant policies. The selected IM will undergo the AE Capacity Analysis' to assess its capacity to act as an EE for its role in the structure.

GCF GAIA Holdco and GCF GAIA Holdco Manager (Executing Entities): GCF's GAIA Holdco contribution to GAIA LP will be in the form of Junior Equity Contribution of a maximum of USD150M.The final GCF's total commitment will be the lower figure of one the following criteria: USD150M or [62]% of the total junior tranche; or [13]% of GAIA's total funding.

GCF proceeds will be channelled in the following manner:

- GCF to GCF GAIA Holdco (SPV) via the Accredited Entity: GCF GAIA Holdco is a special purpose vehicle incorporated as a limited-liability Company in Hong Kong SAR which GCF is the sole shareholder. GCF will use equity as the instrument to fund GCF GAIA Holdco.

GCF GAIA Holdco to GAIA LP: GCF GAIA Holdco, together with the others Junior Investors will be the Limited Partners to GAIA LP and contribute via equity.**Legal Agreements:**

Contractual Arrangements: Contractual arrangements that will be put in place of which GCF is represented:

[28] Global RFP being conducted. The selected Fund Manager will be announced by October 20th, 2023.

- FAA: GCF and MUFG
- Junior Equity (LPA): GCF GAIA Holdco (as Equity contributor and being fully owned by GCF)
- Governance Agreement (to be signed by all Lenders, Investors and the IM): GCF GAIA Holdco SPV

Jurisdiction of Establishment: The jurisdiction for the establishment of GAIA is Luxembourg. The decision of the jurisdiction of incorporation is subject to the final tax and legal due diligence from Legal Counsel, however under preliminary analysis, both jurisdictions are legally feasible for a structure as GAIA.

Limited Partnership Agreement (LPA): All Governance matters of GAIA will be set through the LPA. Although not all investors (Senior and Juniors) are part of the LPA, the rights of all investors are enforced and agreed via each respective Agreements and the Intercreditor Agreement. The LPA will determine the composition of Committees, roles, and responsibilities of each party, etc.

Subsidiary Agreement: MUFG, as AE, will enter into the Implementation Agreement and pass down obligations in the FAA and AMA to Executing Entities. The Implementation Agreement is a Subsidiary Agreement.

Capital Structure and Risk-Return Considerations:

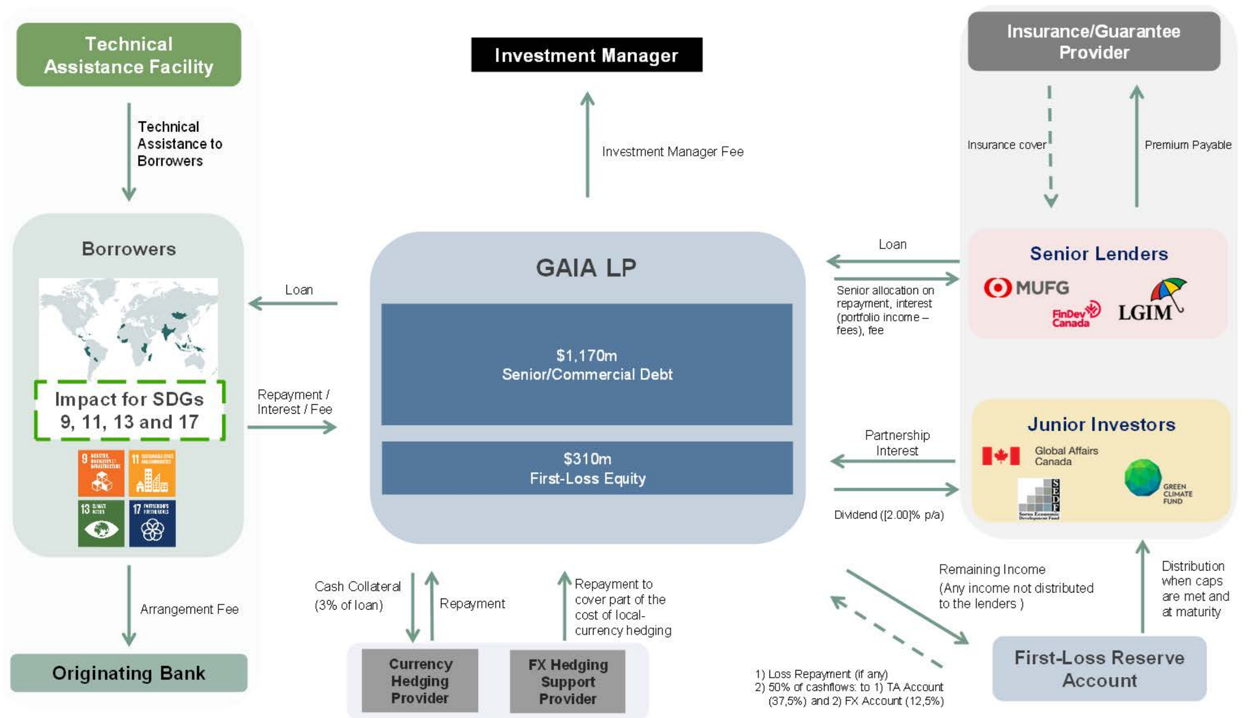
GAIA will raise senior capital (debt) and junior capital (equity). Senior lenders will have priority in receiving the underlying assets repayments while junior investors provide first loss absorption.

During the investment period, all investors commitments are drawn pro-rata to fund the underlying loans. During the repayment period, senior lenders will receive their cashflows first from GAIA LP.

The insurance/guarantee tranche will be provided directly to the senior lenders and will cover losses, up to a cap, that surpasses the Junior Equity amount.

Flow of Funds and Key Features:

Figure 10: GAIA Platform Flow of Funds



First-Loss Reserve Account (FLRA): Every six months the reserve account accumulated funds get divided 50% to the FLRA, 37.5% to the FX Hedging Account, and 12.5% to the TA Facility Reserve. Any income from the portfolio that is neither distributed nor allocated to the TA Facility (12.5% of the FLRA/excess spread) or the FX Subsidy Facility (37.5% of the FLRA/excess spread) will be kept by the Fund and credited to an FLRA, which can be used to offset future Portfolio Losses.

Currency Hedging Counterparty: MFX will be appointed to provide currency hedging services, which are key for GAIA's achievement of impacts within its selected countries. The Originating Bank, IM and Fund Administrator will be the stakeholders dealing with MFX throughout the investment process and portfolio management. GAIA LP with formalise its relationship with MFX through an ISDA (International Swaps and Derivatives Association) Master Agreement and is the Contracting Entity of the swaps.

Fund Administrator/Custodian /Depository: [TBD – to be awarded together with the IM]

Underlying Loan Facility Agent: [MUFG/TBD]

Conflict of Interest:MUFG is aware of potential conflicts of interest between the roles MUFG Group is undertaking in the platform. The different roles MUFG is undertaking can be described as:

- AE: MUFG will oversee the programme implementation and ensure GCF policies are correctly cascaded to the EE's and underlying loans. Specifically, it dedicates a full-time team to monitor Funded Activities and the EE's compliance with FAA and AMA requirements – this includes analyse periodic performance reports, to oversee/control disbursement of GCF disbursements. It will assess achievement of Programme, targeted outcomes and results as per the log-frame and in accordance with IRMF. It is also under the AE's responsibility to commission independent interim and final evaluation of the programme. The team undertaking this activity is part of MUFG Bank, Ltd (Tokyo).
- Senior Investor: MUFG Bank Ltd, London Branch contributes up to USD295M to the senior tranche of the platform and holds a role within the Credit Committee for transaction approvals.
- Origination Bank: MUFG, via an Origination Agreement with GAIA LP, will front the pipeline sourcing and deal origination efforts.

Governance Structure:

The Governance Structure of GAIA has been designed to ensure appropriate supervision and representation to the GAIA Investors. It seeks to leverage the expertise from the partners of the programme and guarantee that this is procured adequately in each forum, as well to create alignment between interest and control.

Financing and Closing Strategy:

Upon approval of GCF – GAIA will proceed and finalise with its set-up (incorporation; agreements; etc) and target to be launched within 6-9 months.

In parallel to the approval process and platform set-up, GAIA is actively identifying and raising additional financing for the amounts necessary to reach the target full size. It is important GAIA becomes operational rapidly, which through creating a portfolio – will create the track record and proof of concept of the investment thesis of the platform. This will be key to scale GAIA and enable replication of the concept.

Therefore the platform will retain the flexibility of: (i) first financial close of a minimum of $300m and (ii) multiple closings feature [quarterly] to scale the platform to full size within [36] months of GCF Board approval.

The Junior Investors commitment will always equate to 21% of Fund Size – therefore throughout the multiple closings – GCF (and the other junior investors) contribution will only be released and become available as the senior tranche is increased accordingly.

Key Stakeholders:

FinDev Canada: FinDev Canada is the lead institution on the development and implementation of the Parallel TA Facility, which is key for the overall implementation of the platform. FinDev Canada brings expertise in working in EMs and LDCs, in integrating impact measurement and management in all investments, and in providing TA. As Canada's bilateral DFI, it was established in 2018 to complement Canada's range of international development assistance mechanisms and help bridge the financing gap to realize the UN SDGs and the Paris Agreement. FinDev Canada has developed a best-in-class development impact management system, aligned with the Operating Principles for Impact Management.

FinDev Canada has committed to increase the climate finance allocation to 35% of its portfolio by 2025 and has built a portfolio with net-negative emissions for both annual GHG emissions and cumulative GHG emissions since its inception in 2018. For more information on FinDev Canada, please see Annex 23.

Insurance/Guarantee providers: Currently AXA XL has indicated up to $50m in appetite for the insurance tranche. GAIA partners are exploring additional amonts with a number of potential counterparties (private and public) to increase the platform to $75-300m.

MUFG: As the program's AE, MUFG brings extensive expertise in climate finance and specifically with the GCF. MUFG has been accredited since 2017 and, as of 2022, has three approved projects (FP115, FP128 and FP197) and one approved Project Preparation Funding project (PPF045). Through its Carbon Neutrality Declaration in 2021, MUFG has committed to achieve a net zero emissions finance portfolio by 2050. MUFG is a market leader in issuing, underwriting, and arranging ESG loans and bonds, and has a track record of delivering competitive financing in EMs across the globe through offices in 50 countries. MUFG has significant experience in direct investing in EM's quasi-sovereign private credit. MUFG is a global leader for project finance in climate impact projects. MUFG has financed over 578 transactions representing over 130GW of renewables generation capacity.

In 2020, MUFG committed USD3.1B to the sector earning the position of No. 2 ranked Lead Arranger in the "Bloomberg New Energy Finance: Clean Energy and Energy Smart Technology League Tables". In addition, MUFG is an active lender for social infrastructure and SDG-accretive investments, tied for No. 2 rank among Top Commercial Investors in Blended Finance by Number of Commitments (2015-2020), according to *Convergence's State of Blended Finance 2021*.

Junior Investors: In addition to GCF, GAIA will count with additional Junior Investors across the spectrum of concessional capital such as FinDev Canada, and Other Investors.

Technical Partners: One of the key features of the platform is its extensive ecosystem of partners. As strategic technical partners, these entities will be engaged across the investment process supporting a range of activities from project origination and preparation through implementation and monitoring.

The partnership is envisaged to happen in the following manner throughout the different stages of the investment process:

1) Deal Sourcing: Support MUFG (as Originating Bank) to identify transactions within GAIA's eligibility criteria; leveraging the entities' presence in country and the policy, sectoral and and programming support provided to countries.
2) Screening and Structuring: Support GAIA in collecting, consolidating and structuring the climate and impact details of a transaction, and provide technical assistance to preparation of projects for financing. This could include but is not limited to development of social and environmental safeguards plans, gender plans, stakeholder engagement, and relevant feasibility studies.
3) Full Assessment: Advisory support, together with the IM, for pre-investment due diligence process especially related to climate and development co-benefits of the proposed transaction.
4) Monitoring and Evaluation: Potential support the GAIA platform with ongoing monitoring and evaluation of transactions including impact measurement. Engagement in providing advisory, technical assistance, and capacity building services for child investments/platform stakeholders.

In addition to the technical assistance delivery in the investment process – a number of Technical Partners are also AE's/DAE's and can also collaborate to leverage and catalyse their AE role by crowding in GAIA's financing to proposals that are seeking grants from GCF. Note that in the event of transactions with dual contributions from the GCF, there will not be double counting of impact and the GCF will be able to assess if this co-financing is in line with its priorities prior to approval. In line with the above, GAIA had entered into discussion with a number of entities (as detailed in annex 7) as key stakeholders and Technical Assistance Delivery Partners. An MoU/Statement of Collaboration is expected to be signed to further detail the areas of engagement with each of the partners (template in Annex 32).

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Justification for GCF Funding

Benefitting from GCF's equity contribution and encouragement in terms of platform design, GAIA aims to establish a replicable and scalable blended finance platform for global institutional investors to follow. Focusing most of its portfolio activity on adaptation investments, GAIA places itself squarely astride the challenge of how to accelerate and massively scale up financing to address an adaptation gap whose requirements run to high-end estimates of USD500B per annum by 2050.

While the efforts of many specialised climate funds and multilateral development banks have helped increase the quantum of climate-relevant investments in developing countries, the majority of blended finance activity remains focused on climate mitigation projects, principally renewable energy generation in middle income jurisdictions (Convergence 2022). Overall, mainstream institutional investors do not invest directly in low- and low-middle income jurisdictions to any material degree. This heightened perception of risk is further aggravated with regards to climate-resilient investments. Private sector investment in climate adaptation projects represents a modest 3.1% compared to 55.6% invested in climate mitigation worldwide (CPI, 2020).

Without well-established methodologies for measuring the forward-looking effectiveness of adaptation investments, capturing a reduction in vulnerability to climate shocks, benefit streams that might inform financial models are lacking. National and regional context, articulated through local partners, is critically important as is flexibility in terms of the scale and approach to financing. For these reasons, adaptation investments present considerable challenges to mainstream private sector investors that otherwise have the financial resources to transform radically the scope of financing for resilient infrastructure.

GCF's support for GAIA makes it possible for the platform's financing partners to address this market failure head-on. The financing structure at the heart of the GAIA platform is built around GCF's equity contribution, crowding in other concessional partners that form the foundation of GAIA's blended finance architecture. The junior equity risk-mitigation tranche stabilises the senior debt tranche above it, mobilising several of the world's most prominent private sector and philanthropic financial partners to arrive at a USD1,482.5M overall platform size.

Currently in the targeted financial structure of GAIA at USD1,482.5M:

- USD310M of junior equity - which GCF contributes with USD150M (plus USD2.5M non GAIA amount) alongside FinDev Canada with USD70M and Other Investors for USD90M[29] - will be supplemented with;
- USD1,170M of senior capital that will be provided by: USD295M by MUFG; USD75M by FinDev Canada, USD25M by LGIM and USD775M by additional sources to be identified.
- The financial core of GAIA, underpinned by GCF's contribution, also benefits and leverage a USD75-USD300M insurance/guarantee facility and a parallel USD50M Technical Assistance Facility.

GCF's financial contribution, risk-mitigating the blended finance structure alongside the concessional partners it has crowded in, supports GAIA's investment across critical climate sectors of intervention, with 70% of portfolio expenditures dedicated to adaptation financing. The remainder of portfolio expenditures will focus on mitigation investments including those with adaptation co-benefits.

GCF also makes possible the platform's ability to dedicate a significant proportion of its activities to more vulnerable jurisdictions, with a minimum portfolio allocation of 25% to LDCs and SIDS. Furthermore, most of GAIA's targeted countries are in GCF Priority Group Countries. This is a considerable innovation and advance on traditional blended finance programs in respect of both climate sector and geographic focus.

As noted above, flexibility in terms of project size and approach are critical to achieving platform objectives. GAIA's portfolio approach, made possible by the fund's tranched structure built upon GCF's seminal investment, allows for a range of investment sizes per project that would be unimaginable for mainstream investors in conventional investment contexts.

Minimising Concessionality: To minimise the quantum of concessional capital required, GAIA platform's design emphasises scaling up the senior tranche to maximise overall portfolio size while preserving stable risk characteristics across the portfolio. Standalone blended finance transaction structures in frontier markets (e.g., African jurisdictions with B+/BB- credit ratings) that incorporate private sector financing often require material first loss protection. Diversification resulting from the portfolio construction approach in GAIA allows for a 21% junior tranche attachment point and a 5:1 ratio of senior to junior financing.

The mobilising impact of the junior equity tranche is amplified by the incorporation of a second-loss, insurance/guarantee tranche which will be provided by private and public entities, namely AXA XL who has indicated up to $50m in appetite. GAIA thus leverages the risk-mitigation effect of paid-in concessional first-loss capital, anchored by GCF, with insurance and guarantees — a highly efficient pairing of public-private risk distribution instruments. GCF's USD152.5M financial contribution thus mobilises public-private climate resilience financing with an almost 9x leverage ratio.

Additional concessional capital will be available on a project-by-project basis for projects that are located in the more vulnerable economies (i.e., projects located in LDCs/SIDS). This project-level concessional capital could come in the form of grants, concessional loans, etc., and will be negotiated with interested investors during the project development cycle.

GAIA's design privileges sustainability and the long-term financial integrity of the platform through the establishment of a reserve account. This account will be replenished by portfolio interest retained after agreed levels of targeted net return are paid out to senior and junior tranches. The reserve account serves several purposes, including redeploying concessionality back into the platform. First, it helps compensate for any losses the junior investors will bear, thus allowing the platform to preserve its original size through the revolving phase. Second, apportioning half of accumulated funds to the Technical Assistance facility (12.5%) and the FX facility (37.5%), the reserve account will allow GAIA to do more local currency lending and sustain its focus on innovative adaptation financing that may require technical assistance. These are important functionalities of the platform that contribute to its climate and development additionality. Transfers will be completed every [six months] out of the reserve account. The impact of the junior tranche will be complemented and enhanced by an USD[75-300]M second-loss insurance/guarantee coverage provided by Axa XL [$50m] [subject to final approvals] and others, a first-loss reserve account (FLRA), and an FX Support Facility capitalized with USD[20]M which will help with the cost of hedging loans delivered in local currency.

Additionality: GCF concessional funding to Gaia creates a financial architecture allowing commercial investors to provide financing that will be additional to current market options. GAIA aims to avoid distorting local markets and crowding out commercial financing. The platform will operate with the intent of collecting market clearing returns on its sub-loans.

Gaia financing creates a new hybrid borrowing option that sits at the interface of multilateral concessional funding and pure commercial market options. It marries aspects of both developmental and commercial capital by offering $5-75M long term illiquid loans in both hard and local currency.

While also offering borrowers technical assistance to ensure the ultimate success of the projects. Gaia's principal investment focus on climate adaptation assets, incorporating early stage project design, sighting and impact measurement assistance, marks out a singular, scalable public-private contribution to partner countries' resilience programming.

[29] 'Other Lenders' could include the Soros Economic Development Fund, but they are currently undergoing their due diligence process

GAIA's Concessionality: In addition to catalysing the creation of Gaia's new hybrid capital model, GCF concessional funding allows all public sector borrowers to benefit from loans priced at the sovereign rate plus a slight liquidity premium without mandatory requirement of an explicit sovereign guarantee.

This lack of credit cost differentiation across sovereigns, sub-sovereigns, agencies and quasi-sovereign PPP financing structures would otherwise not be possible for commercial investors if GCF concessional funding were not present in the Gaia structure. Public finance affordability of Gaia's support for partner countries' national adaptation and greenhouse gas reduction investments is privileged through the very long-term profile of repayment terms associated with project financing, made available in local currency at the option of the borrower to eliminate foreign exchange volatility.

Financial adequacy and appropriateness of GCF's concessionality: From the revenue generation side of GAIA, this is based on the return from the interest earned from the underlying loans. GAIA's loan portfolio pricing approach will be on a loan-by-loan basis and will be in-line with the sovereign yield with similar weighted average life or maturity. GAIA's structure allows to bring additionality of lending at rates aligned with the sovereign rate for subnational projects while ensuring market clearing returns for the partners. It is important to note that under complex or illiquid (e.g., complex non-recourse project finance or a 15 year tenor loan with a long grace period), the pricing may potentially include an additional spread above the sovereign debt curve (as a reference point), in a manner aligned with market standards and pricing environment within the relevant jurisdiction, sector and financial structure.

The proposed return of the Junior Investors is structured to provide annual return that is adequate to remunerate the Junior Investors throughout the life of the Fund and the distribution in the end of the Fund's life provides the Junior Investors to also have access to the excess returns generated by GAIA.

B.6. Exit strategy (max. 500 words, approximately 1 page)

GCF represents the foundational investment for the GAIA platform, across several dimensions. As the strategic anchor for the junior concessional tranche underpinning the entire blended financing structure, GCF's presence validates the tranched approach to the fund architecture and provides critical balance for complementary investments by FinDev Canada, Other Investors and a second-loss insurance tranche from AXA XL and others. In other words, diversified scaling up of the junior equity tranche— an innovative amalgam of GCF, governmental, philanthropic and insurance capital— is only made possible by the legitimising authority of GCF's performance management template and, consequently, confidence in the depth of programmatic impact across mitigation and adaptation investments; and belief by these influential partners in the potential for a radical step forward in public-private approaches to large-scale climate finance solutions.

The junior equity foundation built around GCF's fulcrum investment has catalysed and dramatically scaled-up the private sector-led senior tranche. GCF's subordinated investment enhances the senior portfolio in structured credit terms, transforming underlying risk and facilitating the large-volume senior contributions in this fund. And in turn raises the ambition of the platform to take on more rigorous allocations in terms of LDC/SIDS and climate adaptation percentages. Equally, core design features of the platform have emerged directly from GCF's strategic guidance in terms of replicability and sustainability— and the imperative to maximise additionality from each concessional dollar invested. At its essence, GAIA is a template to be scaled and further used,and sets out to innovate beyond traditional donor-supported credit enhancement structures with an eye to self-resilience and longevity. Retention of a proportion of GCF's concessional contribution, apportioned principally to the First Loss Reserve Account (FLRA) but also flowing to the FX Facility and Technical Assistance, self-reinforces the fund's capacity not only for loss-bearing but impactful origination in more vulnerable jurisdictions and less-familiar adaptation sectors requiring TA. The overarching priority of far-reaching social and climate impact, integral to GAIA's investment thesis, is thus preserved and strengthened over time.

There is a circular coherence to GAIA's design that directly echoes the constituent elements of the Paradigm Shift Potential (Scale, Replicability, Sustainability) that guides the GCF's Integrated Results Management Framework. GCF is building a best-practice public-private climate financing model that progressively supports itself through transparent mechanics readily transferrable to and built upon by future climate-finance platforms. The sustainability of the paradigm shift will be further developed by involving local banks, including AE's and Direct Access Entities (DAEs), in creating the capacity and knowledge sharing for those entities to also originate and finance further projects.

Structurally, GAIA will have a 7.5-year initial disbursement period (the ramp-up phase) and a 30 year lifetime. From the inception until the 15th year anniversary, the Fund will be a Revolving Facility where all the proceeds from loan amortizations will be reinvested in the Fund to extend new loans to borrowers. The 15th year anniversary marks the end of the Revolving investment phase and the start of the Wind-down of the Fund. Principal repayments from the underlying loans will be used to repay the senior investors first and then the junior investors.

GREEN CLIMATE FUND

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FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount	Currency
	152.5M	million USD ($)

GCF financial instrument	Amount	Tenor	Grace period	Pricing
(i) Senior loans	Enter amount	Enter years	Enter years	Enter %
(ii) Subordinated loans				Enter
(iii) Equity	152.5M	30 years	15 years	3.50%-4.10% p.a. expected IRR (made up of: 2.00% p.a. target fixed return, and a variable lump sum payment representing the balance of relevant accounts at maturity) % equity return
(iv) Guarantees	Enter amount	Enter years		
(v) Reimbursable grants	Enter amount			
(vi) Grants	Enter amount			
(vii) Results-based payments	Enter amount			

(b) Co-financing information	Total amount	Currency
	1,330M	million USD ($)

Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
MUFG	Senior Loans	295M	million USD ($)	30 years 15 years	[SOFR+385 bps] (illustrative) based on market conditions	senior
FinDev Canada	Senior Loans	75M	million USD ($)	30 years 15 years	[SOFR+385 bps] (illustrative) based on market conditions	senior
LGIM[30]	Senior Loans	25M	million USD ($)	30 years 15 years	[SOFR+385 bps] (illustrative) based on market conditions	senior

[30] Indicative – entity undergoing due diligence and approval process

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[Other commercial investor]	Senior Loans	775M	million USD ($)	30 years 15 years	[SOFR+385 bps] (illustrative) based on market conditions	senior
FinDev Canada	Equity	70M	million USD ($)	30 years 25 years	3.50%- 4.10% p.a. expected IRR	junior
Other Lenders	Equity/	25M	million USD ($)	30 years 25 years	3.50%- 4.10% p.a. expected IRR	junior
Other Investors	Equity	65M	million USD ($)	30 years 25 years	3.50%- 4.10% p.a. expected IRR	junior
Total financing (c) = (a)+(b)	**Amount**			**Currency**		
	1,482.5			million USD ($)		

(d) Other Financing Arrangements

Five other arrangements will support the deployment of the financing outlined in the table above:

- Up to USD50M for the Parallel TA Facility [subject to final approval] beginning with an initial capitalization of USD5M coming from the government of Canada [subject to final approval]. Given that TA will be deployed as grants primarily, GAIA's TA Facility is expected to be funded by a range of donor organizations and philanthropies (including FinDev Canada) with aligned mandates. This will occur on a rolling basis; a first phase of fundraising will focus on the TA Facility's initial priorities, and so on. Over time, the TA Facility will also review the business models of existing PPFs to explore how the resource requirements of the Facility can be maintained over time.
- USD75-300M second-loss insurance to further enhance the GAIA. This would benefit senior investors and allows to increase the size of the senior tranche. Subject to approvals, AXA XL has indicated appetite up to $50M [subject to final approval].
- A USD20M hedging facility [subject to final approval] will support the provision of loans in local currency. Additionally, the Rockefeller Foundation is considering providing a USD5M loan [subject to final approval] to finance the cash collateral required for the hedging mechanism. The specifics around The Rockefeller Foundation's participation in GAIA are still being discussed. However, the Foundation has remained an active partner in the formation of the platform and has indicated its intention to participate.
- A First Loss Reserve Account (FLRA) will help offset losses borne by the junior investors and will also serve to top up the FX and the TA facilities, and to allow GAIA to bring on additional senior capital in future.
- USAID and IFAD are currently exploring a financial investment to GAIA, in addition to their current important technical role in the ecosystem. Further details of their participation are currently being assessed. Both USAID and IFAD are active partners in the formation of the platform and has formalised its intention to participate (as per their letters of support in Annex 13).
- GAIA will work with originating partners_and others to blend additional sources of financing at the project level as appropriate, whether to seek co-financing of projects that are larger than can be taken by GAIA alone, to include additional concessional capital where needed, for example in LDCs and SIDS, and may contract additional credit or other insurance for some transactions.

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	Output	Indicative cost million USD ($)	GCF financing		Co-financing		
			Amount million USD ($)	Financial Instrument	Amount million USD ($)	Financial Instrument	Name of Institutions
Component 1 – Innovative, scalable and replicable financing structure	Output 1.1: Low - carbon energy and transport projects are deployed	$444.75M	$45.75M	Equity	$351M $48M	Senior loans Equity	MUFG, FinDev Canada and Other Institutions
	Output 1.2: Climate-resilient infrastructure, ecosystems and health, food and water services are built	$1,037.75 M	$106.75M	Equity	$819M $112M	Senior loans Equity	MUFG, FinDev Canada and Other Institutions
	Output 1.3: Low-carbon and climate-resilient projects are co-financed	N/A	N/A	N/A	N/A	N/A	N/A
	Output 1.4: Policies/procedures to identify, assess, and mitigate E&S risks are adopted or reinforced	NA	NA	N/A	N/A	N/A	FinDev Canada & Other Organizations via Parallel TA Facility (TBD)
	Output 1.5: Policies/procedures to promote GESI and eliminate SEAH and GBVH are adopted or reinforced	NA	NA	N/A	N/A	N/A	FinDev Canada & Other Organizations via Parallel TA Facility (TBD)
	Output 1.6: Strengthened capacity of national, regional and local institutions to develop, manage, mobilize	NA	NA	N/A	N/A	N/A	FinDev Canada & Other Organizations via Parallel TA Facility (TBD)

	and finance high-impact, high-standard climate investments						
Indicative total cost (USD)		$1,482.5M	$152.5M		$1,330M		

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)	
C.3.1 Does GCF funding finance capacity building activities?	Yes ☐ No ☒
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

GAIA will include a Parallel TA Facility, managed by FinDev Canada, to help structure transactions as well as bolster the capacity of sponsors and operators in the areas of project development, sustainability practices and impact management.

EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. 500 words, approximately 1 page)

Mitigation Impact

Mitigation proposals, besides being aligned to the pre-eligibility criteria, must also provide estimates of projected emissions reductions against credible baselines, aligned with the IRMF indicators and in absolute tCO_2e, for the duration of the investment and the life cycle of the project or activity being financed. A mitigation proposal will not be eligible without a commitment to transparent reporting of emissions at the widest scope cost-effectively feasible.

To estimate the climate mitigation potential of GAIA, a sample of representative projects covering result areas MRA 1 and MRA 2 were selected from GAIA's indicative pipeline. From this sample, the climate mitigation impact of GAIA was extrapolated, with the assumption that 15% of the total capital would support projects under result area MRA 1 and 15% would support projects under result area MRA 2. The climate impact, baseline scenario, project intervention, project output and co-benefits are described for two projects in Annex 22B.

Based on these assumptions, GAIA aims to contribute to the reduction or avoidance of approximately 1,018,450 tCO_2e per year (30.5 M tCO_2e over its lifespan of 30 years). The underlying calculations are further detailed in Annex 22A.

GAIA partners and the IM have experience in applying international standards for GHG accounting. Generated, reduced, avoided, and sequestered emissions of every investment will be measured *ex ante* during due diligence and will be re-assessed annually *ex post* over the duration of the investment period. This approach is based on the following globally recognized standards: GHG Protocol, Verified Carbon Standard, Gold Standard, 2019 Refinement to the 2006 IPCC Guidelines for National Greenhouse Gas Inventories, Clean Development Mechanism, IFI's Guideline for a Harmonised Approach to GHG Accounting and PCAF's Global GHG Accounting and Reporting Standard for the Financial Industry. Please refer to Annex 22B for additional information on the specific methodologies that will be used to measure the climate mitigation impact of each mitigation activity.

Adaptation Impact

Adaptation proposals, besides being aligned to the pre-eligibility criteria, must provide a comprehensive climate rationale for adaptation including detailed information on each of the four main pillars from GCF's guidance (Adaptation Guidance, March 2022): identification, response, policy alignment, and monitoring and evaluation.

To estimate the climate adaptation potential of GAIA, we developed a bottom-up approach with a sample of 52 adaptation projects across the three GCF result areas and through different countries targeted by GAIA. These projects have been sourced from the portfolios of the GAIA partners and the IM, public sources, and from an indicative pipeline of projects that the platform could finance which is originated from direct Country Engagement and discussions with Origination Partners. From this sample of representative projects, the climate adaptation impact of GAIA was extrapolated assuming 20% of the total capital support projects under result area ARA 2, 25% under ARA 3 and 25% under ARA 4. In Annex 24B, we have selected three projects from this sample for which we have detailed the climate impact, baseline scenario, project intervention, project output and co-benefits.

Based on these assumptions, we estimate that the platform will impact approximately 6.49 million people (i.e., USD 160/direct beneficiary) and 12.98 million people (i.e., using a ratio of 2 indirect beneficiaries for each direct beneficiary). Based on the population mix of targeted countries, 50% of the beneficiaries are expected to be women. Detailed calculations are provided in Annex 24A.

The estimated number of potential direct beneficiaries per USD invested and indirect beneficiaries should be seen as a reference point at the platform level rather than a minimum requirement for investing in a project. Contextualization is essential when it comes to assessing adaptation-focused projects and estimates will greatly differ by sector as well as by country, recognizing important disparities at the project level as it relates to different factors like beneficiary definition, population density and cost of production, including cost of materials, their transportation, and cost of labor, among other factors. We will also take into account the level of vulnerability of the beneficiaries and the scale of impact at project level, for instance where a significant impact on more vulnerable beneficiaries could justify an investment in a project with a higher USD per beneficiary ratio. GCF's Sectoral Guides will be used to refine our assumptions at project level, providing guidance on country needs and sector specific characteristics.

Project-level assessment will be supplemented by a macro analysis of physical risks, including from external sources such as ND-GAIN, Climate Impact Lab, Aqueduct (World Resources Institute), Climate Central or the Global Wildfire Information System (GWIS). This analysis will be used to help articulate how adaptation projects will contribute to the reduction or prevention of identified climate vulnerabilities and prioritize parallel TA interventions to maximize outputs.

Please note: In the instances of refinance (as described in Section B.3) adaptation/mitigation impacts would only be counted once, unless additional impacts occur that have not been recorded.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Innovation

GAIA's innovative financing model will mobilize private sector capital from large institutional investors by using blended finance solutions in EMs that otherwise would not be targets for investment. By mitigating heightened credit risk and market failures, including difficult to manage FX risk and limited institutional capacity for investment, GAIA engineers a risk-return nexus that ensures market clearing returns for its private sector investors while promoting accessible and adequate financing to the countries. It does this while also making investments that adhere to an impact measurement framework currently under development that will integrate the high standards of development finance to maximise development impact outcomes. This approach of marrying impact and climate finance is innovative for private sector investors, who have different risk-return requirements.

Our research indicates that no such structure has yet been created. While impact investing platforms with institutional investors involvement exist, they are either (a) not initiated by institutional investors, (b) focused essentially on mitigation measures or micro-finance, (c) do not have allocation to LDCs and SIDS, (d) are equity focused, and/or (e) of a smaller scale. Such platforms include Climate Investor One, Climate Finance Partnership, Danish Climate Investment Fund, Green for Growth Fund, and SilverLand Fund. GAIA's envisaged structure would thus be the first of its kind. It would be the first large scale (USD1B+) impact platform that (a) stems from institutional investors-led initiative, (b) focuses primarily on adaptation measures in EMs, (c) has a set allocation to LDCs and SIDS, and (d) has a fully committed structure capable of making long term illiquid loans in both local and hard currency.

GAIA is new financial technology that we hope will disrupt and scale climate finance in EMs.

Potential for Scaling Up and Replication; Potential for Knowledge and Learning

A key objective of the platform is to create a more efficient investment process, enabling many new smaller-sized projects to enter the investment scope of larger investors who usually target sizeable investments of USD200M and above, a scale which is not common in EMs. By committing USD1,170M to the program, GAIA's Senior investors demonstrate their conviction that sustainable development and financial performance can go hand in hand. The GAIA platform will facilitate replicability of similar financing structures that will also result in low-carbon growth and increased climate resilience.

The philosophy and vision underpinning GAIA is to become a lasting and replicable platform that will catalyze private capital towards sustainable investments in EMs. From borrower capacity building through TA to its proprietary impact measurement framework, GAIA will establish a new benchmark and a lasting impact aimed at SDG-focused investment.

GAIA aims to contribute to the reinforcement and creation of an enabling environment for this type of investment through a close collaboration with local stakeholders and by acting as a knowledge hub for best practices and tools to be shared with investment partners. The Parallel TA Facility will result in strengthened capacities of institutions to develop, manage, mobilize and finance high-impact, high-standard climate investments, especially in the relatively newer field of adaptation financing.

Contribution to the creation of an enabling environment

GAIA will mitigate systematic barriers to financing climate resilient solutions in vulnerable countries. Bridging LDCs and SIDS government entities' access to institutional capital has the potential to notably enhance local government capacity, incentivize the strengthening of national institutions, increase analyst coverage, reduce perceived risks, bring new liquidity to these local markets, and lower FX hedging costs. By cross referencing the target country NDCs and NAPs, GAIA will create a targeted origination approach aiming to provide long term private capital specifically oriented toward low-carbon and climate-resilient projects.

GAIA will facilitate an 'enabling environment' where systemic barriers to financing climate resilient solutions in vulnerable countries are mitigated, and further climate mitigation and climate resilience can be achieved.

Overall contribution to climate-resilient development pathways

The investments will be aligning with NDCs, NAPs, and other identified national priorities. This will be an eligibility criterion and will be included in the GAIA project selection scorecard as outlined in the programme Operations Manual (Annex 21A). Please see Annex 21A for a description of the process for eligibility and selection criteria envisaged.

D.3. Sustainable development (max. 500 words, approximately 1 page)

With GCF's support, GAIA will directly contribute to several SDGs, in particular Goals #5, #6, #7, #9, #11, #13, and #17.

Environmental Co-Benefits: GAIA will target decarbonization projects as well as projects with the potential to improve air quality, reduce soil and water pollution, and preserve biodiversity, ecosystems, and landscapes.

Social Co-Benefits: GAIA aims to improve the climate-resilience of communities (i.e., better access to water and food, health improvements, reduction of natural disasters' consequences on living environments, etc.), and reduce social inequalities by addressing the needs of vulnerable populations, particularly women.

Economic Co-Benefits: GAIA intends to bring a multitude of economic benefits to the regions in which it will invest. Each investment will support direct and indirect quality employment, alleviate economic damages caused by extreme weather as a result of climate change, and expand access to essential sustainable infrastructure for regional economic development, such as clean electricity generation, mass transit, water and wastewater infrastructure enhancement, etc.

Gender-sensitive development impact: In line with the GCF's priority to mainstream gender considerations in climate finance and recognizing that climate change disproportionately affects individuals in EMs, especially women and other vulnerable populations, GAIA's partners will leverage their experience to develop a robust gender-responsive approach with the intent of advancing equity, diversity, and inclusion whenever applicable. Please see Annex 8 for further information on the GAIA platform's gender responsive approach.

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Vulnerability of the country and beneficiary groups and gender aspects

As per the World Bank Climate Risk Country Profiles and USAID Country Risk Profile Fact Sheets, it has been identified that countries included in GAIA have populations that are heavily affected by and vulnerable to ongoing and projected climate impacts. The top impacts affecting these countries (in order of frequency) include:

Impacts on Natural Resources: Water; Land and Soil Degradation; Costal Zone Erosion
Impacts on Economic Sectors: Agriculture and Livestock; Energy; Coastal Water Resources
Social Impacts Areas: Gender; Human Health; Poverty and Inequality

Annex 2 includes additional information on the impacts of climate change on the GAIA countries.

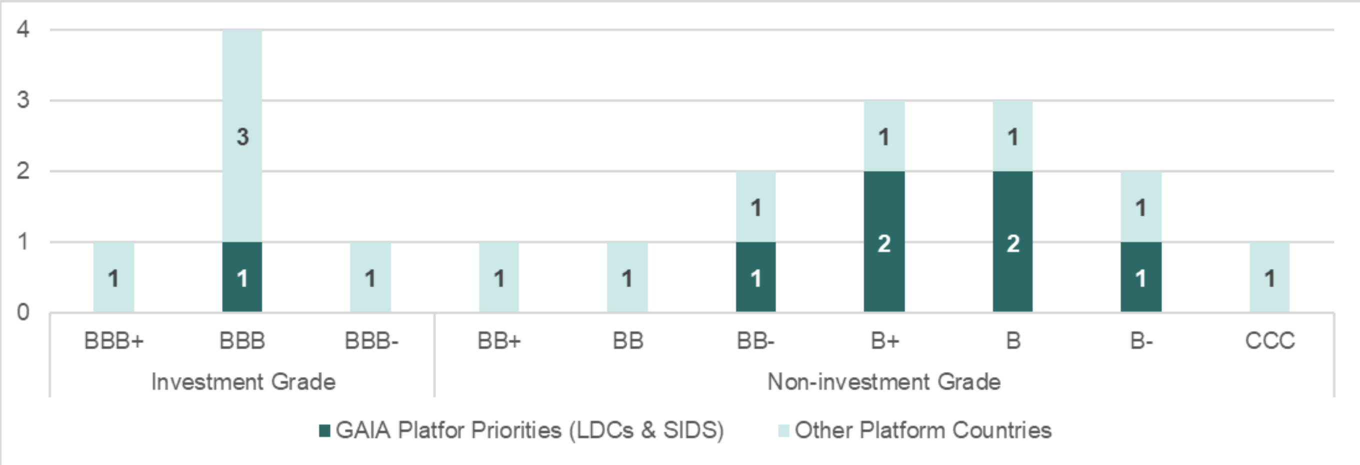
The information included in this section reflects an analysis of the needs of countries targeted by the GAIA platform: an understanding of the needs of specific populations will only be possible at the project-level when jurisdiction and catchment area are known project by project. The case studies in Annex 2 provide examples of specific climate hazards, risk, and impact data within a sample of GAIA platform countries.

Economic and social development level of the countries and the affected population

The population in GAIA NOL countries (2.06 billion people in total) has a significant rural population, where climate impacts can often be more severe, and populations have less access to essential resources.

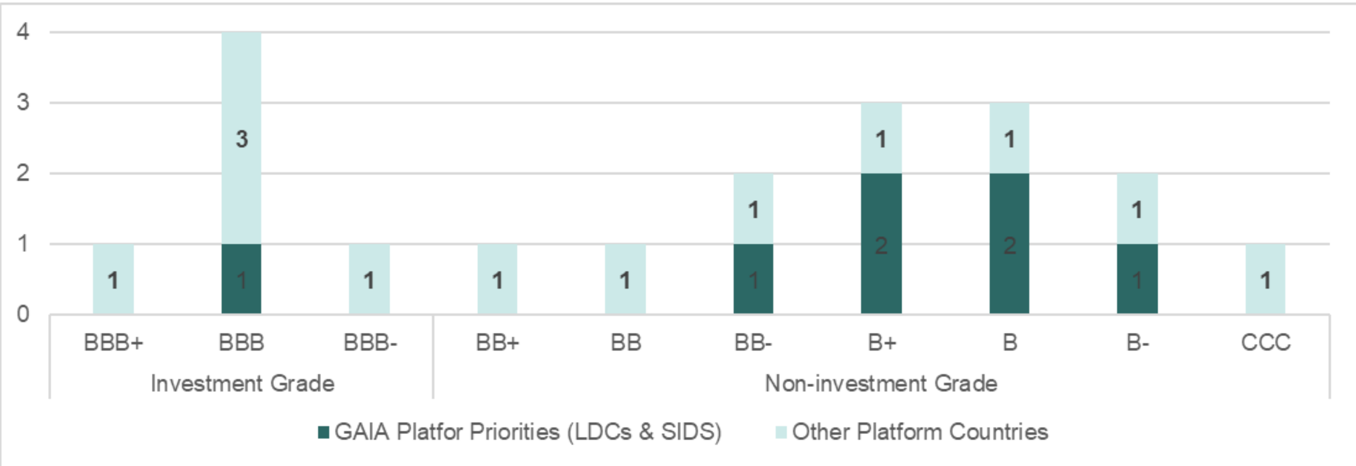
As indicated in Table 1 (Section B.1) the populations of the target countries are affected by the consequences of climate change, which can have varying (and often uneven) degrees of impact on the communities that make up these populations. GAIA will invest primarily in Upper-Middle Income Economies (countries with a per-capita GDP of between USD4096 to USD12,695) and Lower-Middle Income Economies (countries with a per-capita GDP of between USD1,046 and USD4,095), with approximately 37.5% allocated to Low-Income Economies and other LDCs and SIDS.

Figure 114: Income Level of GAIA Platform Countries



Sovereign credit ratings of the target countries are included below. The sovereign credit ratings of the countries are largely Non-investment Grade, with some of the larger, more established sovereigns having Investment Grade ratings, including Indonesia and Philippines.

Figure 125: Sovereign Credit Ratings of GAIA Platform Countries



Absence of alternative sources of financing

Climate finance for adaptation accounts for just 7% of global climate finance[31]. Annual adaptation costs in developing countries are estimated between USD155-USD330B by 2030. To date, adaptation finance has been provided almost entirely by the public sector. Between 2019-2020, the annual average adaptation financing total amounted to USD46 billion[32]. Developing countries have relied on scarce sources of domestic and public funding to support their climate adaptation needs.

Developing countries lack the ability access to long term finance in local currency. Of all reported debt issuances in GAIA Platform countries, 85% were issued with a maturity of 10 years or less. Further, public sources of finance, such as MDBs, typically provide finance in hard currency. For example, only 13% of IFC's loan portfolio was offered in local currency[33]. Reported debt issuances in GAIA Platform countries between January 2018 and March 2022 showed that 6% of this was issued in local currency.

These and additional barriers have been outlined in Section B.1. and assisting in the efforts at remediating them is a key objective of the platform.

Needs for strengthening institutions and implementation capacity

When lending directly in EMs, local institutional capacity to transact with private sector investors is often limited. Most countries included within the GAIA Platform lack frameworks and/or capacity for green financial instruments. Additionally, the majority of the countries have limited experience in issuing municipal debt in the capital markets to finance infrastructure development. GAIA intends to leverage TA support to ensure borrower capacity building.

D.5. Country ownership (max. 500 words, approximately 1 page)

Alignment with national climate strategy and priorities

As described in Section B.1 and illustrated in Table 3, target countries have identified a host of climate adaptation and mitigation priorities that align with the GCF Result Areas and the target areas of the platform. Although the institutional framework and enabling policy of these countries vary, countries within the portfolio have frameworks in place that would help facilitate implementation of GAIA, with some countries likely requiring more assistance than others. *See Annex 2* for additional detail.

One of GAIA criteria in its investment process is to clearly identify and evidence the alignment of a potential transaction with the Country's climate priorities (national climate plans including NDC commitments, National Adaptation Plans, as well as sector plans from relevant ministries).

Besides the extensive research and data collection and consolidation of the Countries' Climate Priorities which was pivotal for the selection of target Countries, the engagement with the relevant actors in each of the Countries is the main pillar for the succesfull implementation and capital deployment from GAIA.

GAIA takes a multi-stakeholder approach to ensure input from the various relevant and impacted Groups. This approach supports the transparent dissemination of GAIA's proposition to its NOL Countries. This ensures that GAIA's activities are also aligned with the needs of the Communities.

While engagement with GAIA platform country authorities is ongoing, consultations have indicated that GAIA presents an interesting additional source of financing with commercial orientation, flexibility (sector, tenors, currency). The commitment to not crowd out local markets and seek to co-finance with existing financers is seen as positive feature, as is the flexibility regarding the requirement for a sovereign guarantee for GAIA financing.

Engagement with Relevant Stakeholders

<u>NDA Engagement and NOL Process:</u>

Engagement is essential not in only obtaining the NOL but ensuring that GAIA has a network of key contacts and partners within each country to build a pipeline of applicable projects which can meet the range of adaptation and mitigation criteria of the platform. Through GAIA's engagement with each of the target countries, it is clear that meeting a wide range of key stakeholders within a jurisdiction is essential to obtaining NOL's and to build project pipelines. The GAIA team has recognized that this process requires a bespoke approach to each target country, as each has a unique approval process. Thus the GAIA team has ensured that as many key stakeholders are involved in this process in accordance to its own requirements which we have documented in detail on Annex 7.

The process captures engaging directly with the NDA, outreach and discussions with other relevant national stakeholders, discussion regarding country priorities and specific project ideas, as well as NOL sign offs. In a number of GAIA target countries, stakeholder engagement has included discussions with potential partner organizations (including UNFAO, World Bank, UNEP, and a number of local entities and relevant institutions (e.g., Development Bank of Jamaica)) regarding pipeline origination, technical assistance, co-financing, and identifying potential borrower entities.

The NDA teams have a pivotal role throughout the Investment Process with their natural oversight over climate priorities and to accompany the development of GAIA Funded Activity in the Country. The regular communication and information sharing with the NDA's team is key to ensure that Countries are treated fairly and that the activities follow the approved Funding Proposal which is the base for the issuance of the NOL.

As of July 2023, GAIA received 19 NOLs from Barbados, Benin, Costa Rica, Cote D'Ivoire, Dominican Republic, Ghana, Guatemala, India, Indonesia, Jamaica, Kenya, Mauritius, Mongolia, Morocco, Panama, Peru, Philippines, Tanzania and Togo. MUFG has approached other NDAs (Bangladesh, Honduras, Madagascar, Papua New Guinea, Paraguay, and Senegal) who are currently reviewing the FP package and going through their dedicated national processes. These countries have not been able to complete their internal sign-off processes yet. Nevertheless, GAIA may receive NOLs from several of them in which it will seek the appropriate GCF approvals for their inclusion. Additional countries may be added to the programme after initial Board approval, provided they submit an NOL and the addition is approved by the Board.

Stakeholder Engagement Strategy:

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[31] Climate Policy Initiative. Global Landscape of Climate Finance. 2021. https://www.climatepolicyinitiative.org/publication/global-landscape-of-climate-finance-2021/

[32] Ibid.

[33] Currency risk in project finance. IISD 2015. https://www.iisd.org/system/files/publications/currency-risk-project-finance-discussion-paper.pdf

Proper country ownership of all the concerned stakeholders is key for the successful implementation of GAIA's activities and achieving the outcome of paradigm shift envisaged by the platform. Such an outcome can only be ensured through a wide, inclusive consultative process with engaging all relevant stakeholders and sectors. This approach complements the roles of internal GAIA's stakeholders (sponsors, AE and EE's) and promotes synergy in work.

Project GAIA is a platform with a wide range of stakeholders internally but also acting in a wide range of jurisdictions and sectors. Therefore, a clear plan of the parameters in which stakeholder engagement will take place is key.

GAIA, through the AE and its partners, has visited 17 of the 25 targeted Countries and held meetings and outreach to a wide range of stakeholders (further details on Annex 7) which we have categorized below:

Table 10: Categorization of stakeholders

Category	***Non-exhaustive list of anticipated entities (may be overlapped)***
National Government Entities	- National Designated Authority (NDA) - Ministry of Finance - Ministry of Environment - Other relevant Ministries in view of the thematic area of a specific project - Appointed advisors selected by the Government - Local (municipalities, provinces, states, districts, communities) governments and policy makers - Governmental Climate Change Committee & Experts
Origination Partners	- Private Banks - Multilateral Financial Institutions - Specialised NGO's - Supranational Entities - Local AE/DAES - Regional AE/DAES - Private Corporations
Co-Financer	- Private Banks - Institutional Investors - AE's and/or DAE's - Multilateral Development Institutions
GAIA internal partners	- Capital Contributors (incl. philanthropies) - AE and EE's - AE/EE hired advisors - Industry related experts in the governance structure and approval process

Project Proponents / Borrowers	- Borrowers in accordance with the Eligibility Criteria of the platform (non-exhaustive):
	    - National Government Entities
	    - State owned Enterprises (corporate or Financial Institutions)
	    - Sub-national entities
	    - Government Led Projects (with private sector involvement)

Technical Assistance Delivery Partner	- Specialized NGO's and institutes - Independently appointed experts - National Government Entities - Project Proponents

Thematic or industry-related experts	- AE/EE hired advisors - Government entities within the sector theme - Specialized NGO's
Civil Society	- Community representatives that are impacted by the project (including Indigenous, women and other minorities) - Civil Society Organisations - Community Based Organisations - NGO's - Public sector Agencies (representing communities) - Academia

Using the framework above, the stakeholders can be plotted against the various stages of the investment cycle of GAIA. The selection of stakeholders is done by determining the stakeholder alignment and influence on a specific scope of consultation. GAIA will select the specific stakeholders to be engaged and the timing for their involvement based on the analysis of their influence and alignments.

Upon launch of the platform, the AE will seek in coordination with the NDA Office of each Country to coordinate and hold multi-stakeholder events in the Countries for, among other purposes,: (i) monitoring the implementation of Gaia's activities; (ii) knowledge sharing; and (iii) engagement with community (including indigineous groups).

Capacity of Executing Entities to Deliver

Investment Manager:

The AE has oversight of the procurement process for the IM selection. This will allow the AE to perform an analysis and screening of the entities during the selection process and a full capacity analysis once the IM is formally appointed.

GAIA LP

GAIA Climate Loan Fund Limited Partnership (GAIA LP) will be a newly-created limited partnership,. The LP and all its relevant documents (LPA; tax implications) will be analysed by a Legal Counsel to ensure compatibility with the proposed activities before implementing the Funded Activity.

General Partner

As currently envisaged – the GP functions will be undertaken by the IM. Legal due diligence of the arrangements for this will be undertaken as part of activity 1.1.1.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

Co-financing

For every USD1 of junior concessional capital deployed towards climate adaptation and mitigation projects, approximately USD3.8 of commercially-oriented capital will be mobilized. When taken as a whole, the platform has a co-financing ratio of USD9.86 for every USD1 of GCF's capital, which represents about 10% of the total fund capital (see section C.1 for full capital structure details).

Financial viability and other financier indicators

GAIA will operate on fully commercial terms, ensuring a market clearing return for end borrowers and commercial investors without disrupting local markets. Since we are requesting the junior concessional tranche at a concessional return, the excess spread generated by the junior concessional capital will be used to build a reserve account to replenish the junior concessional equity as it is depleted by portfolio credit losses. This will consequently ensure the perennity and sustainability of the platform throughout. GAIA's guiding principal is to optimize the use of its concessional capital by maximizing the amount of climate impact created by the portfolio over time.

Financial adequacy and appropriateness of concessionality

The platform senior debt tranche, when considering the attachment of the first loss and the insurance/guarantee tranche, is equivalent to an implied investment grade (IG) rating ranging from BBB to A (depending on the final size of the mezzanine tranche) with a net return for commercial investors of [SOFR + 385] bps (illustrative, based on market conditions and the actual loan portfolio).

Indicative benchmarks to ensure value for money

As identified in the Logical Framework below, indicative benchmarks will be utilized as part of the project selection criteria for GAIA. These benchmarks include a general per beneficiary benchmark for adaptation related projects of USD160/per beneficiary as a guiding reference for the potential USD/per beneficiary ratio, based on the illustrative projects described in Annex 24B. Benchmarks will be balanced with considerations related to national circumstance, particularly in SIDS and LDCs.

The methodology used to formulate these benchmarks is further described in Annexes 24A and 24B – Beneficiary Calculations for Adaptation Impact.

LOGICAL FRAMEWORK

*This section refers to the project/programme's logical framework in accordance with the **GCF's Integrated Results Management Framework** to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	The projects of the types envisioned by GAIA implemented across the portfolio of target countries are relatively limited. This can be attributed both to the low scale of financing in local currency that is available for climate finance, as well as a lack of a robust pipeline of available climate projects.	Low	A greater number of high-impact, high-standard, low-emission, climate-resilient projects are developed and implemented in GAIA countries.	Through the GAIA platform (including the Parallel TA facility and financing and expected leveraged co-financing) well-formulated, high-impact, and inclusive climate projects will be developed or enhanced within the target countries.
Replicability	Currently, no such mechanism that provides up to 15-year, local currency, de-risked loans to borrowers for climate project implementation (with a focus on adaptation) within the	Low	Climate projects implemented by borrowers under GAIA will be first-of-a-kind projects within the targeted contexts, and borrowers and other relevant national, regional, and local institutions will have a strengthened technical capacity to develop and implement future projects. Additionally, the GAIA platform will become a lasting and replicable platform for channeling institutional,	The GAIA platform will demonstrate the success of climate mitigation, adaptation, and cross-cutting projects in emerging markets and facilitate replicability of similar financing structures, which will also result in low-carbon growth and increased climate resilience. The technical assistance provided by GAIA will result in a strengthened capacity of institutions to develop, manage, mobilize and finance high-impact, high-standard climate

	GAIA targeted countries exists.		commercial and philanthropic investments into other climate projects in EMs.	investments that also results in improved management of E&S risks and enhance economic opportunities for women. Additionally, GAIA's commitment to work with GCF Direct Access Entities (DAEs) will involve DAEs in complex financing arrangements, which will develop their individual capacity for future climate finance endeavours.
Sustainability	Within a large portion of GAIA targeted countries there is no/limited availability of long-term, climate financing sources and technical assistance. Borrowers and national, regional, and local institutions have limited capacity to plan and roll out climate infrastructure pipelines to meet the needs of their populations, and the national climate targets identified in their respective NDCs and other climate policy and planning documents.	<u>Low</u>	Following development and implementation of the GAIA platform, additional new financing and technical assistance sources will be anchored in a larger ecosystem with local partners, beyond what GAIA will finance. This greater ecosystem will allow partners and potential borrowers to tap into other funding sources besides GAIA.	GAIA is an innovative financial technology that will help disrupt climate finance in EMs, beyond the platform itself. This will facilitate an 'enabling environment' where systemic barriers to financing climate resilient solutions in vulnerable and developing countries are mitigated, and further climate mitigation and climate resilience can be achieved.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final[34]	

[34] The final target means the target at the end of project/programme implementation period (i.e 30yrs). However, it is also provided the: target value at the end of the total asset lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective ("Asset Lifetime").

E

MRA 1-2	Core 1: GHG emissions reduced, avoided or removed/sequestered	Please see details in the lines below	0	12.390 M tCO_2e avoided/reduced	30.553 M tCO2e avoided/reduced	Please see details in the lines below (MRA 1, MRA 2) as well as Annexes 22A and 22B. The Asset Lifetime target of 33.382 M tCO2e is based on an average lifetime of 20 years for renewable energy and 30yrs transport projects financed by GAIA.
MRA1 Energy generation and access	Core 1: GHG emissions reduced, avoided or removed/sequestered	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	7.425 M tCO_2e avoided/reduced	18.260 M tCO_2e avoided/reduced	GAIA will utilize globally recognized standards and benchmarks for emissions reductions baselines and calculations, as illustrated in Annex 22B. Baselines will be project-based and therefore will only be developed when projects are under consideration. The midterm and final targets are based on the climate mitigation impact of the selected transactions in Annex 22A. We have also detailed further some of those transactions in annex 22B for reference. The impact of these projects in tCO_2e avoided was based on a 15% allocation to MRA 1 and an implementation period of 30 years, which includes the investment period (15yrs) plus the repayment widown (15yrs)

						The Asset Lifetime target of 18.728 MtCO2e is based on an average lifetime of 20 years for renewable energy projects financed by GAIA.
MRA1 Energy generation and access	Supplementary 1.3: Installed renewable energy capacity	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	350 MW	700 MW	The base assumption on this calculation is that the capital under MRA1 is destined to renewable energy projects (i.e 15% of the platform size or $221m). The installed capacity in megawatts was calculated based on the Annex 22A calculation which utilised 9 illustrative projects totalling the 15% destined to MRA1. The final target is based on the sum of the total capacity of the illustrative projects which will be financed and operationalized during the implementation period (30yrs). The mid-target (15yr) was set using the assumption of a linear distribution of capacity throughout the investment period with an average capacity for the period.
MRA1 Energy generation and access	Supplementary 1.4: Renewable energy generated	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved.	0	14,235 GWh	35,975 GWh	The base assumption on this calculation is that the capital under MRA1 is destined to renewable energy projects (i.e 15% of the platform size or $221m).The number of megawatts-hour was calculated based on the illustrative renewable energy projects in Annex 22A. The

		On the ground surveys of actual results for a sample of projects by a third-party consultant.				number of megawatts (700MW) and a specific capacity factor for each transaction was used (based on public and/or transaction specific information available). An implementation period of 30 years was used, which represents the max tenor of a GAIA sub-loan and its total investment period. The asset lifetime target of 36,948 GWh is based on an average lifetime of 20 years for renewable energy projects financed by GAIA.
<u>MRA2 Low-emission transport</u>	<u>Core 1: GHG emissions reduced, avoided or removed/sequestered</u>	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	4.965 M tCO_2e avoided/reduced	12.292 M tCO_2e avoided/reduced	GAIA will utilize globally recognized standards and benchmarks for emissions reductions baselines and calculations. (reference annex 22b) Baselines will be project-based and therefore will only be developed when projects are under consideration The midterm and final targets are based on the climate mitigation impact of the 5 illustrative low-emission transport projects in Annex 22A which in aggregate amount to the assumption of 15% allocation to MRA2.

						We have applied the implementation period of 30 years The Asset Lifetime target of 14.653 M tCO2e is based on an average lifetime of 30 years for transportation projects financed by GAIA.
ARA 2-4	Core 2: Direct and indirect beneficiaries reached	Please see details in the lines below	0	3.246 M direct beneficiaries Men = 1.623 M direct beneficiaries Women = 1.623 M direct beneficiaries 6.492 M indirect beneficiaries Men = 3.246 M indirect beneficiaries Women =3.246 M indirect beneficiaries	6.492 M direct beneficiaries Men = 3.246 M direct beneficiaries Women = 3.246 M direct beneficiaries 12.985 M indirect beneficiaries Men = 6.492 M indirect beneficiaries Women = 6.492 M indirect beneficiaries	Please see details in the lines below (ARA 2, ARA 3, ARA 4), and in Annexes 24A and 24B.
ARA2 Health, well-being, food and water security	Core 2: Direct and indirect beneficiaries reached	Requirement of an annual reporting of expected impact per indicator within loan agreements.	0	0.927 M direct beneficiaries	1.855 M direct beneficiaries	Baselines will be project based and therefore will only be developed when projects are under consideration.

		End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.		Men = 0.464 M direct beneficiaries Women = 0.464 M direct beneficiaries 1.855 M indirect beneficiaries Men = 0.927 M indirect beneficiaries Women = 0.927 M indirect beneficiaries	Men = 0.927 M direct beneficiaries Women = 0.927 M direct beneficiaries 3.710 M indirect beneficiaries Men = 1.855 indirect beneficiaries Women = 1.855 indirect beneficiaries	The midterm and final targets are based on the climate adaptation impact of the 52 illustrative projects selected in Annex 24A. The impact of these projects in terms of beneficiaries was extrapolated/applied at the level of GAIA, based on a 70% allocation to adaptation projects, and then distributed based on the target allocation of 20% for ARA2, 25% for ARA3 and 25% for ARA4.
<u>ARA2 Health, well-being, food and water security</u>	<u>Supplementary 2.2: Beneficiaries (female/male) with improved food security</u>	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	0.464 M direct beneficiaries Men = 0.232 M direct beneficiaries Women = 0.232 M direct beneficiaries 0.927 M indirect beneficiaries Men = 0.464 M indirect beneficiaries	0.927 M direct beneficiaries Men = 0.464 M direct beneficiaries Women = 0.464 M direct beneficiaries 1.855 M indirect beneficiaries Men = 0.927 M indirect beneficiaries	See line above. The assumption is that 50% of the capital under ARA 2 (representing 20% of the total GAIA platform) would be invested in food security projects.

				Women = 0.464 M indirect beneficiaries	Women = 0.927 M indirect beneficiaries	
ARA2 Health, well-being, food and water security	Supplementary 2.3: Beneficiaries (female/male) with more climate-resilient water security	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	0.464 M direct beneficiaries Men = 0.232 M direct beneficiaries Women = 0.232 M direct beneficiaries 0.927 M indirect beneficiaries Men = 0.464 M indirect beneficiaries Women = 0.464 M indirect beneficiaries	0.927 M direct beneficiaries Men = 0.464 M direct beneficiaries Women = 0.464 M direct beneficiaries 1.855 M indirect beneficiaries Men = 0.927 M indirect beneficiaries Women = 0.927 M indirect beneficiaries	See line above. The assumption is that 50% of the capital under ARA 2 (representing 20% of the total GAIA platform) would be invested in water security projects.
ARA3 Intrastructure and built environment	Core 2: Direct and indirect beneficiaries reached	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved.	0	1.159 M direct beneficiaries Men = 0.580 M direct beneficiaries Women = 0.580 M direct beneficiaries	2.319 M direct beneficiaries Men = 1.159 M direct beneficiaries Women = 1.159 M direct beneficiaries	Baselines will be project based and therefore will only be developed when projects are under consideration. The midterm and final targets are based on the climate adaptation impact of the 52 illustrative projects described in Annex 24A.

		On the ground surveys of actual results for a sample of projects by a third-party consultant.		2.319 M indirect beneficiaries Men = 1.159 M indirect beneficiaries Women = 1.159 M indirect beneficiaries	4.637 M indirect beneficiaries Men = 2.319 M indirect beneficiaries Women = 2.319 M indirect beneficiaries	The impact of these projects in terms of beneficiaries was extrapolated/applied at the level of GAIA, based on a 70% allocation to adaptation projects, and then distributed based on the target allocation of 20% for ARA2, 25% for ARA3 and 25% for ARA4.
ARA3 Infrastructure and built environment	Supplementary 2.6: Beneficiaries (female/male) living in buildings that have increased resilience against climate hazards	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	1.159 M direct beneficiaries Men = 0.580 M direct beneficiaries Women = 0.580 M direct beneficiaries 2.319 M indirect beneficiaries Men = 1.159 M indirect beneficiaries Women = 1.159 M indirect beneficiaries	2.319 M direct beneficiaries Men = 1.159 M direct beneficiaries Women = 1.159 M direct beneficiaries 4.637 M indirect beneficiaries Men = 2.319 M indirect beneficiaries Women = 2.319 M indirect beneficiaries	See line above The assumption is that 100% of the capital under ARA 3 (representing 25% of the total GAIA platform) would be invested in residential projects.

ARA4 Ecosystems and ecosystem services	Core 2: Direct and indirect beneficiaries reached	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant.	0	1.159 M direct beneficiaries Men = 0.580 M direct beneficiaries Women = 0.580 M direct beneficiaries 2.319 M indirect beneficiaries Men = 1.159 M indirect beneficiaries Women = 1.159 M indirect beneficiaries	2.319 M direct beneficiaries Men = 1.159 M direct beneficiaries Women = 1.159 M direct beneficiaries 4.637 M indirect beneficiaries Men = 2.319 M indirect beneficiaries Women = 2.319 M indirect beneficiaries	Baselines will be project based and therefore will only be developed when projects are under consideration. The midterm and final targets are based on the climate adaptation impact of the selected 52 illustrative projects described in Annex 24A. The impact of these projects in terms of beneficiaries was extrapolated at the level of GAIA, based on a 70% allocation to adaptation projects, and then distributed based on the target allocation of 20% for ARA2, 25% for ARA3 and 25% for ARA4.
ARA4 Ecosystems and ecosystem services	Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample	0	1.159 M direct beneficiaries Men = 0.580 M direct beneficiaries Women = 0.580 M direct beneficiaries 2.319 M indirect beneficiaries	2.319 M direct beneficiaries Men = 1.159 M direct beneficiaries Women = 1.159 M direct beneficiaries 4.637 M indirect beneficiaries	See line above The assumption is that 100% of the capital under ARA 4 (representing 25% of the total GAIA platform) would have an impact on livelihood.

		of projects by a third-party consultant.		Men = 1.159 M indirect beneficiaries Women = 1.159 M indirect beneficiaries	Men = 2.319 M indirect beneficiaries Women = 2.319 M indirect beneficiaries	
MRA1-2 and ARA2-4	Core 3: Value of physical assets made more resilient to the effects of climate change and/or more able to reduce GHG emissions	Annual reporting of capital deployed	0	USD740 M	USD1.480 B	USD1.480 B of capital deployed including USD1.170 B of private sector capital that otherwise would not have been able to provide such tenors for such these projects directly.
MRA1-2 and ARA2-4	Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice	Requirement of an annual reporting of expected impact per indicator within loan agreements. End-of-project assessments, including through site visits, to ensure expected impacts have been achieved. On the ground surveys of actual results for a sample of projects by a third-party consultant	0	250,000 hectares	500,000 hectares	The assumption is that there are economically viable opportunities in the target countries for the valorisation of capital natural assets. The number of hectares for the midterm and final targets were calculated based on representative projects financed by GAIA partners in the targeted countries.

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)
Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.

Core Indicator	Baseline context (description)	Rating for current state (baseline)	Target scenario (description)	How the project will contribute	Coverage
Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner	The local, regional, and national institutions GAIA is targeting as issuers and implementers have low capacity to manage climate risk, develop and finance climate projects, achieve positive environmental and social impacts.	low	National, regional, and local institutions have increased capacity to support low emission and climate resilient development in GAIA target countries.	GAIA and the Parallel TA Facility include capacity building of project borrowers, specifically on impact related functions, and advancing the financial viability of projects. Further, GAIA and the Parallel TA Facility will aggregate lessons learned across TA projects and disseminate among project borrowers as well as relevant stakeholders, with the objective of sharing lessons learned and influencing shifts in project delivery approaches to deliver more impact.	Multi-countries
Core Indicator 6: Degree to which GCF investments contribute to technology deployment, dissemination, development or transfer and innovation	GAIA platform target countries are lacking full technical capacity and resources to develop and implement necessary mitigation and resilience projects within the identified GCF Results Areas and sectors of focus.	low	The projects financed by GAIA and supported with Parallel TA Facility will bring and deploy new or adapted best practices, technologies, and business models to GAIA countries.	GAIA and the Parallel TA Facility will support project borrowers to adapt and scale the use of emerging climate-smart technologies and best practices in a sustainable manner.	Multi-countries
Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level	Various barriers to developing and implementing “green” or climate bonds/loans in GAIA target countries exist. These include limited capacity of national, regional, and local institutions to manage, structure, and negotiate	low	Up to 15-year local currency loans are made available for climate-aligned projects. A de-risking mechanism provides FX hedging. These innovative solutions combined result in additional projects in the target developing contexts	GAIA will include the development of an innovative, scalable, and replicable financing structure under Component 1 of the project, which will provide a replicable platform for increasing climate-aligned financing in other developing contexts.	Multi-countries

	these climate finance solutions, lack of sizable transactions, and high origination costs and credit risk in target country markets.		that provide avoided/reduced emissions and increased resilience to their populations.		

E.5. Project/programme specific indicators (project outcomes and outputs)

*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the "**Project/programme co-benefit indicators**" section in table below. Add rows as needed.*

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Output 1.1: Low-carbon energy and transport projects are deployed	Number of mitigation projects deployed Number of new electric buses added to transport network	GAIA financial reporting to GCF Borrower reporting/ independent verification reports/document review	0	~4 mitigation projects deployed 50 electric buses added	~8 mitigation projects deployed 100 electric buses added	The number of projects deployed was calculated by applying the 30% allocation of the portfolio (target of 25-30 transactions) to mitigation. Midterm will achieve 50% of target; 100% by final target date. The midterm and final targets are based on the outputs of an illustrative clean transportation project presented in Annex 22B (project 2).

Output 1.2: Climate-resilient infrastructure, ecosystems and health, food and water services are built	Number of adaptation projects deployed Number and surface of smallholder farmers made more resilient	GAIA financial reporting to GCF Borrower reporting/field surveys/ independent verification reports/document review	0 0	~9 adaptation projects deployed 100 farms/properties and a total of 12.5 hectares[35]	~18 adaptation projects deployed 200 farms/properties and a total of 25 hectares	The number of projects deployed was calculated by applying the 70% allocation of the portfolio (target of 25-30 transactions) to mitigation. Midterm will achieve 50% of target; 100% by final target date. The midterm and final targets are based on the illustrative examples selected for Annex 24A.
Output 1.3: Low-carbon and climate resilient projects are co-financed	Percentage of total number of transactions to be co-financed/syndicated	GAIA financial reporting to GCF.	0	15% of the number of transactions (10% for Local or Regional DAEs only)	30% of the number of transactions (20% for Local or Regional DAEs only)	GAIA will monitor and evaluate the type of co-financer as divided below: - Local or Regional DAEs - International AEs - Commercial banks - Institutional investors (pension plans; insurance companies; non-banking financial institutions) GAIA will priorities working alongside entities that are DAE, or local and regional AE as it will help capacity building, knowledge sharing and scaling up of the GCF partners entities network.

35 The climate vulnerability profile will be assessed based on the initial land-use and the final land-use, after the project intervention has been completed. The climate resiliency will also be monitored through the production variability of the land.

Output 1.4: Policies / procedures to identify, assess, and mitigate E&S risks are adopted or reinforced	Alignment of borrowers' policies / procedures with GAIA'S commitments expressed in ESMS	Feedback obtained from borrowers. Review of E&S policies and procedures by the IM's E&S team and validation of the alignment with GAIA's respective standards. Periodical reporting to GAIA's Climate & ESG Committee and/or TA Committee.	0	At least one policy, operational manual or other formalized practice is strengthened and applied to GAIA projects, per institution.	The policy(ies), operational manual(s) or other formalized practice(s) strengthened is (are) effective.	This is a conservative estimate that can be committed to at this stage in the process with the assumption that additional policies, operational manuals, or other formalized practices could be strengthened and applied to GAIA projects.
Outcome 4: Enhanced economic opportunities for women and capacity of project proponents to consider the unique needs of women in climate projects	Project specific focus areas on women needs and opportunities as it relates to governance, leadership, employment (including safeguarding) and capacity building	Integration within loan agreements and annual reporting on progress	Focus areas, baseline and targets to be defined	Submission in year 1 of baseline and progress targets with timelines	Improvement of at least 10% above baseline for selected metrics in no more than 5 years	As defined in GESI, projects select specific relevant priority areas on which to focus. If 2X eligibility thresholds have been achieved for a priority outcome, progress targets are not constrained by a specific timeline
Outcome 4: Enhanced economic opportunities for women and capacity of project proponents to consider the unique needs of women in climate projects	Number of women that gain new or improved access to clean energy and transport	Integration within loan agreements and annual reporting on progress	0	89,000 women with new or improved access to clean energy 125,000 women with new or improved access to clean transportation	178,000 women with new or improved access to clean energy 250,000 women with new or improved access to clean transportation	The midterm and final targets are based on the impact of illustrative renewable energy and low-emission transport projects selected in Annex 22A and some that were further detailed in Annex 22B. The impact of these projects in terms of women beneficiaries was applied to GAIA, based on a 15% allocation to MRA1 and a 15% allocation to MRA 2.
Output 1.5: Policies / procedures to promote GESI and eliminate SEAH	Alignment of borrowers' policies / procedures with GAIA'S	Review of GESI policies and procedures by the IM's E&S and Impact team and validation of the alignment	0	At least one policy, operational manual or other	The policy(ies), operational manual(s) or other formalized	This is a conservative estimate that can be committed to at this stage in the process with the

and GBVH are adopted or reinforced	commitments expressed in GESI	with GAIA's respective standards. Periodical reporting to GAIA's Climate & ESG Committee and/or TA Committee.		formalized practice is strengthened and applied to GAIA projects, per institution.	practice(s) strengthened is (are) effective.	assumption that additional policies, operational manuals, or other formalized practices could be strengthened and applied to GAIA projects.
Outcome 5: Enhanced national capacity of project proponents to access and mobilize climate finance and to address real and perceived risks of climate finance projects	Number of project proponents with enhanced capacity to address risks related to climate finance projects, including through support by the parallel TA facility	Borrower reporting/ independent verification reports/document review/periodic surveys/ questionnaires Periodical reporting to GAIA's Climate & ESG Committee and/or TA Committee.	0	Technical assistance projects are implemented to reduce the risks of ~4 mitigation and ~9 adaptation project proponents, according to the scope of work approved by the TA Committee	Technical assistance projects are implemented to reduce the risks of ~8 mitigation and ~18 adaptation project proponents, according to the scope of work approved by the TA Committee At least one project proponent per GAIA country has benefited from TA to reduce risks related to climate finance projects	The assumptions are that each climate adaptation and mitigation project financed by GAIA will benefit from support by the parallel TA facility, and that every TA project will contribute to the reduction of risks for the projects financed by GAIA.
Output 1.6: Strengthened capacity of national, regional, and local institutions to develop,	Number of national, regional, and local institution staff members trained to	Periodic surveys and other modes of assessment with project borrowers and relevant stakeholders to	0	Five staff members per institution trained	10 staff members per institution trained	This is a conservative estimate that can be committed to at this stage in the process with the

manage, mobilize and finance high-impact, high-standard climate investments	manage, mobilize, and finance climate investments	assess the value-add of GAIA'S TA Facility's knowledge sharing activities. Periodical reporting to GAIA's Climate & ESG Committee and/or TA Committee.				assumption that additional staff members could be trained.
Project/programme co-benefit indicators						
Co-benefit 1: Increased number of quality jobs contributing to sustainable and inclusive economic growth	The number of jobs created (disaggregated by sex)	Programme/project evaluation following TA implementation.	0	5,625 number of jobs created, disaggregated by sex	11,250 number of jobs created, disaggregated by sex	Based on IMF study in emerging markets and results of projects financed by GAIA partners.

E.6. Project/programme activities and deliverables

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed.
Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activities	Description	Sub-activities	Deliverables
Activity 1.1.1 – Creation of the financing structure and financial closing	Structuring and creation of the GAIA platform.	1.1.1.1 – Prepare the Fund's organizational documents 1.1.1.2 – Implement the legal structure of the Fund 1.1.1.3 – Agreement on the legal documentation with all the Investors of the Fund (Senior and Junior) 1.1.1.4 – Consummate Closing and launch of the Platform	**GAIA platform legal incorporation (LP, GP, LPA)** **Financing structure in place with concluded financial closing of the platform investors.** **Sufficient commitments reached for first launch at $300m.**
Activity 1.1.2 – Generation of pipeline projects	Adaptation and mitigation projects in target countries are brought into the programme pipeline.	1.1.2.1 – EE to execute and Origination Agreement with the Originating Bank 1.1.2.2 – Develop the pipeline 1.1.2.3 – EEs to select the transactions of interest for further development	**Number of deals in the pipeline throughout the life of the facility (target of ~30 projects which shall be kept throughout the 15yr investment cycle of GAIA.**
Activity 1.1.3 – Financing of climate projects through up to 15-year local and hard currency loans	Provision of loans for terms up to 15 years in local and hard currency to sub-sovereign/quasi sovereign issuers via the	1.1.3.1 – Due Diligence and Preparation of documents for presentation	**Number of loans deployed per year in the platform (25-30 loans that can be deployed into new loans upon**

	GAIA Platform. Includes leveraging pre-negotiated term-sheets.	1.1.3.2 – Presenting transactions to the approving Committees 1.1.3.4 – Execution of the Underlying Loans	**repayment within the 15yr investment period).**
Activity 1.1.4 – De-risking mechanism	De-risking mechanism through a junior concessional equity tranche, FX hedging Facility and Second-loss insurance/guarantee tranche.	1.1.4.1 – Execute transactions in Local Currency which will benefit from the FX Hedging Facility 1.1.4.2 – Deploy sufficient capital so that the second-loss tranche has capital at risk	**At least 20% of the transactions to be in local currency by the end of the ramp-up period.** **Raise additional insurance/guarantees from additional providers** **Full utilization (i.e., capital at risk) of the second loss tranche.**
Activity 1.1.5 – Portfolio management and reporting to investors	Management of the programme portfolio by the IM, including the creation and implementation of a Monitoring and Reporting mechanism that will report out to the GCF and other platform investors.	1.1.5.1 – Quarterly and Annual report to the Investors on financial results, impacts and beneficiaries 1.1.5.2 – Ad-hoc reporting to the Investors if required 1.1.5.3 – EEs with AE preparation of APR to GCF	**Timely and adequate reporting to the investees.** **Adequate monitoring and reporting mechanisms.**

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Monitoring, Assessment and Financial reporting to investors:

The Investment Manager (IM), on behalf of GAIA, will report to all investors on the general status and performance of the Fund, the underlying loan portfolio as well as provide financial statements as follows:

Quarterly reporting:

Within 60 days after the end of each quarter ended 31 March, 30 June, 30 September and 31 December, GAIA shall report on the following:

- An overall progress report on Fund’s activities, signed and closed transactions during the quarter.
- A discussion of recent key events and market developments.
- Pipeline overview and development.
- Overview of TA activities.
- Performance against key KPIs and impact indicators.
- Detailed overview of the loan portfolio including a project description, committed and disbursed loans, borrower, sector/climate focus, country, credit ratings, maturity profile, pricing, compliance with limits etc.
- Overview of the portfolio performance (using a RAG rating system), describing main developments and/or issues, overall compliance with a broad set of loan covenants (financial, reputational/KYC, ESG standards, climate impact and overall reporting) as well as an overview of recent developments and action items.
- Any changes to asset valuations including all decisions of impairment or further impairment of an asset and any reversal of impairments.
- A report on portfolio/borrower ESG compliance and performance and well as an overview of ESG monitoring and assurance activities that has taken place.
- An unaudited profit and loss account, balance sheet, and cash flow statement of the Fund for the preceding quarter.

Annual reports:

- As soon as may be practicable, but in any case, not less than 120 Business Days after each Financial Year:
  - the Audited Financial Statements for the previous Financial Year.

A report of the Auditor on its findings resulting from its audit of the annual accounts. Within 120 Days after each Financial Year, a detailed annual monitoring report on the ESG, development impact and climate mitigation/adaption project implementation performance for each transaction/project in the portfolio covering the content agreed with investors from time to time.

- The annual monitoring report will focus on project developmental benefits, a detailed summary of performance over the reporting period and progress against Environmental and Social Action Plans (ESAP) and climate targets as well as the risks involved (climate, impact, environmental, biodiversity, social and health and safety-related).
- Performance of the borrower/project against the IFC performance standards and other applicable standards.
- Climate mitigation/adaption results achieved, social-economic indicators, contribution to SDGs, gender, and other project stakeholder aspects, etc.

Ad Hoc reporting:

The IM will immediately report any material reputational and/or health, safety environmental and social incident at an underlying Borrower/Project.

E&S and Impact Reporting:

At the inception of loans for the fund, the Investment Manager will implement due diligence analysis, including an assessment of environmental and social requirements in accordance with the ESMS described in Annex 6, with or without the help of an external consultant. Based on such, the Investment Manager will confirm that the proposed investment satisfies the Investment Criteria before the Credit Committee.

The Investment Manager, under AE oversight, will implement relevant elements of the ESMS. The Investment Manager will prepare, on an annual basis, a review of its investments and their impacts for the Fund as a whole, including the relevant climate, E&S and gender metrics for all Outputs and Outcomes.

After 5, 10, and 30 years, GAIA will arrange for evaluations to be carried by to an independent evaluator. These evaluations will focus on whether GAIA is achieving or has achieved its long-term forecast goals and targets with regards to the impact indicators agreed in the log frame. Besides validating the actual performance against the impact and sustainability goals of GAIA, the evaluation will also focus on the effectiveness, efficiency and capital mobilization effects of the Fund.

RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Selected Risk Factor 1

Category	Probability	Impact
Credit	Low	Medium

Description

Risk of default by the issuer or the government related to the transaction.

Mitigation Measure(s)

- Loss mitigation by incorporating a junior concessional equity tranche into the capital structure.
- Loss mitigation by incorporating a second-loss insurance tranche.
- Accumulation of a first-loss reserve account with the excess margin.

Selected Risk Factor 2

Category	Probability	Impact
Other	Medium	Medium

Description

Risk of increasing global interest rates.

Mitigation Measure(s)

- All transactions will be independently priced in line with prevailing market conditions.
- Fixed rate loans will be offered to help mitigate this risk for borrowers.

Selected Risk Factor 3

Category	Probability	Impact
Reputational	Medium	Medium

Description

GAIA will invest in countries where some of its partners have never invested, across various jurisdictions.

Mitigation Measure(s)

- Initial screening to optimize the country selection across a different range of indicators, including International and Canadian sanctions.
- Background and sanction list (KYC/AML/ATF) checks completed by MUFG.
- Restrictive clauses in case of prohibited practice, particularly in relation to AML/ATF.
- Robust governance structure of GAIA LP.
- The Investment Manager will proceed with their own screening as part of the legal due diligence process to the approving Committees.
- The AML/KYC/ATF principles of the AE will be passed down to the EE's.
- Extensive origination and structuring network of credible partners with local experience (UNDP, GGGI, CAF, CDB, CABEI, IFAD).

Selected Risk Factor 4

Category	Probability	Impact
Forex	Medium	Medium

Description

GAIA will offer financing in local currency.		
Mitigation Measure(s)		
• All transactions made in local currency will be 100% hedged with GAIA partner – MFX Solutions, which is present in all GAIA's target markets. • Grants to cover a portion of the currency hedging costs to remain competitive with local banks.		
Selected Risk Factor 5		
Category	**Probability**	**Impact**
Prohibited practices	Medium	Medium
Description		
Projects may have negative environmental impacts or poor governance.		
Mitigation Measure(s)		
• Robust ESMS and Impact management/measurement framework. • Projects funded by GAIA will exclusively be for climate change adaptation and mitigation. • Methodology developed to ensure that transactions respect the ESG constraints of various stakeholders.		
Selected Risk Factor 6		
Category	**Probability**	**Impact**
Other	Low	Low
Description		
Risk of 'greenwashing' from programme projects.		
Mitigation Measure(s)		
• Eligibility criteria outlined in the programme Operations Manual and Project Selection Tool ensure that only climate-centered projects are selected. • The programme ESMS will ensure that robust and adequate environmental policies and considerations are put in place on programme projects. • Governance Structure mechanism including specific Climate and ESG Committee with sufficient expertise.		
Selected Risk Factor 7		
Category	**Probability**	**Impact**
Governance	Low	Medium
Description		
Platform may not perform as expected following defects in internal processes.		
Mitigation Measure(s)		
• MUFG is a well-reputed Financial Institution, part of a Global network with extensive origination capacity in EMs, and as AE, is able to oversee the EEs' processes in the platform according to the AMA. • Platform structured according to industry best practices, adhering to rigorous corporate governance.		
Selected Risk Factor 8		
Category	**Probability**	**Impact**
Other	Medium	Medium
Description		

It may take longer than expected to deploy the full committed amount of capital.
Mitigation Measure(s)
• Large investment universe of multiple countries across three continents, where MUFG has proven origination capacity. • The partners intend to leverage their international network to promote GAIA, including with various initiatives supporting sustainable development in urban areas, such as UN IFAD, UNDP, GGGI, WaterAid, Resilient Cities, C40 Cities, and R20. • Engagement with NDAs, local partners as well as any other relevant stakeholders to assess their needs and build partnerships. • Parallel Technical Assistance facility to enhance origination efficiency. • GAIA partners to assist MUFG with origination on an opportunistic basis.

Selected Risk Factor 9		
Category	**Probability**	**Impact**
Prohibited practices	Low	Medium
Description		
Engaging in financial activities with entities or individuals that are involved with money laundering, terrorist financing, prohibited practices and sanctions.		
Mitigation Measure(s)		
• No project activities will be undertaken in any jurisdiction subject to or affected by United Nations Security Council (UNSC) resolutions. • No entity that is listed on any UN Security Council sanctions list, or that is held, owned, or led by an individual listed on any UN Security Council sanctions list will be involved in any manner with the project or its activities, either as a counterparty, implementer, or beneficiary. • If any proposal received by GAIA contains any component based on distributing or disbursing cash, vouchers, commodities or other items of value to beneficiaries, either directly or indirectly, the Investment Manager will implement control measures aligned with market standards and practices. • The GAIA Platform has zero-tolerance for fraud and corruption. The whistle-blower program, detailed in Annex 6, aims to empower and protect anyone who reports wrongdoing or suspicions of misconduct, such as fraud and integrity violations, which could harm the fund and its objectives. • The fund manager will conduct a due diligence process on the potential borrower's anti-corruption preventive, monitoring, and sanctions framework and its records. In addition, the agreement with a borrower will include covenants around prohibited practices and anti-money laundering (AML) obligations. More details are found in Annex 21A. • GAIA – specifically the AE and IM – considers a number of external reputable agencies and organisations such as FATF for a risk classification of each of the target countries which will determine if enhanced KYC/AML process is required (e.g., shorter review periods of the Borrower).		

Selected Risk Factor 10		
Category	**Probability**	**Impact**
Reputational	Medium	Medium
Description		
Projects in the solar sector could be exposed to a risk of forced labour in their supply chain through the procurement of solar panels containing polysilicon and other raw materials.		
Mitigation Measure(s)		
• Robust ESMS, aligned with internationally-recognized benchmarks such as the IFC Performance Standards. Compliance with IFC PS2 on Labour and Working Conditions will be assessed during the ESDD for all relevant projects, which may lead to corrective actions being incorporated in the project's ESMP, and monitored over time. • FinDev Canada to leverage its experience working with solar sector clients on updating their ESMS and build internal capacity to manage these risks.		

- FinDev Canada to leverage its participation in a Solar Supply Chain DFI Working Group to ensure GAIA remains aligned with rapidly-evolving best practices on this issue.

GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

GAIA E&S and Human Rights Policies

GAIA's approach to Environmental and Social (E&S) matters is governed by its Environmental and Social Management System (ESMS) and its Environmental and Social Policies, including the and Human Rights, Labour, Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH), Gender Equality and Social Inclusion, and Indigenous Peoples policies.

The Policies are based on the Green Climate Fund E&S Policies and standards, the International Finance Corporation (IFC) Policy and Performance Standards on Social and Environmental Sustainability (IFC PS), the World Bank Group Environmental, Health and Safety (EHS) Guidelines, the United Nations Guiding Principles on Business and Human Rights (UNGPs), International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work, UN Convention on the Elimination of All Forms of Discrimination Against Women, and GAIA partners' E&S, Gender policies and standards.

The general principles informing these E&S and HRs guidelines are:

- Promote and work towards the implementation of relevant Environmental and Social international best practice standards including Human Rights, Gender Equality and Social Inclusion, and Indigenous Peoples policies, and enhance capacity within the Project Entities and the host countries while respecting their priorities and climate change adaptation and mitigation agenda.
- Finance only projects that can comply with all applicable local and national laws, as well as international conventions and agreements ratified by the host country.
- Integrate E&S and Human Rights principles from early in the planning process of each investment project to establish management systems subject to continuous improvement which effectively address relevant risks and realize opportunities.
- Provide a Technical Assistance facility to help develop capacity within host countries and Project Entities.
- Apply transboundary[36] risks and impacts that are scaled, risk-based and fit for purpose approach.
- Operate according to the mitigation hierarchy, seeking to avoid, and where this is not possible, minimize adverse impacts and enhance positive effects on the environment, workers, and stakeholders.
- Operate with transparency, accountability and with solid stakeholder engagement strategies.
- Set in place appropriate E&S benchmarks and realize the follow-up of E&S measures throughout the investment process via monitoring and reporting.
- Identify vulnerable people or groups who may be impacted by projects' activity and attach more attention to meet the priorities and concerns of women and Indigenous Peoples throughout the engagement process.
- **Zero Tolerance of SEAH**. GAIA does not tolerate any forms of SEAH throughout its management, operational and project activities. Sexual Exploitation, Sexual Abuse and Sexual Harassment are an unacceptable behaviour, and violate human dignity generating a culture of discrimination and privilege.

Approved Projects are required to structure environmental and social guidance to enhance GAIA's capacity for positive impact, improve stakeholder relationships, and achieve a higher potential for positive societal impact.

GAIA has established a protocol to obtain feedback and redress grievances associated with the implementation of the projects' activities and will make this Policy public and disclose any relevant related documents or information.

GAIA investment cycle

Environmental and social evaluation and elements of the Human Rights Policy of the proposed projects is embedded in each phase of GAIA investment cycle, starting with a first Environmental and Social Due Diligence (ESDD) during Screening phase and ending with Environmental and Social benchmarks monitoring during project implementation.

[36] Risks and impacts that cross national borders

Figure 13 6: E&S Requirements during Phase 2 of GAIA's Investment Cycle

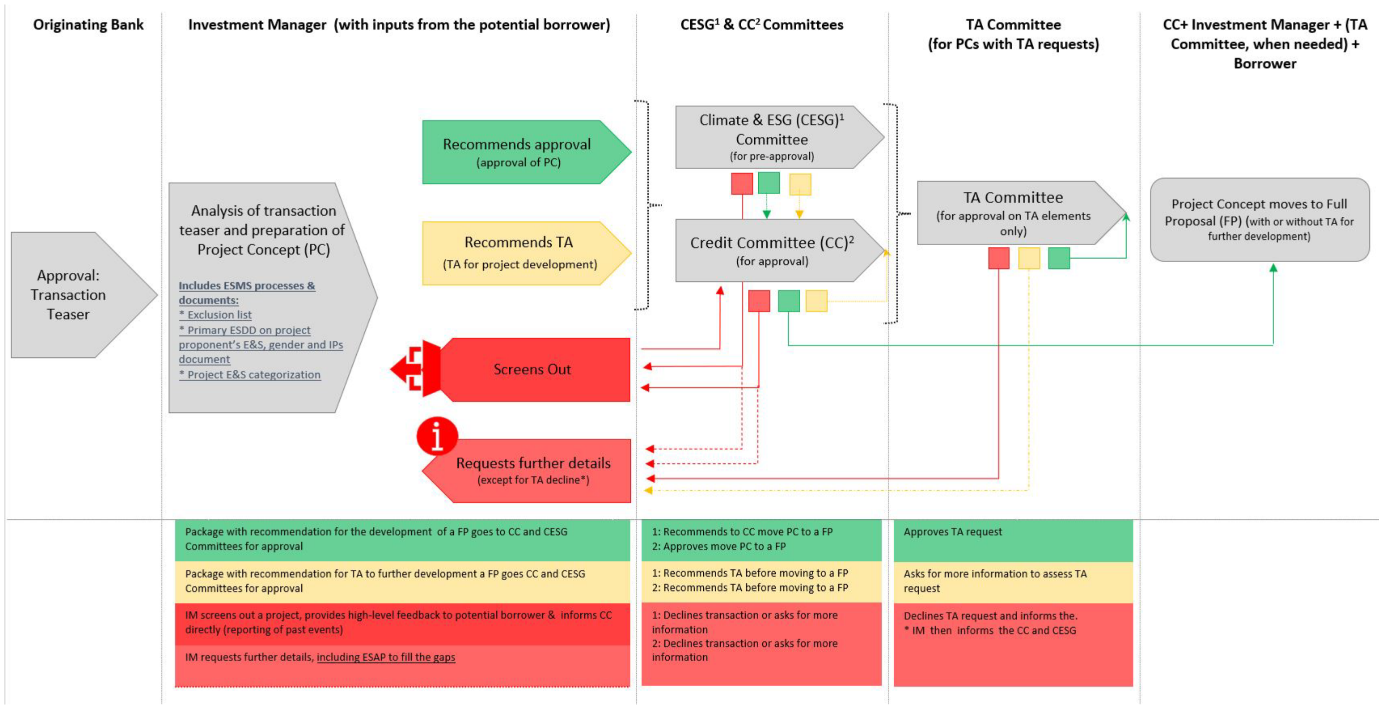
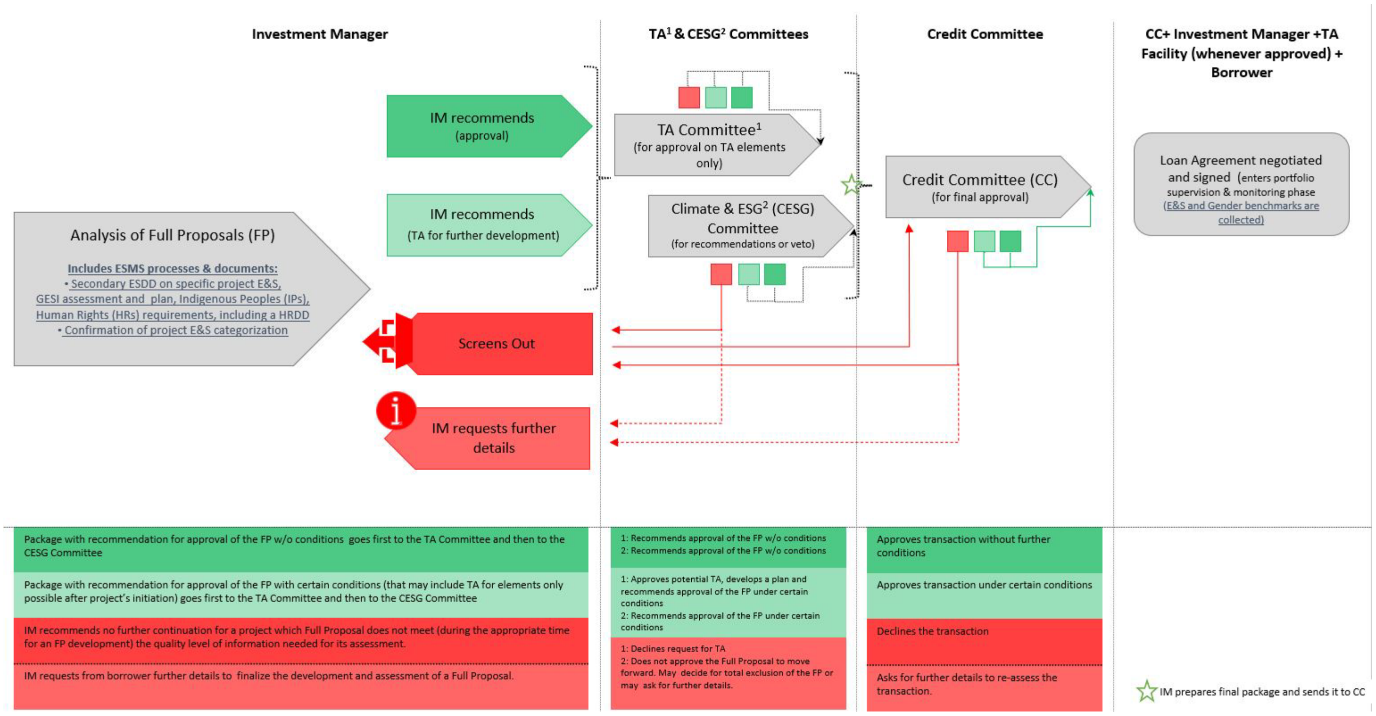


Figure 14: E&S Requirements during Phases 3 and 4 of GAIA's Investment Cycle



Project Categorisation based on E&S risks

All Proposed Projects will be categorized according to their environmental and social potential risk profile, following the GCF guidelines. GAIA applies a scaled based risk approach where different categories of E&S risks have different E&S requirements for project approval and execution.

From Screening phase to the Assessment of Full Proposal

Each Project Concept will be screened against GAIA Exclusion list and will go through a Traffic Light System. A Due Diligence process will be carried out, during the screening and the selection phases, on all parties of the project (borrowers, implementing entities, and any other implementing partners).

When presenting the Full Proposal, the Proposed Project will need to develop E&S requirements such as the development of ESMS, ESMP, ESHIA, including SEAH, GESI Assessment and Plan, appropriate to the level of E&S risks identified by the borrower, to identify, prevent, mitigate and account for how Projects address their adverse E&S rights impacts.

Monitoring of Approved Projects

Annual reporting requirements of the Approved Project will include collection and review of quantitative and qualitative output information and selected project E&S and Gender benchmarks, with subsequent analysis of progress toward achieving targeted outcomes.

Roles and Responsibilities

GAIA will be operated by the Investment Manager (IM). The IM, under the Credit Committee and Climate and ESG Committee oversight, will implement all relevant elements of the Environmental and Social Management System and the GESI Action Plan. Throughout the investment process, the IM will work in close consultation with members of the two sub-committees – the Climate and ESG Committee and the TA Committee – requesting their guidance on topics which greater expertise lies mostly with their members.

Other Provisions

GAIA's ESMS also contains provisions and Project guidance to develop Monitoring and Reporting, Stakeholder Engagement, Grievance Mechanism, Disclosure of Information as well as templates for different steps of the investment cycle.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Gender equality and women's empowerment are broad issues for the economy and society. For the GAIA Platform, which will serve various recipient Countries taking action across multiple sectors, high level concerns are explored during Gender and Social Inclusion (GESI) Assessments, leading to the creation of formal GESI Action Plans (GESI Plan) containing realistic project and country context-specific goals to be achieved over time. The GESI Assessment and Action Plan are presented in Annex 8 and comply with GCF Human rights Policies including Gender and SEAH.

Within the broad context of ESS, impact and inclusion, through its actions, processes and policies, GAIA commits to promoting the following types of changes in behaviors and practices:

- Encouraging women's economic participation as leaders, employees, and suppliers by promoting the adoption of gender-inclusive practices in the workplace and in supply chains.
- Promoting access to gender-responsive products, services and approaches in clean energy, climate-smart agriculture and food systems, and nature-based solutions for women customers and end-users to more equally access and benefit from these resources.
- Advocating gender-responsive safeguards to prevent and address unintended or negative impacts on women workers, users, and communities.
- Promoting principles of inclusion to develop inclusive products and safeguards such that the needs and rights of Indigenous Peoples, youth, persons with disabilities and other vulnerable populations are addressed in parallel to considerations related to gender.
- Assessing, avoiding and preventing any risks or potential adverse impacts on women, men, girls and boys regarding Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH); and in the case a SEAH incident occurs to establish a survivor-centered and gender-responsive grievance redress mechanism.

Gender analysis and assessment, integrated with social inclusion and diversity considerations, takes place throughout the investment life cycle, from initial screening to approval and over the course of each investment's active life span.

GAIA GESI assessment and plan (please refer to Annex 8 of this Funding Proposal) sets forth the methodology and approach for addressing GESI within the investment process. Note that the requirements of Annex 8 apply to Project Entities, rather than borrowers. The level of information and analysis related to GESI issues increases from screening through final due diligence, ensuring GESI assessments are sufficiently detailed that a comprehensive GESI Action Plan can be prepared. When a project is approved for funding, it will have completed the required GESI Action Plan addressing identified economic and socio-cultural issues in a project and country specific context. In addition to traditional GESI concerns about governance, leadership and employment, GAIA GESI assessment specifies consideration of the following:

1. Indigenous Peoples
2. Laws and Policies on Gender Equality
3. National Mechanisms for addressing Women's Economic Empowerment, social & gender inclusion
4. GESI Gaps in Economic Development
5. Women's Participation in Politics
6. Education and Youth Livelihoods
7. Women's unpaid participation in the care economy, time poverty and time use
8. Health, Sexual & Reproductive Health
9. Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH) and other forms of Gender-based Violence and Harassment (GBVH)

To support development of sector-specific GESI information and analysis, a non-exclusive list of resources is also included.

GAIA GESI Action Plan identifies impact, outputs and outcomes at the Platform level, as well as specifying requirements for partners GESI Plans. Monitoring and reporting are additionally included in these requirements.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Financial Management of GCF Funds:

The Financial management of GAIA in relation to GCF's participation is done at two levels: AE and EE. At the AE level the AE and GCF will enter in the FAA to ascertain specific roles and responsibilities of the AE in addition to existing AMA provisions including but not limited to monitoring of financial covenants, supporting GCF's analysis of any waiver, amendment request, etc.

The Funds of the GCF will be disbursed to an account held by GCF with MUFG which will control the flow to GAIA LP via the GCF GAIA Holdco – EE which has its day-to-day operations managed by GCF GAIA Holdco Manager – EE. Alternative arrangements for the mechanism of the flow of funds of the GCF are being assessed and will be agreed in the FAA considering operational and cost efficiencies.

GCF is the sole shareholder of GCF GAIA Holdco and will contribute with Equity to GCF GAIA Holdco. GCF Gaia Holdco will be an LP to GAIA LP and contribute via equity.

The disbursement of GCF to GCF Gaia Holdco and consequently to GAIA LP will take place in accordance with the underlying loans timeline or under a fixed agreed disbursement schedule in the FAA, subject to GCF's preference. Once the capital contribution of Senior and Junior Investors are disbursed to GAIA LP, the IM (as EE) is responsible for instructing the Fund Administrator regarding payment processing (disbursement of loans; outgoing payments). The Fund Administrator will also allocate the income of the portfolio according to the respective investors class and report balances of accounts to the IM.

GCF GAIA Holdco will receive dividends/equity contribution returns on its contribution to GAIA LP and these proceeds will be paid to GCF as equity contributions returns (as GCF is a shareholder of GCF Gaia Holdco).

Procurement:

In relation to procured activities, the AE's approved procurement policy will be applied, throughout the Funded Activity timeline. If the costs of the service are over the thresholds in Annex 10, the AE will require prior consultation.

Key anticipated procured activities by GAIA include but are not limited to:

- Fund Administrator
- Facility Agent
- Investment Manager
- Hedging Currency Counterparty
- Technical Assistance Consultant
- Climate and Impact Experts (as GAIA operates in a multi sector and multi country coverage – independent and local advisors will be required in connection with specific projects)
- Legal Counsel
- Auditors

- Translators

Further details of procurement methods, thresholds and arrangements are available on Annex 10.

The oversight of any of the financial and/or implementation arrangement performed by the EEs is to be undertaken by the AE through: (i) initial capacity analysis of the existing track record and capacity of the EEs (ii) regular assessment of the EEs' practices and reporting of its activities; (iii) assessment of the performance of the EEs through its observer role (on behalf of GCF) at the Credit Committee. (iii) relevant policies and procedures and legal requirements under AMA and FAA to be reflected as needed in the Subsidiary Agreements with EEs.

G.4. Disclosure of funding proposal

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

ANNEXES

H.1. Mandatory annexes

☒	Annex 1	NDA no-objection letter(s) **(template provided)**
☒	Annex 2A	Feasibility study
☒	Annex 2B	Feasibility study – Indicative Pipeline
☒	Annex 2C	Country Profiles
☒	Annex 3A	GAIA Waterfall (no defaults)
☒	Annex 3B	GAIA Waterfall (with credit losses)
☒	Annex 4A	Detailed budget plan **(template provided)**
☒	Annex 4B	Corporate Financial Model
☒	Annex 5	Implementation timetable including key project/programme milestones **(template provided)**
☒	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☒ Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
☒	Annex 7	Summary of consultations and stakeholder engagement plan
☒	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**
☒	Annex 9	Legal due diligence (regulation, taxation and insurance)
☒	Annex 10	Procurement plan **(template provided)**
☒	Annex 11	Monitoring and evaluation plan **(template provided)**
☒	Annex 12	AE fee request **(template provided)**
☒	Annex 13	Co-financing commitment letter, if applicable **(template provided)**
☒	Annex 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

☒	Annex 15	Evidence of internal approval **(template provided)**
☐	Annex 16	Map(s) indicating the location of proposed interventions
☒	Annex 17	Multi-country project/programme information **(template provided)**
☐	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
☐	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity

☐	Annex 20	First level AML/CFT (KYC) assessment
☒	Annex 21A	Operations Manual
☒	Annex 21B	Investment Process Checklist
☒	Annex 22A	Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)[37]
☒	Annex 22B	GHG Emissions Methodology
☒	Annex 22C	Illustrative Projects ToC
☒	Annex 23	Additional GAIA Partner Information
☒	Annex 24A	Beneficiary Calculations for Adaptation Impact
☒	Annex 24B	Beneficiary Calculations for Adaptation Impact Methodology
☒	Annex 24C	Illustrative Projects ToC
☒	Annex 25A	Project Selection Tool
☒	Annex 25B	Project Selection Tool – BRT Example
☒	Annex 25C	Project Selection Tool – ENEO Example
☒	Annex 26	Glossary of Terms
☒	Annex 29	Investment Manager – Climate Specialist TOR
☒	Annex 30	FinDev Canada – Climate and Gender Expertise
☒	Annex 31	Funding Proposal Revisions Summary
☒	Annex 32	Template of Statement of Collaboration

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

[37] Annex 22 is mandatory for mitigation and cross-cutting projects.

GOVERNMENT OF BARBADOS

The Hon. Ryan Straughn, M.P.

MINISTER IN THE MINISTRY OF FINANCE & ECONOMIC AFFAIRS
Ministry of Finance, Economic Affairs and Investment
Government Headquarters,
Bay Street, St. Michael, BB11156, Barbados, W.I.

Our Ref.: 7045/79/1 Vol. 5

Tel.: (246)535-5300
Fax: (246)535-5629

Date: October 17, 2022

Mr. Yannick Glemarec
Executive Director
The Green Climate Fund
Songdo Business District
Incheon
REPUBLIC OF KOREA

Dear Mr. Glemarec,

Re. Funding Proposal for the Green Climate Fund (GCF) by MUFG Bank, Ltd. Regarding Project GAIA

We refer to the programme titled *GAIA Investment Programme* in Latin America and the Caribbean: Barbados, Costa Rica, Dominican Republic, Guatemala, Honduras, Jamaica, Panama, Paraguay, and Peru as included in the funding proposal submitted by MUFG Bank, Ltd. to us on 29 September 2022.

The undersigned is the duly authorized representative of Ministry of Finance, Economic Affairs and Investment, the National Designated Authority of Barbados.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Barbados has no-objection to the programme as included in the funding proposal;

(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Barbados;

(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Yours sincerely,

HON. RYAN STRAUGHN, M.P.
Minister

MINISTERE DU CADRE DE VIE
ET DU DEVELOPPEMENT DURABLE

REPUBLIQUE DU BENIN

01 BP 3502 - 01 BP 3621
Cotonou
Tél. : +229 21 31 47 12
dgec_mcvdd@cadredevie.bj

To: The Green Climate Fund ("GCF")

Cotonou, 10 August 2022

Re: Funding proposal for the GCF by MUFG Bank, Ltd. regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled *Project Gaia* in Benin as included in the funding proposal submitted by MUFG Bank, Ltd. to us on 10 August 2022.

The undersigned is the duly authorized representative of Martin Pepin AINA, the National Designated Authority of Benin.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Benin has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Benin;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Martin Pepin AINA
General Director of Environment and Climate
National Designated Authority
Benin

Direction Générale de l'Environnement et du Climat — Ministère du Cadre de Vie et du Développement Durable — Le Directeur Général

COSTA RICA 22 26

Despacho del Ministro
Ministerio de Ambiente y Energía

MINAE Ministerio de Ambiente y Energía

DM-804-2022
December 13th, 2022

Green Climate Fund ("GCF")

Subject: Green Climate Fund

Dear sirs

We refer to the programme titled *Project Gaia* in Costa Rica as included in the funding proposal submitted by MUFG Bank Ltd to us on November 20th, 2022.

The undersigned is the duly authorized representative of Mr. Franz Tattenbach, the National Designated Authority of Costa Rica.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Costa Rica has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Costa Rica;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely

MINISTERIO DEL AMBIENTE Y ENERGIA * COSTA RICA *

Franz Tattenbach
Minister of Environment and Energy
National Designated Authority
Costa Rica

MINISTÈRE DE L'ENVIRONNEMENT ET DU DÉVELOPPEMENT DURABLE

DIRECTION DE LA COOPÉRATION INTERNATIONALE ET DE LA MOBILISATION DES FINANCEMENTS

N° 014 MINEDD/CAB/DCIMF

RÉPUBLIQUE DE COTE D'IVOIRE

Union – Discipline – Travail

To: The Green Climate Fund ("GCF")

Abidjan, 13 july 2022

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled *Project Gaia* in Cote D'Ivoire as included in the funding proposal submitted by MUFG Bank Ltd to us on 13 July 2022.

The undersigned is the duly authorized representative of Ministry of Environment and Sustainable Development, the National Designated Authority of Cote D'Ivoire.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Cote D'Ivoire has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Cote D'Ivoire;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Ministère de l'Environnement et du Développement Durable
Autorité Nationale Désignée du Fonds Vert pour le Climat
Côte d'Ivoire
Le Point Focal

Name: Marcel YAO

Technical Advisor to the Minister in charge of International Cooperation and Resource Mobilization
National Designated Authority of Côte d'Ivoire

GOBIERNO DE LA
REPÚBLICA DOMINICANA
MEDIO AMBIENTE

Santo Domingo, D.N.
13 de junio de 2022

To: The Green Climate Fund ("GCF")

Re: Funding proposal for the GCF by MUFG Bank Ltd regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled *Project Gaia* in Dominican Republic as included in the funding proposal submitted by MUFG Bank Ltd. to us on June 13th 2022.

The undersigned is the duly authorized representative of Milagros De Camps of the Dominica Republic.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of the Dominican Republic has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Dominican Republic;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Milagros De Camps
National Designated Authority
Dominican Republic
MDC/RO/dcr

MINISTERIO DE MEDIO AMBIENTE Y RECURSOS NATURALES
GOBIERNO DE LA REPÚBLICA DOMINICANA
VICEMINISTERIO DE COOPERACIÓN INTERNACIONAL

REPUBLIC OF GHANA
MINISTRY OF FINANCE

P.O.Box MB 40, Ministries, Accra
Digital Address : GA-144-2024

Kindly quote this number and date on all correspondence

My Ref. No: . MOF/ESRD/NREC/GCF/12/22

Your Ref. No. ______

19th DECEMBER, 2022

Dear Mr. Yannick Glemarec

RE: FUNDING PROPOSAL FOR THE GCF BY MUFG BANK LIMITED REGARDING THE PROJECT GAIA

We refer to the **"Project Gaia"** Funding Proposal submitted by the MUFG Bank Ltd to the National Designated Authority (NDA), Ghana, on 1st December, 2022 seeking No-objection Letter from the NDA.

2. The undersigned is the duly authorized representative of the Ministry of Finance, the National Designated Authority/Focal Point of the Republic of Ghana.

3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

4. By communicating our no-objection, it is implied that:
   a. The Government of the Republic of Ghana has no-objection to the programme as included in the funding proposal;
   b. The Project Gaia as included in the funding proposal is in conformity with the national priorities, strategies and plans of Ghana; and
   c. In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

5. We confirm that our national process for ascertaining no-objection to the Project Gaia as included in the funding proposal has been duly followed.

6. We also confirm that our no-objection applies to all activities to be implemented within the scope of the programme.

7. We acknowledge that this letter will be made publicly available on the GCF website.

DR. ALHASSAN IDDRISU
DIRECTOR, ESRD/NDA, MOF
***FOR*: MINISTER**

THE EXECUTIVE DIRECTOR
GREEN CLIMATE FUND ("GCF")
G-TOWER, 24-4 SONGDO-DONG,
YEONSU-GU INCHEON CITY,
REPUBLIC OF KOREA.

Cc: The Hon. Minister, MOF
The Hon. Deputy Ministers, MOF
The Chief Director, MoF
The Managing Director, MUFG Bank, Ltd

Tel: +233 (0) 302 747 197
Email : info@mofep.gov.gh
Website : www.mofep.gov.gh

GOBIERNO de GUATEMALA
DR. ALEJANDRO GIAMMATTEI
MINISTERIO DE AMBIENTE Y RECURSOS NATURALES

To: The Green Climate Fund ("GCF")

Guatemala, December 13, 2022
Letter: 244-2022/UCI-JACC-me

Re: Funding proposal for the GCF by MUFG Bank Ltd regarding Project GAIA

Dear Madam, Sir,

We refer to the Programme titled Project GAIA in Guatemala as included in the funding proposal submitted by MUFG Bank Ltd, to us on December 13, 2022.

The undersigned is the duly authorized representative of NDA of Guatemala.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the Programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Guatemala has no-objection to the Programme as included in the funding proposal;
(b) The Programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Guatemala;
(c) In accordance with the GCF's environmental and social safeguards, the Programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the Programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the Programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Jenifer Andrea Calderón Cintora
Focal Point to Guatemala

C.c.: International Cooperation Unit
File

राजश्री रे
RAJASREE RAY

आर्थिक सलाहकार
पर्यावरण, वन एवं जलवायु परिवर्तन मंत्रालय
भारत सरकार
Economic Adviser
Ministry of Environment, Forest and Climate Change
Government of India

सत्यमेव जयते

No. CC-13008/140/2022-CC

To,

The Green Climate Fund ("GCF")

New Delhi, 08th February,2023

Subject: Funding Proposal for the GCF by MUFG Bank regarding "Project GAIA".

Dear Madam/Sir,

We refer to the programme titled **"Project GAIA",** a multi-country funding proposal, in India as included in the funding proposal submitted by MUFG Bank to us on 7th September 2022.

The undersigned is the duly authorized representative of Ministry of Environment, Forest and Climate Change, the National Designated Authority of India.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The Government of India has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of India;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Yours Sincerely,

Rajasree

(Rajasree Ray)
Economic Adviser to the Government of India,
GCF Focal Point for India

GCF FOCAL POINT NATIONAL DESIGNATED AUTHORITY
सत्यमेव जयते
INDIA

प्रकृतिः रक्षति रक्षिता
Nature Protects if She is Protected

ए–650, अग्नि विंग, इंदिरा पर्यावरण भवन, जोर बाग रोड़, नई दिल्ली–110 003, फोनः (011) 20819197, टेलीफैक्सः (011) 20819329
A-650, Agni Wing, Indira Paryavaran Bhawan, Jor Bagh Road, New Delhi-110 003 Tel.: (011) 20819197, Telefax: (011) 20819329
E-mail: rajasree.r@nic.in

MINISTRY OF FINANCE OF THE REPUBLIC OF INDONESIA
FISCAL POLICY AGENCY

R.M. NOTOHAMIPRODJO BUILDING 2ND FLOOR JALAN DR. WAHIDIN RAYA NOMOR 1 JAKARTA 10710
TELEPHONE (+62 21) 3441484; FACSIMILE (+62 21) 3848049; WEBSITE www.fiskal.kemenkeu.go.id

Ref. : S-72/KF/2022 18 July 2022

Mr. Yannick Glemarec
Executive Director
Secretariat of the Green Climate Fund
175, Art center-daero
Yeonsu-gu, Incheon 406-840
Republic of Korea

Subject : Funding Proposal for the GCF by MUFG Bank regarding Project Gaia (Gaia)

We refer to the program of Project Gaia (Gaia) as included in the funding proposal submitted by MUFG Bank to us on 17 June 2022.

The undersigned is the Chairman of Fiscal Policy Agency, Ministry of Finance as the National Designated Authority of Indonesia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the program as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Indonesia has no-objection to the program as included in the funding proposal;

(b) The program as included in the funding proposal is in conformity with Indonesia's national priorities, strategies and plans;

(c) In accordance with the GCF's environmental and social safeguards, the program as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to program as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the program.

Yours faithfully,

Ditandatangani secara elektronik
Febrio Nathan Kacaribu
Chairman

ANY REPLY OR SUBSEQUENT REFERENCE SHOULD BE ADDRESSED TO THE PERMANENT SECRETARY AND THE FOLLOWING REFERENCE NUMBER QUOTED:
Tel:Number:876-926-1690-3
926-1590-9 FAX 754-0975

MINISTRY OF ECONOMIC GROWTH AND JOB CREATION
25 DOMINICA DRIVE
KINGSTON 5
JAMAICA

August 29, 2022

Mr. Yannick Glemarec
Executive Director
Green Climate Fund
Republic of Korea

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project Gaia

Dear Mr. Glemarec,

We refer to the project titled *"**Project Gaia**"* as included in the readiness proposal submitted by MUFG Bank Ltd to us on 9 June 2022.

The undersigned is the duly authorized representative of the Ministry of Economic Growth and Job Creation, the National Designated Authority of Jamaica.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project.

By communicating our no-objection, it is implied that:

(a) The government of Jamaica has no-objection to the project as included in the funding proposal;

(b) The project as included in the funding proposal is in conformity with the national priorities, strategies and plans of Jamaica;

(c) In accordance with the GCF's environmental and social safeguards, the project as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the project as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Ms. UnaMay Gordon
GCF NDA, Jamaica

REPUBLIC OF KENYA
THE NATIONAL TREASURY AND ECONOMIC PLANNING

Telegraphic Address: 22921
FAX NO. 310833
Telephone: 2252299

THE NATIONAL TREASURY
P O BOX 30007 – 00100
NAIROBI

When Replying Please Quote

Ref: TNT/CONF/36/021/C/ (58)

Date: February 6, 2023

Yannick Glemarec
Executive Director
Green Climate Fund
Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
Republic of Korea

Dear Yannick

Re: Funding Proposal for the GCF by MUFG Bank Ltd regarding 'Project GAIA'

We refer to the programme titled ***Project GAIA*** in the Republic of Kenya as included in the funding proposal submitted by MUFG Bank Ltd to us on June 15, 2022.

The undersigned is the duly authorized representative of The National Treasury, the National Designated Authority of the Republic of Kenya.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The Government of Kenya has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Republic of Kenya;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Yours Sincerely

DR. CHRIS K. KIPTOO, CBS
PRINCIPAL SECRETARY/NATIONAL TREASURY

Copy to:

Njuguna Ndungu, CBS
Cabinet Secretary
The National Treasury and Economic Planning
Nairobi

Satoshi Ota
Managing Director
MUFG Bank Ltd
Chiyoda City, Tokyo

Mac-André Blanchard
Executive Vice President &
Head of CDPQ Global and Global Head of Sustainability
La Caisse de dépôt et placement du Québec (CDPQ)
Québec City, Canada

MINISTRY OF FINANCE, ECONOMIC PLANNING AND DEVELOPMENT

Government Centre, Port Louis, Mauritius

In reply, please quote: CF/50/70/85 V8

08 August 2022

To: The Green Climate Fund ("GCF")

Mr Yannick Glemarec
Executive Director
Green Climate Fund
Incheon
South Korea

Dear Madam, Sir,

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project GAIA

We refer to the programme titled *Project Gaia* in Mauritius as included in the funding proposal submitted by MUFG Bank Ltd to us on 19 May 2022

The undersigned is the duly authorized representative of the Ministry of Finance, Economic Planning and Development, the NDA of Mauritius.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Mauritius has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Mauritius.
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

D.D Manraj (G.O.S.K)
Financial Secretary &
National Focal Point for the GCF.

MINISTRY OF ENVIRONMENT AND TOURISM
OF MONGOLIA
**CLIMATE CHANGE RESEARCH
AND COOPERATION CENTRE**
STATE OWNED ENTERPRISE
Margad Center, 8th Khoroo, Sukhbaatar District,
Ulaanbaatar 14191, MONGOLIA
Tel: (976) 7000 0743, (976) 7000 0744,
E-mail: info@ccrcc.mn, http://www.ccrcc.mn

Date 2022, July 29
Ref. 54

To: The Green Climate Fund ("GCF")

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled Project Gaia in Mongolia as included in the funding proposal submitted by MUFG Bank Ltd to us on 10 June 2022.

The undersigned is the duly authorized representative of the Ministry of Environment and Tourism, Ms. Choikhand Janchivlamdan, the National Focal Point of Mongolia.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Mongolia has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies, and plans of Mongolia;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

J. Choikhand

CHOIKHAND JANCHIVLAMDAN
NATIONAL FOCAL POINT
MINISTRY OF ENVIRONMENT AND TOURISM
MONGOLIA

المملكة المغربية
ⵜⴰⴳⵍⴷⵉⵜ ⵏ ⵍⵎⵖⵔⵉⴱ
Royaume du Maroc

MINISTÈRE DE LA TRANSITION ENERGETIQUE ET DU DEVELOPPEMENT DURABLE
- DÉPARTEMENT DU DEVELOPPEMENT DURABLE -

وزارة الانتقال الطاقي والتنمية المستدامة
- قطاع التنمية المستدامة -
ⵜⴰⵎⴰⵡⴰⵙⵜ ⵏ ⵓⵎⵓⵜⵜⵉ ⵏ ⵜⵥⵓⵔⴰⵖⵜ ⴷ ⵜⴳⵎⵉ ⵜⴰⵙⵣⵎⴰⵔⵜ
- ⵉⴳⵔ ⵏ ⵜⴳⵎⵉ ⵜⴰⵙⵣⵎⴰⵔⵜ -

0332

To: The Green Climate Fund ("GCF")

Rabat, December 12th, 2022

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled *Project Gaia* as included in the funding proposal submitted by MUFG Bank Ltd to us on June 9th 2022.

The undersigned is the duly authorized representative of M. Bouzekri RAZI, the focal point of Morocco.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Morocco has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Morocco;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

M. Bouzekri RAZI

Director of Climate Change, Biodiversity
and Green Economy
Ministry of Energy Transition and Sustainable Development
Kingdom of Morocco
GCF Focal Point

Ministère de la Transition Energétique et du Développement Durable ★ Département du Développement Durable

9, Avenue Al Araar, Secteur 16, Hay Riad - Rabat
Tél. : 05 37 57 04 70 - Fax : 05 37 57 04 72

www.environnement.gov.ma

9، شارع العرعار، قطاع 16، حي الرياض – الرباط
الهاتف : 70 04 57 37 05 - الفاكس : 72 04 57 37 05

REPÚBLICA DE PANAMÁ
— GOBIERNO NACIONAL —

MINISTERIO DE
AMBIENTE

To: Mr. Yannick Glemarec
Deputy Executive Director
Green Climate Fund
Republic of South Korea

Panamá City, Panamá, 1 September 2022
DM-1701-2022

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project GAIA

Dear Mr Glemarec

We refer to the programme titled *Project GAIA* in Panamá as included in the funding proposal submitted by MUFG Bank Ltd to us on 1 August 2022.

The undersigned is the duly authorized representative of Ministry of Environment, the National Designated Authority of Panama.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Panama has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Panama;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Milciades Concepción
Minister of Environment
Ministry of Environment
Panamá

REPÚBLICA DE PANAMÁ
DESPACHO DEL MINISTRO
MINISTERIO DE AMBIENTE

REPÚBLICA DE PANAMÁ
GOBIERNO NACIONAL

MINISTERIO DE AMBIENTE

Para: Sr. Yannick Glemarec
Director Ejecutivo Adjunto
Fondo Verde para el Clima
República de Corea del Sur

Ciudad de Panamá, Panamá, 7 de septiembre de 2022
DM-1701-2022

Re: Propuesta de financiación para el GCF por MUFG Bank Ltd, en relación con el Proyecto GAIA

Estimado señor Glemarec

Nos referimos al programa titulado Proyecto GAIA en Panamá como se incluye en la propuesta de financiamiento que nos presentó MUFG Bank Ltd el 1 de agosto de 2022.

El abajo firmante es el representante debidamente autorizado del Ministerio del Medio Ambiente, la Autoridad Nacional Designada de Panamá.

De conformidad con la decisión B.08/10 del GCF, cuyo contenido reconocemos haber revisado, por la presente comunicamos nuestra no objeción al programa tal como se incluye en la propuesta de financiamiento.

Al comunicar nuestra no objeción, se da a entender que:

(a) El gobierno de Panamá no tiene objeciones al programa tal como se incluye en la propuesta de financiamiento;
(b) El programa, tal como se incluye en la propuesta de financiamiento, se ajusta a las prioridades, estrategias y planes nacionales de Panamá;
(c) De acuerdo con las salvaguardas ambientales y sociales del GCF, el programa, tal como se incluye en la propuesta de financiación, se ajusta a las leyes y reglamentos nacionales pertinentes.

También confirmamos que nuestro proceso nacional para determinar la no objeción al programa tal como se incluye en la propuesta de financiación se ha seguido debidamente.

También confirmamos que nuestra no objeción se aplica a todos los proyectos o actividades que se implementarán dentro del alcance del programa.

Reconocemos que esta carta se pondrá a disposición del público en el sitio web del GCF.

Atentamente,

REPÚBLICA DE PANAMÁ
DESPACHO DEL MINISTRO
MINISTERIO DE AMBIENTE

Milcíades Concepción
Ministro de Ambiente
Ministerio de Ambiente
Panamá

To: The Green Climate Fund ("GCF")

Lima, 29th December 2022

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project GAIA

Dear Madam, Sir,

We refer to the programme titled *Project GAIA* in Peru as included in the funding proposal submitted by MUFG Bank Ltd to us on 9 June 2022.

The undersigned is the duly authorized representative of José Alfredo La Rosa Basurco, the National Designated Authority of Peru.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Peru has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Peru;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Ministerio de Economía y Finanzas

Firmado Digitalmente por LA ROSA BASURCO Jose Alfredo FAU 20131370645 soft
Fecha: 29/12/2022 20:20:32 COT
Motivo: Firma Digital

____

Mr. José Alfredo La Rosa Basurco
General Director, General Directorate of International Economic Affairs, Competition and Productivity
National Designated Authority
Peru

Republic of the Philippines
DEPARTMENT OF FINANCE
Roxas Boulevard Corner Pablo Ocampo, Sr. Street
Manila 1004

Mr. YANNICK GLEMAREC
Executive Director
Green Climate Fund (GCF)
175 Art Center-daero
Yeonsu-gu, Incheon
Republic of Korea

SUBJECT : **No Objection Letter (NOL) for the "Project Gaia" Funding Proposal of the MUFG Bank Ltd. (MUFG) for the GCF**

Dear **Mr. GLEMAREC:**

We refer to the programme titled "Project Gaia" as included in the funding proposal submitted by the MUFG Bank Ltd. (MUFG).

The undersigned is the duly authorized representative of the Department of Finance, the National Designated Authority of the Republic of the Philippines.

Pursuant to GCF decisions B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The Government of the Republic of the Philippines has no-objection to the programme as included in the funding proposal;

(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Government of the Republic of the Philippines; and

(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Very truly yours,

MARK DENNIS Y.C. JOVEN
Undersecretary
SEP 21 2022

THE UNITED REPUBLIC OF TANZANIA

VICE PRESIDENT'S OFFICE

Telegraphic Address:
"**MAKAMU**",
Telephone: **+255 262352423**
Fax: **+25526351122**
Email: ps@vpo.go.tz

Government City,
Mtumba Area,
Vice President's Office
Building,
P.O. Box 2502,
40406 DODOMA

***In reply please quote*:**

Our Ref: BD.38/90/01A

6th February, 2023

The Green Climate Fund (GCF)
Executive Director,
G-Tower, Songdo Business District
175 Art center-daero
Yeonsu-gu, Incheon 22004
REPUBLIC OF KOREA

RE: FUNDING PROPOSAL FOR THE GCF BY THE MUFG BANK, LTD REGARDING THE GAIA PROGRAMME

Dear Madam, Sir,

2. We refer to the programme titled **"GAIA"** in Tanzania as included in the funding proposal submitted by MUFG Bank Limited to us on 25/01/2023

3. The undersigned is the duly authorized representative of Vice President's Office the National Designated Authority of Tanzania

4. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal. By communicating our no-objection, it is implied that:

(a) The government of **Tanzania** has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of **Tanzania;**
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

5. We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme

7. We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Mary N. Maganga
PERMANENT SECRETARY AND
GCF NATIONAL DESIGNATED AUTHORITY, TANZANIA

MINISTERE DE L'ENVIRONNEMENT
ET DES RESSOURCES FORESTIERES

SECRETARIAT GENERAL

DIRECTION DE L'ENVIRONNEMENT

Point Focal National du Fonds Vert pour le Climat

REPUBLIQUE TOGOLAISE
Travail – Liberté – Patrie

To be printed on letterhead of NDA

Director
To: The Green Climate Fund ("GCF")

Lomé, 14 September 2022

Re: Funding proposal for the GCF by MUFG Bank Ltd, regarding Project Gaia

Dear Madam, Sir,

We refer to the programme titled *Project Gaia* in TOGO as included in the funding proposal submitted by MUFG Bank Ltd to us on July 14, 2022.

The undersigned is the duly authorized representative of Ms. Méry YAOU, the National Designated Authority / Focal Point of Togo.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Togo has no-objection to the programme as included in the funding proposal;
(b) The program as included in the funding proposal is in conformity with the national priorities, strategies and plans of Togo;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

Direction de l'Environnement
La Directrice

YAOU MERY,
Director of Environment National Focal point of GCF,
Ministry of Environment, Lomé , Togo

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Project Gaia (“Gaia”)
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	MUFG Bank, Ltd.
Environmental and social safeguards (ESS) category	Category I-1
Location – specific location(s) of project or target country or location(s) of programme	**Africa:** Benin, Côte d’Ivoire, Ghana, Kenya, Madagascar, Mauritius, Morocco, Senegal, Tanzania, and Togo; **Asia:** Bangladesh, India, Indonesia, Mongolia, Papua New Guinea, and Philippines; **Latin America and the Caribbean:** Barbados, Costa Rica, Dominican Republic, Guatemala, Honduras, Jamaica, Panama, Paraguay, and Peru.
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity’s website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity’s website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management (ESMS) (if applicable)	
Date of disclosure on accredited entity’s website	Friday, June 23, 2023
Language(s) of disclosure	English, Arabic, Bahasa Indonesia, Bengali, French, Hindi, Mongolian, and Spanish.
Explanation on language	These are the official languages of target countries.
Link to disclosure	English: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_english.pdf Arabic: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_arabic.pdf

	Bahasa Indonesia: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_indonesian.pdf Bengali: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_bengali.pdf French: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_french.pdf Hindi: https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_hindu.pdf Mongolian https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_mongolian.pdf Spanish https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/pdf/system_spanish.pdf
Other link(s)	https://www.bk.mufg.jp/global/productsandservices/corpandinvest/gcf/pg/index.html
Remarks	An ESMS consistent with the requirements for a Category I-1 programme is contained in the "Environmental and Social Management System (ESMS)".
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	Land Acquisition and Resettlement Framework, Indigenous Peoples Framework, and Biodiversity Management Framework is part of the ESMS.
Language(s) of disclosure	See entry above regarding the ESMS
Explanation on language	See entry above regarding the ESMS
Link to disclosure	See entry above regarding the ESMS
Other link(s)	See entry above regarding the ESMS
Remarks	See entry above regarding the ESMS
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Friday, June 23, 2023
Place	- All National Designated Authorities (NDA) were provided the copies of PDF files of English and local language ESMS for physical disclosure of printed materials at the place where accessible to their public as well as link to the disclosure on MUFG's website which are also accessible from NDA offices (see contact information here: https://www.greenclimate.fund/countries) - Regional offices of MUFG in Bangladesh, India, Indonesia, and Philippines.

Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	TBD
Date of GCF's Board meeting	B. 37 or any future meeting.

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP223

Proposal name:	Project GAIA ("GAIA")
Accredited entity:	MUFG Bank, Ltd.
Country/(ies):	**Africa:** Benin, Côte d'Ivoire, Ghana, Kenya, Mauritius, Morocco, Tanzania, Togo **Asia:** India, Indonesia, Mongolia, Philippines **Latin America and the Caribbean:** Barbados, Costa Rica, Dominican Republic, Guatemala, Jamaica, Panama, Peru
Project/Programme size:	Large

I. Assessment of the independent Technical Advisory Panel

1.1 Impact potential *Scale: Medium to high*

1. Goal statement, impact, paradigm shift and theory of change: Project GAIA is built on the theory of change that "If GCF and additional institutional, commercial and philanthropic capital is blended to create a scalable and replicable climate finance platform with a technical assistance facility, THEN low-carbon and climate-resilient growth in recipient countries will be catalysed and become more sustainable and inclusive BECAUSE successful climate mitigation, adaptation and cross-cutting projects in emerging markets will be demonstrated to commercial and institutional investors."[1]

2. The Project GAIA design structure encompasses five outcomes: (i) reduced greenhouse gas (GHG) emissions from climate mitigation projects, which contributes to low-carbon growth; (ii) increased resilience of physical assets, ecosystems and populations to adverse climate change impacts; (iii) enhanced capacity to identify and manage environmental and social (E&S) risks in climate projects; (iv) improved access to basic services for women and strengthened inclusion of women in climate projects; and (v) enhanced national capacity to access and mobilize climate finance and to address real and perceived risks of climate finance projects.

3. Strategic outputs are as follows: (i) low-carbon energy and transport projects are deployed; (ii) climate-resilient infrastructure, ecosystems and health, food and water services are built; (iii) low-carbon and climate-resilient projects are co-financed; (iv) policies/ procedures to identify, assess and mitigate E&S risks are adopted or reinforced; (v) policies/ procedures to promote gender equality and social inclusion and eliminate sexual exploitation, abuse and harassment and gender-based violence and harassment are adopted or reinforced; and (vi) strengthened capacity of national, regional and local institutions to develop, manage, mobilize and finance high-impact climate investments.

[1] See Funding proposal section B.2 (a)

4. Project GAIA will establish a new fund called the GAIA[2] Platform that will facilitate the deployment of blended finance into long-term loans for climate adaptation and mitigation investments from institutional investors.

5. The project seeks to focus on investments in adaptation assets and programmes (allocating 70 per cent of portfolio expenditures) with a meaningful allocation to the least developed countries (LDCs) and small island developing States (SIDS) (allocating a minimum of 25 per cent of portfolio expenditures). These investments will target multiple sectors, including agriculture and livestock, coastal water resources, energy generation and efficiency, climate-resilient green/blue infrastructure, ecosystem-based adaptation services and transportation. Project GAIA will ultimately be a diversified portfolio across countries investing across five GCF results areas with a 70 per cent adaptation/30 per cent mitigation split at the portfolio level.

6. The target countries are in Africa (Benin, Côte d'Ivoire, Ghana, Kenya, Mauritius, Morocco, Togo, United Republic of Tanzania,), Asia (India, Indonesia, Mongolia, Philippines) and Latin America and the Caribbean (Barbados, Costa Rica, Dominican Republic, Guatemala, Jamaica, Panama, Peru). No-objection letters (NOLs) have been secured. NOL countries were selected through an analysis of all countries supported by GCF with a focus on climate-impacted Global South countries, followed by a geopolitical, governance and macroeconomic screening. Further screening using credit ratings, geographies, size and population were carried out to ensure a diversified base that can support the impact goal of Project GAIA to catalyse low-carbon and climate-resilient development through its capital deployment. Most of the countries targeted by Project GAIA fall within the GCF priority group of countries (African States, LDCs, SIDS).

7. The total lifespan of the project is 30 years, in which a total of 30.55 million tonnes of carbon dioxide equivalent (t CO_2 eq) (annual average of 1,018,450 t CO_2 eq) will be mitigated. The project will reach 6.49 million direct (approximately 0.30 per cent of the population in the participating countries) and 12.98 million indirect (approximately 0.61 of the population) beneficiaries.

8. Project GAIA plans to raise USD 1,482.5 million in total, starting with USD 152.5 million in funding from GCF, which will be invested as junior equity into a holding company[3] and will then provide junior concessional debt to Project GAIA. This will be matched by USD 160.0 million from two other junior tranche investors (pari passu with GCF): FinDev Canada (at USD 70.0 million) and other investors to be disclosed by the AE such as the Soros Economic Development Fund[4] (USD 90.0 million).

9. GCF investment will also trigger the mobilization of USD 1,170 million commercial senior capital coming from MUFG Bank, Ltd. (MUFG) (USD 295.0 million), FinDev Canada (USD 75.0 million) and Legal & General Investment Management (USD 25.0 million), with additional capital to be provided by the other senior lenders (USD 775.0 million)(share of each additional lender still to be confirmed).

[2] GAIA Climate Loan Fund Limited Partnership: a newly-created limited partnership registered in Luxembourg. This is the legal entity providing financing to end borrowers/projects. The limited partnership does not hold legal personality and will act through GAIA's General Partner (e.g. executing loans, contracting services); currently two fund management entities are being assessed for the position of Investment Manager to act as the General Partner. The role will be performed by an entity set up and managed by the Investment Manager and the shares of the General Partner entity will be held by the Investment Manager, which will support GAIA by acting on project structuring, administration, implementation and monitoring, and ensuring project compliance with relevant GAIA policies and financing agreements (including but not limited to climate and environmental, social and governance assessment and monitoring). The Investment Manager plays an important active role within the governance structure and is therefore an executing entity. Further details on GAIA's specific responsibilities for the funded activity and its implementation are detailed in annex 21A to the funding proposal (operations manual).

[3] GCF GAIA Holdco SPV is the special purpose vehicle used for GCF investment in GAIA (to be established in Hong Kong, China). The GCF GAIA Holdco SPV Manager is the entity responsible for the management of the day-to-day administration of the special purpose vehicle.

[4] To be confirmed by the AE.

10. Project GAIA will also provide a suite of services that will enhance the quality of the projects and de-risk the investments in these projects. The first is a parallel technical assistance facility[5] to improve project fit and readiness (up to USD 50.0 million grants beginning with USD 5.0 million from FinDev, subject to final approval). The de-risking mechanisms, on the other hand, include the following: (i) use of blended finance from the junior concessional tranche; this allows for an adequate risk-return profile for senior lenders; (ii) provision of a second-loss insurance to further enhance the Project GAIA Fund, basically protecting senior lenders should loan reflows be insufficient to repay them (USD 50.0 million from Axa XL, subject to final approval); (iii) a foreign exchange hedging cost support facility for the loans in the local currency (USD 20.0 million from FinDev Canada, subject to final approval); and (iv) a First Loss Reserve Account to help to offset losses borne by the junior lenders, top up the foreign exchange and technical assistance facilities and allow Project GAIA to bring on additional senior capital in future. Financing of these de-risking activities will include primary financing from FinDev Canada and potentially a philanthropic partner. However, as Project GAIA develops and generates cash flow, excess flows will be channelled to the foreign exchange hedging facility.

11. This project was endorsed for the thirty-fifth meeting of the Board but the AE pulled out because of a material change in the project.

12. Under this resubmission, the funding proposal theory of change remains the same as do the impact, outcomes and activities.

13. However, changes have transpired in the following areas:[6]

(a) Legal structure (securitization): one of the main investor classes of Project GAIA is made up of institutional investors of the European Union (EU) and the United Kingdom of Great Britain and Northern Ireland.. Aligned with other blended finance funds, the structure is now organized with an equity tranche (junior) and senior investors as debt. Therefore, the subordination of the junior investors is structural given the nature of equity versus debt;

(b) GAIA Platform financing amount and breakdown: the funding proposal reflects agreed changes of the increased attachment point from 20 to 26 per cent; the junior equity tranche would increase from 16.6 to 20.9 per cent; and the insurance/guarantee would increase from 3.4 to 5 per cent (with the potential to increase to 20 per cent through the investment period). The flexibility of increasing the insurance/guarantee is key to attracting additional investors which require an additional protection level. The increase of the insurance/guarantee does not affect the overall funded amounts and will be used directly in favour of senior lenders only;

(c) Sequencing of GAIA closing amounts: GAIA will retain an unlimited number of potential closes within the maximum timeline of 36 months from Board approval; closings can take place once per quarter. The mechanism for multiple closings will be via new investor(s) disbursing funds to the GAIA LP pro rata to their share of the fund, which in turn will be used to repay the existing investors and dilute the percentage of existing investors in the fund to align with the new breakdown, including new investors;[7]

(d) Investment Manager: given the changes in the overall market landscape and the structure of GAIA (including the initial smaller first close), the indicative terms from the Investment Manager are being reassessed with a potential increase and change on the mix between fixed and variable fees to be paid by GAIA. To ensure that the GAIA Platform receives the optimal mix between pricing and the scope and quality of services, GAIA has requested refreshed proposals. The process will follow the procurement policy of MUFG as AE and under FinDev Canada's technical evaluation and selection;

[5] Parallel TA Facility will be established and is outside the scope of the GAIA Program.
[6] See revisions in annex 31 to the funding proposal .
[7] This mechanism will be detailed in the term sheet by Board submission through the term sheet.

(e) Increase of the insurance/guarantee tranche: having received feedback from investors that increased risk protection is desirable, GAIA would like to increase the mezzanine tranche to up to USD 300 million (currently USD 50 million) to 20 per cent of fund size (currently 5 per cent). Under the increased insurance scenario, the rating of the senior tranche would be above BBB – essentially BBB+ or A rating. According to investor feedback the currently envisaged BBB/BBB– rating on the senior tranche is perceived as too risky; any sudden sovereign rating deterioration could push the portfolio into non-investment grade;

(f) Governance: due to a change in the envisaged universe of senior investors (from three to a higher number of senior investors), the veto rights will be agreed as new investors indicate commitments. Investors without veto rights will still have the right to vote, and approval by the Credit Committee will be by a two-thirds supermajority; and

(g) GAIA LP Incorporation jurisdiction: both Investment Managers, under reassessment, have a preference for Luxembourg (in lieu of Manitoba) as a standard jurisdiction for funds which generates efficiency in operational management and costs.

14. Details on the Project GAIA Fund term sheet is presented in annex 14A (term sheet)[8]. The key terms of the Project GAIA Fund are presented in table 1.

Table 1: Project GAIA Fund terms

<table>
<tr><th></th><th>Terms</th><th>Rationale</th></tr>
<tr><td>Executing entity (EE)</td><td>GAIA Climate Loan Fund Limited Partnership (GAIA LP); GAIA’s General Partner (GP); Investment Manager; GCF Holdco SPV; GCF Holdco SPV Manager</td><td>GAIA LP will be the legal entity providing the financing to end borrowers/projects.

The GP will act on behalf of GAIA LP (e.g. executing loans, contracting services); currently either Ninety One or Allianz Global Investors is being considered to act as the GP.

Investment Manager: GAIA will be supported by the Investment Manager, which will act on project structuring, administration, implementation and monitoring, and ensure project compliance with GAIA’s relevant policies and financing agreements. The Investment Manager plays an important active role within the governance structure and is therefore an EE.</td></tr>
<tr><td>Target programme size</td><td>USD 1,482.5 million
1. Total equity: USD 310 million (including GCF investment of USD 152.5 million)
2. Senior loans: USD 1,170 million</td><td>The following is an illustration of the funding structure of the programme:
Equity investment of USD 45.75 million by GCF and USD 48 million by others along with loans of USD 351 million by co-financiers will be deployed for low-carbon energy and transport projects; and
Equity investment of USD 106.75 million by GCF and USD 112 million by others along with USD 819 million in loan by co-financiers will finance building climate-resilient infrastructure, ecosystems and health, food and water services.
<table>
<tr><th>Component</th><th>Subcomponent</th><th></th><th>GCF (USD million)</th><th>Co-financing (USD million)</th></tr>
<tr><td>1: Innovative, scalable and replicable</td><td>1.1: Low-carbon energy and transport projects are deployed</td><td>Equity</td><td>45.75</td><td>48</td></tr>
</table></td></tr>
</table>

[8] See funding proposal annex 14A.

financing structure		Senior loan	–	351
	1.2: Climate-resilient infrastructure, ecosystems and health, food and water services are built	Equity	106.75	112
		Senior loan	–	819
	1.3: Low-carbon and climate-resilient projects are co-financed	–	–	–
	1.4: Policies/procedures to identify, assess, and mitigate environmental and social (E&S) risks are adopted or reinforced	Grants	–	–
	1.5: Policies/procedures to promote gender equality and social inclusion and eliminate sexual exploitation, abuse and harassment and gender-based violence and harassment are adopted or reinforced	Grants	–	–
	1.6: Strengthened capacity of national, regional and local institutions to develop, manage, mobilize and finance high-impact, high-standard climate investments	Grants	–	–
Total component 1:		**1,482.50**	**152.50**	**1,330.00**
Total programme:		**1,482.50**	**152.50**	**1,330.00**

Interest rate	As per term sheet	Fixed interest rate: 2 per cent per annum to be paid biannually through the returns of GAIA LP.
Currency of disbursement to recipients		GAIA will provide long-term debt finance in both local and hard currency without a mandatory requirement of a sovereign guarantee.
Tenor of loans to projects	Up to 15 years within a 30-year facility	
Summary of eligibility, evaluation and structuring criteria	As per term sheet	The eligibility criteria are as follows: • The project is in a Project GAIA eligible country; • The project fits within the quasi-sovereign definition (see annex 21A); • The sector is not part of the exclusion list (see annex 21A);

		• The project's activities and/or sectors are included in the positive list (see annex 21A); • The main objective of the project is climate adaptation and/or mitigation; • The project is aligned with national climate finance priorities; • The project contributes to at least one of the GCF results areas targeted by Project GAIA; and • The project contributes to orienting Project GAIA goals towards the least developed countries and small island developing States, and is within the threshold criteria for portfolio construction. The qualitative factors include: • Initial environmental and social risk categorization; • Initial review of any potential negative issues and alignment with the "do no significant harm" principle related to environmental and social aspects; • Degree of contribution towards creating an enabling environment; • Additional information on the climate objective(s) of the project and on the contribution to targeted results area(s); • Details on financing needs; initial due diligence (as these issues relate to governance/integrity/reputational concerns/financial aspects/ environmental and social policies and procedures); and • Environmental and social impact assessment report and pre-feasibility/technical studies, if available.
Disbursement	As per term sheet	The disbursement of GCF funds will take place in accordance with the underlying loans' timelines or under an agreed disbursement schedule in the funded activity agreement subject to GCF preference.

Abbreviations: GESI = gender equality and social inclusion, SEAH = sexual exploitation, abuse and harassment, GBVH = gender-based violence and harassment. *Source*: Secretariat assessment document.

15. Climate change problem. The consequences of climate change are evident in rising sea levels, extreme weather events, extreme temperature ranges and highly variable rainfall patterns. The massive cost of these environmental threats to human life, community livelihoods and interlinked productive systems will have a disproportionate impact on low-income and lower middle-income economies and demands an immediate and ramped-up response to these hazards and physical risks. Estimates of the annual cost of adaptation are between USD 140 billion and USD 300 billion by 2030, accelerating to requirements of up to USD 500 billion per annum by 2050.[9] Putting in place sustained funding for adaptation investments and resilience capacity in vulnerable societies, thus partnering public and private financing at a previously unrealized scale, is a core challenge of the age and the driving imperative behind the establishment of Project GAIA Climate Loan Fund.

16. The most prevalent climate-related hazards within the countries analysed are increased incidence of droughts, floods, heatwaves and sea level rise, with drought being an important hazard to monitor as it is expected to impact each of the Project GAIA target countries, as shown

[9] Global Center on Adaptation, 2018; United Nations Environment Programme, 2019

in table 2. Notre Dame Global Adaptation Initiative (ND-GAIN) is used to rank each countries' vulnerabilities and readiness to increase resilience.[10]

Table 2: Climate-related natural hazards

	CLIMATE RELATED NATURAL HAZARDS										GHG Emissions per Capita	ND-GAIN Ranking
Country	Drought	Flood	Sea Level Rise	Heatwaves	Cyclones	Precipitation Changes	Landslides	Wildfires	Increased Aridity	Dust Storms		
Bangladesh (LDC)	•	•	•	•	•						0.51	164
Barbados (SIDS)	•	•	•	•	•	•					4.36	42
Benin (LDC)	•	•	•	•		•	•	•			0.69	158
Costa Rica	•	•	•		•	•	•		•		1.65	60
Cote d'Ivoire	•	•	•	•		•	•	•			0.40	142
Dominican Republic (SIDS)	•	•	•	•		•					2.36	104
Ghana	•	•	•	•	•	•	•	•	•		0.54	110
Guatemala	•	•			•		•				1.11	117
Honduras	•	•	•		•	•	•				1.02	139
India	•	•	•	•	•						1.80	121
Indonesia	•	•	•	•	•			•			2.18	103
Jamaica (SIDS)	•		•	•	•						2.90	89
Kenya	•	•	•			•	•	•	•		0.36	147
Madagascar (LDC)	•	•	•		•	•					0.13	165
Mauritius (SIDS)	•	•	•	•	•						3.26	50
Mongolia	•	•		•					•	•	6.73	63
Morocco	•	•	•	•		•			•	•	1.85	70
Panama	•	•	•		•	•	•	•			2.43	82
Papua New Guinea (SIDS)	•	•	•	•	•	•	•				0.87	156
Paraguay	•	•		•		•	•				1.21	94
Peru	•	•	•	•		•	•				1.70	89
Philippines	•	•	•	•	•		•				1.33	115
Senegal (LDC)	•	•	•					•			0.62	132
Togo (LDC)	•	•	•	•	•			•			0.29	134
Tanzania (LDC)	•		•	•		•					0.21	147
Total	25	23	22	18	15	15	12	8	5	2		

.Source: Funding proposal, annex 2.

17. Impacts on water resource access and availability and other climate impacts are not isolated issues. The compounding effect of increased heat and drought will produce cascading economic effects on agricultural production and food security (i.e. crop production losses and high tree mortality), leading to additional social effects (i.e. increased food prices and reduced household incomes) and exacerbating existing gender and human health issues (i.e. malnutrition and climate-related mortality).[11]

18. This phenomenon is expected to manifest itself across all Project GAIA target countries, as climate impacts on natural resources (i.e. water, land, coastal zone, marine and terrestrial ecosystems and biodiversity).[12] The impacts of climate change on natural resources will increasingly put pressure on key economic sectors, mainly food production and access in the agriculture and livestock sector.[13] As climate change exacerbates impacts in key sectors, such as agriculture, coastal resources and energy, individual livelihoods will be impacted through changes in agricultural productivity, impacts on food security and health, and loss of income, resulting in adverse effects on gender and social equity (see table 3). The impact of climate change on communities, impacts on gender and human health, migration, poverty and inequality as a result of climate change are expected across most Project GAIA target countries.

[10] *Note*: Data taken from the World Bank Group Climate Change Knowledge Portal, and United States Agency for International Development, "Regional & Country Risk Profiles and GHG Emissions Fact Sheets" The ND-GAIN Country Index summarizes a country's vulnerability to climate change and other global challenges in combination with its readiness to improve resilience. It aims to help governments, businesses and communities better prioritize investments for a more efficient response to the immediate global challenges ahead.
[11] Intergovernmental Panel on Climate Change. 2022. Summary for Policymakers. In: H Pörtner, D Roberts, M Tignor, et al. (eds.). Climate Change 2022: Impacts, Adaptation, and Vulnerability. Contribution of Working Group II to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change. Cambridge, United Kingdom: Cambridge University Press.
[12] See table in annex 2 to the funding proposal on impacts of climate change on natural resources.
[13] Working Group II, "Climate Change 2022 Impacts, Adaptation and Vulnerability Summary for Policymakers," IPCC, March 2022: 16,

Table 3: Impacts of climate change on economic sectors

	IMPACTS OF CLIMATE CHANGE TO ECONOMIC SECTORS							
	Agriculture & Livestock	Coastal Resources	Energy	Fisheries	Urban, Buildings	Tourism	Forestry	Transportation
Bangladesh	•		•	•	•			
Barbados	•	•	•	•	•	•		
Benin	•	•	•	•	•	•	•	•
Costa Rica	•	•	•	•		•		
Cote d'Ivoire	•	•	•	•	•	•	•	•
Dominican Republic	•	•		•		•	•	
Ghana	•	•		•	•	•	•	
Guatemala	•				•		•	
Honduras	•	•	•	•		•	•	
India	•		•	•	•			
Indonesia	•		•	•	•			
Jamaica	•	•	•					•
Kenya	•	•	•	•		•	•	
Madagascar	•	•	•	•	•		•	
Mauritius	•	•		•				
Mongolia	•		•		•			
Morocco	•		•	•		•	•	
Panama	•	•						
Papua New Guinea	•	•	•	•	•		•	•
Paraguay	•		•		•			
Peru	•	•		•	•			•
Philippines	•	•	•		•			
Senegal	•	•		•		•		
Tanzania	•	•	•		•	•		•
Togo	•	•	•					
Total	25	18	18	17	15	11	10	6

Source: Funding proposal, annex 2.

19. As presented in annex 2 to the funding proposal (feasibility study), GAIA will target investment primarily in lower middle-income countries, defined as countries with a per capita gross domestic product of between USD 1,046 and USD 4,095; and countries that are characterized by higher vulnerability to climate change owing to limited progress in development indicators such as gross domestic product, access to goods and services and the poverty rate.

20. As per the contribution of Working Group II to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change, the relationship between socioeconomic development levels and climate change vulnerability (both socioeconomic development and adaptive ability), influences a country's level of climate risk. Vulnerability is greater in locations with poverty, governance challenges and limited access to basic services and resources, violent conflict and high levels of climate-sensitive livelihoods (e.g. smallholder farmers, pastoralists, fishing communities)."[14]

21. These characteristics apply to all target countries in the Project GAIA portfolio, which are extremely vulnerable to climate-related hazards and face greater risk of climate change impacts owing to their location and other socioeconomic factors. Several indicators of socioeconomic development within the GAIA target countries show climate vulnerabilities for each target country (see table 4).

[14] As footnote 13 above.

22. **GAIA funding opportunity.** In the global climate finance landscape, mitigation finance continues to lead global climate-related investment flows. Adaptation finance continues to lag significantly behind mitigation finance, accounting for only 7 per cent of total global climate finance investment. Currently, there is an uneven distribution of climate-related finance flows for adaptation-related activities in developing nations (see table 1 in annex 2 to the funding proposal on climate finance by region).[15] Involving private actors in climate finance activities in developing regions will diversify the sources of climate investment, which is primarily financed through public debt. Increasing private sector adaptation investment can help to increase the total share of adaptation in global climate finance flows. In addition to engaging the private sector at large, there is an opportunity for additional engagement with institutional investors, particularly in infrastructure financing.

Table 4: Target country socioeconomic indicators

	Economic Context				*Access to Goods and Services*				
Country	Income Level	GDP (Billions)	Debt to GDP ratio	Poverty Rate	Access to Electricity	Access to Healthcare	Access to Education	Food Security	Water Security
Bangladesh	Lower-Middle Income Economies ($1,046 to $4,095)	$323	31.7	24.3	92	0.6	95.0	10.5	58.5
Barbados	High-Income Economies ($12,696 or More)	$4	..	..	100	2.5	98.4	..	..
Benin	Lower-Middle Income Economies ($1,046 to $4,095)	$16	46.1	38.5	40	0.1	97.2	..	..
Costa Rica	Upper-Middle-Income Economies ($4096 to $12,695)	$62	79.3	21	100	2.9	97.4	2.6	80.5
Cote d'Ivoire	Lower-Middle Income Economies ($1,046 to $4,095)	$61	30.0	39.5	69	0.2	93.7	..	35.2
Dominican Republic	Upper-Middle-Income Economies ($4096 to $12,695)	$79	69.1	21	100	1.5	93.9	..	..
Ghana	Lower-Middle Income Economies ($1,046 to $4,095)	$69	78.0	23.4	84	0.1	85.0	8.6	41.4
Guatemala	Upper-Middle-Income Economies ($4096 to $12,695)	$78	31.3	59.3	96	0.4	89.2	19.2	55.8
Honduras	Lower-Middle Income Economies ($1,046 to $4,095)	$24	54.9	48.3	93	0.3	80.5	14.6	..
India	Lower-Middle Income Economies ($1,046 to $4,095)	$2,660	74.0	21.9	98	0.9	97.7	..	..
Indonesia	Lower-Middle Income Economies ($1,046 to $4,095)	$1,058	38.5	9.4	99	0.5	94.4	0.7	..
Jamaica	Upper-Middle-Income Economies ($4096 to $12,695)	$14	110.0	19.9	99	0.5	81.4	..	..
Kenya	Lower-Middle Income Economies ($1,046 to $4,095)	$101	65.6	36.1	70	0.2	81.2	25.7	..
Madagascar	Low-Income Economies ($1,045 or Less)	$13	44.8	70.7	27	0.2	96.9	..	20.5
Mauritius	Upper-Middle-Income Economies ($4096 to $12,695)	$11	73.4	10.3	100	2.5	95.0	8.3	..
Mongolia	Lower-Middle Income Economies ($1,046 to $4,095)	$13	66.0	28.4	99	3.9	98.7	4.9	30.1
Morocco	Lower-Middle Income Economies ($1,046 to $4,095)	$115	76.4	4.8	100	0.7	99.2	..	79.9
Panama	Upper-Middle-Income Economies ($4096 to $12,695)	$54	69.8	22.1	96	1.6	86.8	..	..
Papua New Guinea	Lower-Middle Income Economies ($1,046 to $4,095)	$25	48.9	39.9	63	0.1	75.5	..	..
Paraguay	Upper-Middle-Income Economies ($4096 to $12,695)	$36	33.9	23.5	100	1.4	87.8	..	64.1
Peru	Upper-Middle-Income Economies ($4096 to $12,695)	$202	35.4	20.2	98	0.8	98.5	19.2	51.3
Philippines	Lower-Middle Income Economies ($1,046 to $4,095)	$361	53.5	16.7	96	0.6	95.0	4	47.5
Senegal	Lower-Middle Income Economies ($1,046 to $4,095)	$25	47.7	6.7	70	0.1	76.5	13.6	..
Tanzania	Lower-Middle Income Economies ($1,046 to $4,095)	$62	37.8	26.4	38	0.1	82.4	24.7	..
Togo	Low-Income Economies ($1,045 or Less)	$8	29.5	55.1	52	0.1	94.7	..	19.6

Source: Funding proposal, annex 2.

23. The 25 countries analysed for this programme have an estimated financing need of USD 810 billion to implement the mitigation and adaptation goals included in their nationally determined contributions (NDCs), which represents an annual requirement of USD 75 billion through 2030. According to the information available in the NDCs, the Project GAIA target countries determined that USD 776 billion in climate mitigation financing (USD 60.6 billion per year) and USD 161 billion in climate adaptation financing (USD 14.5 billion per year) would be needed to achieve the goals and targets described in their NDCs[16] (see annex 2 to the funding proposal, total financial targets). This analysis indicates that a significant gap in climate finance is likely to exist within Project GAIA target countries and that adaptation flows are smaller than mitigation flows.

1.1.1. Adaptation impact

24. **Accelerated transition of LDCs and SIDS towards climate-resilient development pathways.** The GAIA Platform will enable the transfer of urgently needed sustainable climate finance resources to the NOL countries. The first impact will be sustainable climate finance

[15] Buchner B, et al. 2021. "Global Landscape of Climate Finance 2021," Climate Policy Initiative.

[16] Note that these figures were determined through the GAIA team's analysis of the NDCs of all the countries in the portfolio. However, it should be noted that not all GAIA countries include financial needs in their NDCs. Furthermore, countries determined needs based on independent processes and relative to specific time frames, which varied between 2015–2030 and 2022–2030.

flows from traditional global institutional investors and fund reflows from the GAIA Platform. Second is the transfer of knowledge and expertise in climate and finance advisory services through the parallel technical assistance facility. This combination of transfer of climate-linked resources from developed countries to developing countries essentially accelerates the preparation, development and/or implementation of various priority pilot or complimentary projects already vetted by reputable origination partners from development agencies (e.g. the United Nations Development Programme, Global Green Growth Institute), multilateral development banks (MDBs) such as the World Bank and other strategic civil society organizations, non-governmental organizations and think tanks operating at the local level. These priority climate projects may now have a fighting chance of being replicated and/or scaled up at the local, regional and national level; such projects range from the incorporation into the project design of adaptation measures (e.g. 'climate proofing') to the integration of resilient components (projects with components that address climate impacts) and the development of climate resilience projects (dedicated projects that arise mainly because of the need to address climate impacts). As identified in the funding proposal, these projects will focus on enhancing resilience in the following thematic areas: (i) health, food and water security; (ii) infrastructure and the built environment; (iii) livelihoods of people and communities; and (iv) ecosystems and ecosystem services (see annex 25A to the funding proposal: project selection tool priorities).

25. **Triple bottom line.** Given the Project GAIA portfolio investment strategy and list of priority climate projects, the GAIA Platform will deliver a triple bottom line. The first bottom line is increased resilience of communities, people and livelihoods due to the reduction or avoidance of losses of life from disasters, minimization of disruptions and promotion of effective recovery. The second is the unlocking of economic potential by investing in resilient built infrastructure and critical ecosystem resources (e.g. water, land, forest, marine ecosystem). The third is the shared positive co-benefits of the increased climate resilience of interlinked communities, ecosystems, infrastructure and investments along the business value chains.

26. **Transfer of best practices and knowledge on climate investments to developing countries.** For public as well as private sector stakeholders in NOL countries, the GAIA Platform, if established and managed effectively, could lead to the development and adoption of best practices and approaches in structuring climate financing and investments dedicated to risky emerging markets, thus resulting in more sustainable sources of climate finance that can complement the existing climate finance sources from traditional providers (e.g. MDBs). The huge impact of the learning-by-doing approach under the GAIA architecture may very well lead to lessons learned on (i) how to mitigate the issue of physical and transition risks among the private sector investors and public asset managers; (ii) how to mainstream impacts of climate change to enhance investment or financial viability among institutional investors (public and private); and (iii) how to find more innovative ways to scale up successful pilot adaptation projects with local or regional development partners (via climate-linked public–private partnerships).

1.1.2. Risk to adaptation.

27. Three key features of Project GAIA stand out in managing the project risks of maladaptation and weak adaptation impacts, as follows:

(a) First is the strong governance structure of the GAIA Platform. The Project GAIA investment process checklist details the key steps in project origination, screening of preliminary approval, due diligence, development of full proposals, final approval, documentation and signing, and loan monitoring (see annex 21B to the funding proposal: GAIA investment process checklist). As described in annex 25A (project selection tools), the system essentially mirrors the GCF investment assessment criteria such as country ownership and needs of the recipients (pre-screened under "alignment with national climate finance facilities"), climate rationale/impacts (covered under "prescreening of climate projects" and "assessments of project's physical risks, adaptation elements and beneficiaries") and sustainable development potential (pre-screened under "environmental and social criteria"). This is supplemented by other processing steps and tools within the GAIA Platform such as impact and environmental, social and governance (ESG) analysis; impact analysis pertaining to an "analysis of the alignment with Project GAIA's climate change objectives + proposal for key performance indicators (KPIs) and listing of missing information that requires additional data/assessment by advisors to confirm the expected impact (which may be needed prior to the loan signing, as well as on an ongoing basis)"; and ESG analysis pertaining to "analysis of ESG risks" plus "proposal for any ESG risk KPIs (if relevant) and suggested additional data/assessment by advisors (which may be needed prior to the loan signing, as well as on an ongoing basis)". This is where the high-level details on the climate rationale and main ESG risks will be tackled. It is important to note that the Climate and ESG Committee (CESG Committee) will have approval power within the governance structure; a transaction does not proceed to Credit Committee approval without CESG Committee approval;

(b) The second is the collaboration with origination and technical assistance partners under the partnership ecosystem (see annexes 2A on feasibility studies and 2B on working indicative pipelines). These partners are the on-the-ground experts in each country at the national and/or subnational level, which have already been engaged with the target NOL countries (especially with the national designated authority, other relevant ministries and local executives) for various climate-related initiatives (policy, technical assistance, capacity-building, policy support, and pilot project conceptualization and implementation). MUFG will be collaborating closely with these origination partners and transaction co-financiers in various stages of project lifecycles, as appropriate, or under a fit-for-purpose working arrangement. However, if the partnership ecosystem does not get traction from the targeted partners on the ground, this may impede the acceleration of transition of LDCs and SIDS towards climate-resilient development pathways, dilute triple bottom-line impacts among target beneficiaries and limit the transfer of best practices and knowledge on climate investments to developing countries.

(c) The third is the package of templates and suite of technical services for project preparation to risk management (see para. 11 above). These services ensure that each GAIA Platform project selected and implemented will be viable, technically and financially, and sustainable as a climate project. The funding proposal also highlighted the technical capacity for formulating a climate adaptation project through the illustrative project theories of change for climate adaptation projects. The presentation mirrors the GCF approach in conceptualizing an adaptation project, thus ensuring similarities in how GAIA Platform projects would be formulated.

1.1.3. Mitigation co-benefit.

28. The mitigation impact of Project GAIA is fostering a just transition to a low-carbon development pathway. The target priority sectors for mitigation are renewable energy, energy efficiency, waste and wastewater, and transport.

29. The total GHG emission reduction estimates amount to 1,018,450 t CO_2 eq annually and 30,553,503 t CO_2 eq over the 30-year lifetime of the project. This is broken down as an estimated reduction in emissions of 18,260,908 t CO_2 eq from energy projects and 12,292,596 t CO_2 eq from low-carbon transport (see annex 22A to the funding proposal on GHG emission calculations).

30. GAIA uses the International Financing Institution Technical Working Group data set for the emission factor referenced for the GAIA Platform's estimated mitigation amount.

1.1.4. Risk to mitigation.

31. Risk to mitigation may arise from weak monitoring, reporting and verification plans. However, this is mitigated by the strong governance structure discussed in paragraph 27 above.

32. Overall, if Project GAIA follows its strong governance structure, the mitigation impact potential can be high.

1.2 Paradigm shift potential *Scale: High*

33. From the perspective of investors, the potential paradigm shift that Project GAIA will bring is the new business approach to investment and execution among large global institutional investors in the area of climate mitigation and adaptation in emerging markets, especially LDCs and SIDS.

34. Private sector finance has always been sought after by development partners and developing countries (i.e. sovereign, sub-sovereign and quasi-sovereign corporates and agency borrowers) in the field of climate investments. However, the various issues and barriers affecting investment safety (e.g. credit, foreign exchange risk, poor access to local information), liquidity (e.g. small size of market) and yields (e.g. high origination costs) faced by these global investors hindered their entry into emerging markets and often focused on more secure investments under a public–private partnership scheme or private infrastructure.

35. Through the suite of technical assistance and de-risking measures offered by the GAIA Platform, these traditional large global institutional investors and philanthropic institutions would be able to meet their needs for investment safety, liquidity and yields. Most of all, the GAIA Platform would enable investors to not only achieve commercial returns, but also meet the evolving needs for impact investing in the area of mitigation (net zero goals) or adaptation, focusing on promoting the climate-resilient development of infrastructure and business value chains; and/or increasing the climate resilience of critical ecosystems (e.g. water) that form part of resource chains in the energy and agriculture sectors; and/or (iii) increasing the resilience of people and communities through improved livelihood and business value chains (e.g. tourism) or social infrastructures (e.g. health, education).

36. From the perspective of the LDCs and SIDS, the paradigm shift is the creation of a more sustainable investment modality dedicated to attracting climate finance from large global institutional private sector investors, a reduction in the overreliance on official development assistance (ODA) or a shift away from non-ODA resources.

37. Without the use of sovereign guarantees, LDCs and SIDS may now have the opportunity to leverage their scarce public finance resources to attract more private sector finance for the various climate mitigation and adaptation projects. These countries have been developing and preparing many pilot projects in close collaboration with various MDBs (e.g. Asian Development Bank, the World Bank), development agencies (e.g. United Nations Development Programme), and civil society organizations and non-governmental organizations.

38. Within the framework of climate finance and investments, the GAIA Platform can create a new asset class that is totally and credibly dedicated to climate change adaptation and mitigation investments. The strong governance structure in developing and implementing climate projects in NOL countries will be more credible and eliminate the risk, including the risk of perception, of greenwashing.

1.2.1. Risk to paradigm shift.

39. The failure to achieve a paradigm shift may arise from the weak implementation of the GAIA Platform. However, this is mitigated by the strong governance structure as discussed in paragraph 27 above.

40. Overall, if the GAIA Platform project follows its strong governance structure, the paradigm shift potential can be high.

1.3 Sustainable development potential *Scale: Medium to high*

41. **Sustainable Development Goals.** The funding proposal cuts across several Sustainable Development Goals (SDGs). As per the United Nations, SDG 13 is "intrinsically linked to all 16 of the other Goals of the 2030 Agenda for Sustainable Development." The GAIA Platform aims to achieve the following cross-cutting SDGs: SDG 1 (no poverty), SDG 3 (good health and well-being), SDG 5 (gender equality), SDG 6 (clean water and sanitation), SDG 7 (affordable and clean energy), SDG 8 (decent work and economic growth), SDG 9 (industry, innovation and infrastructure), SDG 11 (sustainable cities and communities), SDG 13 (climate action) and, above all, SDG 17 (partnerships for the goals).

42. **Economic development.** The inflow of private sector investments in the target sectors will always boost jobs and livelihoods. For example, investments in infrastructure development will lead to economic growth, environmental benefits and improved well-being. It is well known as one of the most promising means of generating economic growth and development because of its constructive impact on multidimensional aspects of society.

43. **Environmental co-benefits.** Project GAIA will target decarbonization projects as well as those with the potential to improve air quality, reduce soil and water pollution, and preserve biodiversity, ecosystems and landscapes.

44. **Social co-benefits.** Project GAIA aims to enhance the climate resilience of communities (i.e. improved access to water and food, health improvements, reduced negative consequences of natural disasters on living environments, etc.) and reduce social inequalities by addressing the needs of vulnerable populations, particularly women.

45. **Economic co-benefits.** Project GAIA intends to bring a multitude of economic benefits to the regions in which it will invest. Each investment will support direct and indirect quality employment, alleviate economic damage caused by extreme weather resulting from climate change and expand access to essential sustainable infrastructure for regional economic development, such as clean electricity generation, mass transit, water and wastewater infrastructure enhancement, etc.

46. **Gender-sensitive development impact.** In line with the GCF priority to mainstream gender considerations in climate finance, and recognizing that climate change disproportionately affects individuals in emerging markets, especially women and other vulnerable populations, Project GAIA partners will leverage their experience to develop a robust gender-responsive approach with the intent of advancing equity, diversity and inclusion, whenever applicable. Further information on the GAIA Platform's gender-responsive approach, including a gender action plan, is provided in annex 8 to the funding proposal.

47. **Risk to sustainable development.** The risk to sustainable development is medium. Project GAIA has a strong governance structure; as discussed in paragraph 27 above, these risks will be mitigated mainly through the well-structured investment screening, appraisal and approval process built into GAIA that the projects undergo. Although it is recognized that the fund itself has a strong structure, there is uncertainty about how the Project GAIA Fund will secure economic equity as well as social and gender issues in the projects it funds.

48. Overall, the sustainable development potential is assessed as medium to high if implemented properly.

1.4 Needs of the recipient *Scale: Medium to high*

49. Project GAIA is designed with a minimum funding allocation of 25 per cent to SIDS and LDCs for subprojects.

50. Through the partnership ecosystem, Project GAIA can move anywhere within the public sector space to address, design, collaborate and contribute to the technical assistance and

financing needs of governments using both bottom-up and top-down approaches. It can work at the country level as well as the subnational level. Project GAIA will be able to effectively work with national designated authorities, government agencies and other strategic partners as necessary to develop and finance projects that support the achievement of national climate targets, strategies and policies that are aligned with the goals of the Paris Agreement, including NDCs and national adaptation plans (NAPs).

51. Mitigation and adaptation needs and priority needs of countries.

(a) Project GAIA has a diversified portfolio across countries and invests across five GCF results areas with a 70 per cent adaptation/30 per cent mitigation split at the portfolio level.

(b) As can be seen in Table 5 below, the priorities identified in NDCs of each NOL country cut across all eight GCF results areas. The total number of countries in the portfolio that have identified priorities that match with a particular GCF results area is included in parentheses next to the name of the GCF result area. See table 5.

Table 5: Number of country nationally determined contribution priorities mapped to GCF results areas

ADAPTATION							
Health, food, and water security (19)		**Infrastructure and Built Environment** (18)		**Livelihoods of people and communities** (18)		**Ecosystems and Ecosystem Services** (18)	
Sub-priority	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*
Health	**17**	Nature-based solutions	**12**	Livelihood Resilience	**16**	Biodiversity	**16**
Food Security	**9**	Resilient infrastructure	**17**	Mainstream Disaster Risk Reduction into National Policies	**14**	Ecosystem-based management of terrestrial and freshwater ecosystems	**12**
Water Security	**17**					Ecosystem-based management of coastal and marine zone management	**16**
MITIGATION							
Energy Generation and Access (19)		**Transport (15)**		**Buildings, Cities, Industries, and Appliances (16)**		**Forests and Land Use (18)**	
Sub-priority	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*	*Sub-priority*	*Country Total*
Energy Generation	**19**	Adoption of New Technologies and Approaches	**9**	Buildings	**10**	Forests	**17**
Energy Access	**16**	Modal Shifts	**9**	Cities	**13**	Land Use	**17**
		Sustainable Transport and Infrastructure Planning	**2**	Industries	**13**		
				Appliances	**8**		

*Please note that country portfolio totals do not equal the summation of the sub-priority totals as they are the count of how many countries identified these sub-priorities in their respective NDCs. Countries often stated multiple sub-priorities under one GCF Results Area.

52. The funding proposal also provides additional context on how the needs of the recipients are addressed via the NDCs and NAPs of the Project GAIA target countries. Examples were selected to illustrate how NDC and NAP goals are articulated within each of these documents. The cases were chosen to show a representative sample of analyses of Project GAIA countries from all regions, examples of countries with updated and detailed NDCs and countries with both NDCs and NAPs. As noted, few countries have both NDCs and NAPs.[17] Project GAIA will continue to refine specific projects by working closely with national designated authorities, government ministries and other country representatives. The case studies listed below show indicative examples of the types of sector priorities in which the GAIA Platform will invest in some cases.[18]

53. Needs of the borrowers in NOL countries (sovereign and sub-sovereign)[19]

(a) Sub-sovereign and quasi-sovereign borrowers access climate finance through multilateral institutions, including MDBs and climate funds (e.g. Climate Investment Funds, Global Environment Facility), bilateral development institutions and capital markets. However, the lending policies of each of these institutions often limits the ability of such borrowers to access finance. Climate finance provided by MDBs, climate funds and bilateral institutions often targets sovereign issuers and is constrained by institutional lending requirements that limit the amount of climate finance being accessed by sub-sovereign or quasi-sovereign entities. Through their lending facilities, MDBs can lend in hard (international) or soft (local) currency; however, emerging and

[17] See funding proposal, annex 2, table 9.
[18] See funding proposal, annex 2, table 11.
[19] See funding proposal, annex 2A (market assessment).

frontier economies typically have less access to loans in their local currency owing to foreign exchange risk. In addition to traditional MDBs and development finance institution financing, specific climate funds, such as the Climate Investment Funds, the Global Environment Facility, the Adaptation Fund and the Least Developed Countries Fund, and bilateral development banks also provide various forms of climate financing.

54. In essence, the main development problem that the GAIA Platform is looking to address is the inadequate access to sustainable climate finance for developing countries (i.e. LDCs and SIDS). The GAIA Platform seeks to address these barriers to sustainable climate finance flows (i.e. availability, accessibility, affordability) by establishing an alternative yet innovative platform that will bridge the gap between big traditional global institutional investors and the emerging market for climate investment, initially in LDCs and SIDS. The GAIA Platform does not compete with these traditional funding sources, but in fact complements them.

55. Needs of private sector investors.

(a) The funding proposal has identified specific investment barriers affecting the flow of investments in the target countries and sectors. These include the following:

(i) Weak institutional investment capacities. State-owned firms/enterprises and financial institutions, public–private partnership agencies, cities and regions, and other entities often have limited capacity to manage, structure and negotiate financing solutions to achieve climate impact, especially non-commercially viable options;

(ii) Poor access to local data and information for investment decision-making. Institutional investors have limited knowledge or information pertaining to climate change risk and investment opportunities in these emerging markets. Limited understanding of the macroeconomic context in these countries (e.g. investment barriers such as regulatory, political, economic and institutional weaknesses) constrain private sector investment in climate adaptation and mitigation projects;

(iii) Weak or limited technical capacity on climate finance and investments. Technical guidelines and requirements in integrating climate into green, social or climate bonds or funds are challenging, especially among the LDCs and SIDS. Existing challenges include integrating climate change into the investment or financial models to show the impacts of the ‘business as usual’ and Representative Concentration Pathway 4.5 and 4.8 (with and without adaptation measures) climate scenarios on projects’ revenues, cost of operations, asset valuations, debt servicing, returns and cost of financing; the limited availability of evidenced-based climate data; and optimizing the value of potential carbon revenues to enhance the investment viability of cross-cutting adaptation projects, and securitizing these climate assets;

(iv) Limited market depth and liquidity. The transaction size needed by institutional investors (usually in the range of USD 200–400 million) are not easily available as emerging market debt investment opportunities are often small (within the range of USD 5–75 million); navigating small, distinct investment opportunities can deter institutional investors;

(v) High transaction costs. Origination costs for individually negotiated investments of less than USD 75.0 million can be high;

(vi) High credit risk: often high-yielding with risk-adjusted returns that are not attractive when compared with the entire landscape of credit opportunities; and

(vii) Legal/policy barriers. In many emerging markets, there is an absence of an authorizing environment for many potential sub-sovereign/quasi-sovereign issuers, which lack the legal or policy support to issue debt for their projects.

56. It is worth highlighting that the feasibility study notes that the developers of the GAIA Platform designed it to address several market failures, including those noted above. GAIA's provision of 15-year local currency loans, with risk mitigation and technical assistance, will fill gaps in the climate finance supply and help to build a sustainable market for flows of private climate finance in the future, thus enhancing access to institutional impact-oriented capital.

57. **Needs of vulnerable people and communities.** In table 5, the needs of the vulnerable people and communities are addressed directly through a bottom-up project intervention such as increasing livelihood resilience, or through a top-down approach via mainstreaming disaster risk reduction into national policies. Other cross-cutting project interventions directly and indirectly address the needs of the most vulnerable people and communities by increasing the resilience of ecosystems and ecosystem services, forest and land-use change, health, food, water security, energy access and sustainable transport.

58. **Risk to needs of the recipients.** The Project GAIA financing architecture will innovatively address the sustainable finance issues of availability, accessibility and affordability. However, while this risk is mitigated mainly through the well-structured investment screening, appraisal and approval process that the GAIA has built in and the projects undergo (see annex 21A to the funding proposal), there is still a risk that the proposed GAIA project and its subprojects will not be able to address the needs of the recipients. A weak implementation of the partnership ecosystem in each of the NOL countries may lead to a limited understanding of the needs of the recipients. The absence of clear memorandums of understanding (MOUs) between the identified partners and their willingness to work with the GAIA Platform under the partnership ecosystem during project implementation may impact the needs of the recipients.

59. Overall, if the partnership ecosystem works as planned, the needs of the recipients are assessed as medium to high.

1.5 Country ownership *Scale: Medium to high*

60. **Alignment with national climate strategy and priorities.** The country ownership and alignment features are built into the Project GAIA investment screening and appraisal process. This ensures that each project being approved for sub-funding is fully aligned with national climate strategies and priorities.

61. **Strong local technical and institutional partnerships via the partnership ecosystem.** As discussed in paragraph 27 above, the strategy of collaborating with identified fit-for-purpose strategic partners that have local knowledge, experience and long-standing relationships with the NOL country stakeholders from the national to the subnational level ensures that the climate projects identified and processed undergo close consultation and are worked out with the relevant stakeholders. This ensures that these climate projects are fully aligned with the local development agenda (see funding proposal table 10 on categorization of stakeholders). Table 6 presents the potential list of strategic partners within the partnership ecosystem.

Table 6: GAIA strategic partners

Category	Non-exhaustive list of anticipated entities (may be overlapped)
National government entities	- National designated authority - Ministries of finance - Ministries of environment - Other relevant ministries in view of the thematic area of a specific project - Appointed advisors selected by the government - Local (municipalities, provinces, states, districts, communities) governments and policymakers - Governmental climate change committee and experts

Origination partners	- Private banks - Multilateral financial institutions - Specialized non-governmental organizations - Supranational entities - Local accredited entities (AEs)/direct access entities (DAEs) - Regional AEs/DAEs - Private corporations
Co-financer	- Private banks - Institutional investors - AEs and/or DAEs - Multilateral development institutions
GAIA internal partners	- Capital contributors (including philanthropic institutions) - AE and executing entities (EEs) - AE/EE-hired advisors - Industry-related experts in the governance structure and approval process
Project proponents/borrowers	- Borrowers in accordance with the eligibility criteria of the platform (non-exhaustive): - National government entities - State-owned enterprises (corporate or financial institutions) - Subnational entities - Government-led projects (with private sector involvement)
Technical assistance delivery partner	- Specialized non-governmental organizations and institutes - Independently appointed experts - National government entities - Project proponents
Thematic or industry-related experts	- AE/EE-hired advisors - Government entities within the sector theme - Specialized non-governmental organizations
Civil society	- Community representatives that are impacted by the project (including Indigenous Peoples, women and other minorities) - Civil society organizations - Community-based organizations - Non-governmental organizations - Public sector agencies (representing communities) - Academia

Source: Funding proposal.

62. **Risk to country ownership.** While there is a robust governance structure in place, the weak implementation of the partnership ecosystem may impact the country ownership. The absence of MOUs during submission of the funding proposal, and the risk of securing a limited number of MOUs with the identified strategic partners per NOL country during project implementation may impact country ownership. An additional risk is that, currently, the executive agencies of the specific projects have not been fully identified, and a corresponding capacity assessment is missing.

63. If the partnership ecosystem effectively works as envisioned, the country ownership assessment can be rated as medium to high.

1.6 Efficiency and effectiveness *Scale: Medium to high*

64. **Effective platform.** The GAIA Platform is unique as it enables collaboration between large private sector global institutional investors, public sector partners and philanthropic

institutions to venture into new climate finance areas, adaptation investments and subsectors of various sizes (USD 5.0 million to USD 100.0 million) and work in decentralized partnerships with local governments or public sector borrowers, further away from the high-level or top-down engagements with government authorities.

65. The GAIA Platform is designed to balance the needs of commercial and impact investors in emerging markets (LDCs and SIDS; adaptation) and is thus potentially capable of faster deployment but with strong safeguarding measures in place. The GAIA Platform is able to address the needs of investors quickly and target the urgent need of LDCs and SIDS for climate resources for a just transition.

66. **Strong governance structure.** The strongest point of the GAIA Platform is the CESG Committee. No project gets past this four-member committee unless the majority endorses it for consideration by the Credit Committee.[20] It is important to note that any project must obtain three out of a possible four votes to be endorsed by the CESG Committee, and each member of the committee has veto power that can serve as checks and balances. This means that climate projects that are endorsed for consideration by the Credit Committee are indeed climate-worthy projects and not 'business as usual' projects repackaged as climate projects. Moreover, Project GAIA has a well-prepared and detailed system of business processes, including project origination, processing, appraisal, decision-making and monitoring. Among these templates and models are the project selection tool (see funding proposal, annex 25 A–D), GHG emissions calculation (see funding proposal, annex 22A) and the GHG emissions methodology (see funding proposal, annex 22B).

67. **Adherence to strategy of complementarity and coherence.** The GAIA Platform will not duplicate climate projects in NOL countries and will thus show the potential of its effective deployment where needed. Through its partnership ecosystem and financing architecture, it will complement and build on the successes of other climate initiatives in the NOL countries, including, but not limited to, GCF, the Adaptation Fund, the Climate Investment Funds and MDBs. Gaia Platform will provide incremental finance; provide long-term finance without a sovereign guarantee; engage other sources of funding and financing for parallel financing at the project level; and offer targeted technical assistance as needed.

68. **Partnership ecosystem.** This unique feature of Project GAIA will enable GAIA to act with agility and effectiveness in completing a relevant task carried out in support of project development and implementation. The non-exclusive nature and fit-for-purpose type of partnership will enable Project GAIA to hit the ground running in project origination and the delivery of technical assistance and, over the lifetime of the project, enhance its effectiveness and efficiency once implemented.

69. **Stable and affordable pricing of loan rates for borrowers.** The independent Technical Advisory Panel (TAP) asked how the prevailing financial risks (e.g. depreciating currencies) will impact borrowers' costs (and as a consequence Project GAIA's portfolio of borrowers), assuming that the depreciations of NOL country currencies impact long-term loans, leading to NPLs. The GAIA Platform has a risk mitigation measure for the borrower, which is the use of the MFX Solutions hedging services in all NOL countries; the subsidy for the hedging cost applies only if there a strong sense of the depreciation of a local currency relative to the hard currency (e.g. United States dollars). Project GAIA also emphasized that in terms of pricing, the borrower will not be exposed to any underlying swap or fluctuation throughout the life of the facility. This means that throughout the life of the loan, the price on day one and the cash flows are all determined in the local currency; this does not impact borrowers, as for them it is a fully local currency loan.

[20] The Credit Committee will be composed of four members: (i) a climate expert from the AE; (ii) a climate expert from FinDev Canada; (iii) a climate expert selected through a request for proposal led by the Soros Economic Development Fund; and (iv) an independent climate expert.

70. **Selection of capable Investment Managers.** There are two good choices for the investment manager role. These two candidates will undergo vetting by the AE.

71. **Risk to efficiency and effectiveness.** The funding proposal mentioned a set of parallel financing coming from the following sources:

(a) Parallel technical assistance facility from FinDev Canada (on behalf of the Government of Canada) for USD 50.0 million;

(b) Cost of foreign exchange hedging support facility from FinDev Canada (on behalf of the Government of Canada) for USD 20.0 million;

(c) Second-loss insurance provider for second-loss tranche/insurance to further enhance the Project GAIA Fund from Axa XL for USD 50.0 million; and

(d) First loss reserve account (to be disclosed by the AE).

72. The effectiveness and efficiency of the GAIA Platform will be impacted if the package of parallel financing set out in paragraph 69 above only partially materializes or does not materialize at all.

73. If implemented as planned, the assessment of efficiency and effectiveness is medium to high.

II. Overall remarks from the independent Technical Advisory Panel

74. Project GAIA will be ready to invest once the funded activity agreement is fully agreed. Thus, it simply needs timely approval by GCF to trigger the approval of all funding commitments and the legal incorporation of the GAIA Platform to enter into legal agreements and partnership arrangements with the identified stakeholders within the partnership ecosystem. If the Board approves the GCF funding, this will clear the path for the investors to make commitments in writing to [GCF/the AE] before the funded activity agreement for the programme is signed between MUFG and GCF.

75. The independent TAP endorses this funding proposal for approval by GCF Board subject to the following conditions:

(a) Condition to be met prior to the execution of the funded activity agreement (FAA):

  (i) Delivery by the Accredited Entity to the GCF of a copy of the MOUs entered with its strategic partners in the implementation of the Funded Activity, including the United Nations Development Programme (UNDP), Global Green Growth Institute (GGGI), International Fund for Agricultural Development (IFAD) and any other strategic partners identified by Accredited Entity.

(b) Condition to be met prior to the effectiveness of the FAA:

  (i) Delivery by the Accredited Entity to the GCF, in form and substance satisfactory to the GCF Secretariat, of evidence that the Accredited Entity has established a measurement, reporting and verification (MRV) system for the greenhouse gas (GHG) emissions reductions and removals of the proposed activities that prove to be aligned with the MRV system in the corresponding country(ies).

(c) Covenant to be included in the FAA:

  (i) The Accredited Entity shall ensure that GCF GAIA Holdco SPV's commitment to GAIA does not, at any time, exceed 21% of the total equity and debt commitments to GAIA.

76. To strengthen further the resubmitted funding proposal and ensure clarity of documentation as well as the sustainability of proposed interventions, the independent TAP also strongly recommends that the AE submits a complete and final set of documents that are

satisfactory to the Secretariat prior to the signing of the FAA. One such document is the annex 14A Gaia Fund Term Sheet.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP223)

Proposal name:	Project GAIA ("GAIA")
Accredited entity:	MUFG Bank, Ltd.
Country/(ies):	**Africa:** Benin, Côte d'Ivoire, Ghana, Kenya, Mauritius, Morocco, Tanzania, Togo **Asia:** India, Indonesia, Mongolia, Philippines **Latin America and the Caribbean:** Barbados, Costa Rica, Dominican Republic, Guatemala, Jamaica, Panama, Peru
Project/Programme size:	Large

Impact potential

The AE notes and appreciate the comments from ITAP.

Regarding the risks to Impact Potential highlighted by iTAP, namely I.) *If the partnership ecosystem does not get traction from the targeted partners on the ground, this may impede the acceleration of transition of LDCs and SIDS towards climate-resilient development pathways, dilute triple bottom-line impacts among target beneficiaries and limit the transfer of best practices and knowledge on climate investments to developing countries*, and II.) *Risk to mitigation may arise from weak monitoring, reporting and verification plans*, the GAIA Platform will ensure it mitigates these risks through:

- **Partnership Ecosystem:** The AE will comply with iTAP's conditional requirement of submitting to GCF of a copy of the MOUs entered with its strategic partners in the implementation of the Funded Activity, prior to the execution of the Funded Activity Agreement (FAA).
- **Governance Processes:** GAIA's governance structure thoroughly mitigates any risks related to weak monitoring, reporting and verification plans in which it allows . The Project GAIA investment process checklist details the key steps in project origination, screening of preliminary approval, due diligence, development of full proposals, final approval, documentation and signing, and loan monitoring. Further, the GAIA project selection tools mirrors the GCF investment assessment criteria such as country ownership and needs of the recipients, climate rationale/impacts, and sustainable development potential. Additional processing steps and tools include mandatory, project-level ESG analysis, KPI monitoring and reporting, and the project review and veto power of the Climate and ESG Committee.

Paradigm shift potential

- The AE notes and appreciate the comments from ITAP

We take note of the negative implications of weak implementation and how it could result in failure to achieve a paradigm shift

As described above, the AE believes that GAIA's uniquely strong governance structure and wider ecosystem of partners will mitigate these risks and ensure appropriate implementation of the project as described in this FP.

Sustainable development potential
The AE is in agreement with iTAP regarding Project GAIA's strengths iTAP indicates that although it is recognized that the fund itself has a strong governance structure, there is uncertainty about how the Project GAIA Fund will secure economic equity as well as social and gender issues in the projects it funds. Regarding securing economic equity, the GAIA Platform has a co-benefit of increased number of quality jobs contributing to sustainable and inclusive economic growth that will be evaluated following Technical Assistance implementation of a sub-project within the GAIA Platform. Further, economic and social benefits of a proposed project will be assessed by the Platform's project selection tool during the Due Diligence phase of the GAIA Investment process. Regarding social and gender issues, the GAIA Platform requires that gender analysis and assessment, integrated with social inclusion and diversity considerations, takes place throughout the investment life cycle, from initial screening to approval and over the course of each investment's active life span. The GAIA Gender and Social Inclusion (GESI) assessment and plan (please refer to Annex 8 of the Funding Proposal) sets forth the methodology and approach for addressing GESI within the investment process.
Needs of the recipient
Regarding the risks to Needs of the Recipients highlighted by iTAP, namely; *the risk that the proposed GAIA project and its subprojects will not be able to address the needs of the recipients. A weak implementation of the partnership ecosystem in each of the NOL countries may lead to a limited understanding of the needs of the recipients. The absence of clear memorandums of understanding (MOUs) between the identified partners and their willingness to work with the GAIA Platform under the partnership ecosystem during project implementation may impact the needs of the recipients.* The AE recognizes the importance of the ecosystem and broader stakeholder engagement to ensure that GAIA sub-projects are aligned with the needs of recipients. The AE will produce and act upon Country Origination Strategies for all GAIA countries, that will provide a road map to the in-country landscape, and how projects will be sourced and executed in country. All projects will be originated with country needs in full focus – GAIA will work with national designated authorities, government agencies and other strategic partners as necessary to develop and finance projects that support the achievement of national climate targets, strategies and policies that are aligned with the goals of the Paris Agreement, including NDCs and national adaptation plans (NAPs).
Country ownership
Regarding the risks to Country Ownership highlighted by iTAP, namely; *the weak implementation of the partnership ecosystem may impact the country ownership. The absence of MOUs during submission of the funding proposal, and the risk of securing a limited number of MOUs with the identified strategic partners per NOL country during project implementation may impact country ownership. An additional risk is that, currently, the executive agencies of the specific projects have not been fully identified, and a corresponding capacity assessment is missing.* Noted and appreciated. The AE will follow the conditions from iTAP as to MOU's for main partners prior to the Fund launch. In addition to that, the AE and EE's has designed and identified local key partners to

which we will establish a framework of collaboration too. Based on the matrix of stakeholder mapping – the distribution of partners and stakeholders must be evenly discussed through the NOL Countries to guarantee the platform delivers projects and impact that are aligned with each of the NOL Countries' climate goals and priorities.
Efficiency and effectiveness
Regarding the risks to Country Ownership highlighted by iTAP, namely; that *the effectiveness and efficiency of the GAIA Platform will be impacted if the package of parallel financing set out in paragraph 69 above only partially materializes or does not materialize at all.* The AE recognizes the importance of the parallel financing arrangements for the efficiency and effectiveness of GAIA. These identified partners are in close contact with the AE and EE's in regards to their processes for commitment and delivery of those facilities.
Overall remarks from the independent Technical Advisory Panel: The AE is in full agreement with the conditions included by iTAP which will be reflected in the FAA where relevant. The successful implementation of the ecosystem and financial structure enables that the robust governance structure of the GAIA Platform is fully applied to the investment process. Therefore, the AE appreciates iTAP's raised concern regarding the formalization of relevant agreements with the platform's ecosystem partners. The AE will deliver the requests regarding the specific conditions but also a broader engagement with the PSF secretariat through the FAA negotiation of additional MOU's and/or partners.

Gender documentation for FP223

Project GAIA

Annex 8

GENDER EQUALITY AND SOCIAL INCLUSION ASSESSMENT AND PLAN

February 2023

Table of Contents

GLOSSARY

Accredited Entity (AE)

Approved Projects: Project which has been assessed by GAIA and will be financed

Environmental and Social (E&S)

Environmental and Social Due Diligence (ESDD)

Environmental and Social Policy (ESP)

Environmental and Social Safeguards (ESS)

Environmental and Social Impact Assessment (ESIA)

Female Workforce Participation (FWP)

Foreign Exchange (FX)

Gaia investment platform (GAIA)

Gender Equality and Social Inclusion (GESI)

Gender Equality and Woman Empowerment (GEWE)

Gender-Based Violence and Harassment (GBVH)

Greenhouse Gases (GHG)

Green Climate Fund (GCF)

Human Rights (HuRis)

Indigenous Peoples (IPs)

Investment Manager (IM)

Least Development Countries (LDC)

Nationally Determined Contributions (NDCs)

National Adaptation Plans (NAPs)

Project Entities: Project Issuers which could be borrowers (countries) or intermediaries (e.g., financial institutions) or Executing Entities

Project Proponents: prospect Project Entities proposing a project to GAIA for approval

Proposed Projects: Project which will have to be approved by GAIA to be financed

Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH)

Sponsors: GAIA's main Sponsors, which include MUFG, FinDev Canada

Technical Assistance facility (TA)

The Environmental and Social Policy and Human Right Policy (the Policies)

INTRODUCTION

Climate change is not gender neutral. The economic and physical consequences of a changing climate, such as droughts, floods, extreme weather, rising temperatures and sea levels, will have a greater impact on the poor than on the rich and 70% of the world's poor are women (International Union for Conversation of Nature, 2015). The impacts of climate change on women are complex and inter-related. As Save the Children explains in their 2017 Gender Equality Policy, "Gender inequalities intersect with and exacerbate other factors contributing to marginalization, including age, race, socio-economic class, gender identity, geography, health status and ability" (Save the Children, 2017). CARE offers a nuanced understanding of this intersectionality in the context of climate change in their 2020 report "Evicted by Climate Change: Confronting the Gendered Impacts of Climate-Induced Displacement":

"*The impacts of climate change are felt differently based on one's gender. Three key factors explain why women and girls are more vulnerable than men to the impacts of climate change.*

1. *First, the climate crisis exacerbates gender inequality and makes it harder to achieve gender justice. Women and girls often have an unequal and demanding responsibility to care for children and the elderly which makes it harder and more cumbersome to leave home. Women also face an increased risk of gender-based violence, including domestic violence, forced marriage and trafficking.*
2. *Second, social and cultural norms and barriers mean that women are less likely to be involved in decisions about how to prevent, mitigate and cope with climate change, including leaving their homes.*
3. *Third, women and girls do most of the subsistence farming in poor countries and are the primary providers of food, water and fuel, which become scarce due to climate change. Women are also on the frontlines when it comes to combating climate change. They help protect the food and nutrition security of their families and communities and play a critical role in overcoming the challenges of the climate crisis.*"

It is therefore imperative that climate mitigation and adaptation activities are not only gender-sensitive[1] but additionally include targeted actions that advance gender equality and women's economic empowerment so to be gender responsive[2] and transformative[3]. Project GAIA has been developed by MUFG, FinDev Canada and others (Sponsors) with a strong commitment to gender mainstreaming, equity, diversity and inclusion.

GAIA OVERVIEW

Project GAIA is a blended finance platform that enables sophisticated institutional investors to deploy significant private sector capital in local and hard currency loans to finance climate adaptation, mitigation and cross-cutting projects in Emerging Markets (EMs), including in Least Developed Countries (LDCs) and Small Island Developing States (SIDS) (collectively "Recipient Countries") to help them meet their Nationally Determined Contributions (NDCs) and National Adaptation Plans (NAPs). Co-benefits such as gender, diversity, equality of access, and poverty reduction, will be considered during the due diligence and the evaluation of projects.

These underlying benefits will be reflected in the recommendation to proceed to next steps as described in Annex 6 under "Outcomes of Project Screening".

[1] Attuned to the needs of both men and women.
[2] Adjusting planned activities and operations where the needs of women are different than those of men.
[3] Reaching beyond protection of the status quo to create improved, sustainable outcomes for women.

When project screening identifies the need to revise project components to address or strengthen GESI activities and/or safeguards, specific actions that are to be taken post-approval will be incorporated into a project's Gender and Social Inclusion Action Plan.

When project screening during the Primary ESDD (Phase 2) identifies the need to address or strengthen GESI safeguards and policies, a yellow light option is included in the traffic light system of the investment cycle and the TA facility could be activated to help the Project Proponent getting ready for the assessment phase (Phase 3), where a detailed *Gender Equality and Social Inclusion Assessment and Plan* relevant to the country and project sector should be developed prior to project approval. During the assessment phase, Specific Project actions to be taken post–approval will be incorporated into a project's Gender and Social Inclusion Action Plan (please refer to the section below and Annex 6 ESMS for more details).

GAIA is designed to support the identified national climate priorities of all identified 19 countries (Recipient Countries) as defined by their latest NDCs submitted to the UN Framework Convention on Climate Change (UNFCCC). It aims to address stated adaptation and resilience priorities and the countries' respective GHG emissions reductions priorities and targets. A high-level impact goal relates to financial markets practice change: GAIA's success will leverage both GCF and additional institutional, commercial, and philanthropic capital, to catalyze low-carbon growth in Recipient Countries.

The initially selected Recipient Countries are those where identified climate change impacts are high and resources available to address the challenges these presents are insufficient. Out of 25, 19 of those countries have signed No Objection Letters (NOLs) with the Green Climate Fund and are the Beneficiaries' Countries. Other countries may be added as the platform grows over time, subject to GCF Board approval.

GAIA will support adaptation and resilience priorities of targeted countries while enhancing their effort of becoming more sustainable and inclusive through:

- An innovative, scalable and replicable financing structure; and
- A parallel high-standard Technical Assistance Facility.

At a more profound level, GAIA's funding is meant to enhance each countries efforts to become more sustainable and inclusive and help local populations become more resilient to the adverse effects of climate change, ensuring that Recipient Countries will have stronger and broader access to available financing channels and technical assistance to promote climate-resilient, gender neutral and low-carbon development, thus addressing one of the critical needs identified in the Paris Agreement (Article 2.1 (c)).

GAIA INTEGRATION OF GESI AT PLATFORM AND PROJECT LEVEL

GAIA's GESI assessment and action plan have identified context-specific time-bound actions to ensure that GAIA itself and its approved projects adopt E&S policies (for more details, please refer to Annex 6, (GAIA ESMS) and to Appendix A of this document, contribute to mainstreaming gender equality, human and labour rights, women's empowerment, and broad-based social inclusion (Indigenous Peoples, youth, disabled populations and other vulnerable groups within society as relevant to specific projects), and take all measures to avoid or promptly respond to sexual exploitation, sexual abuse and sexual harassment (SEAH).

At a platform level, GAIA has integrated a GESI lens by:

- Incorporating GESI assessment and plan requirements within its investment cycle as described in Figures 1 and 2;
- Providing a parallel high-standard TA facility for projects which require support in developing those; and

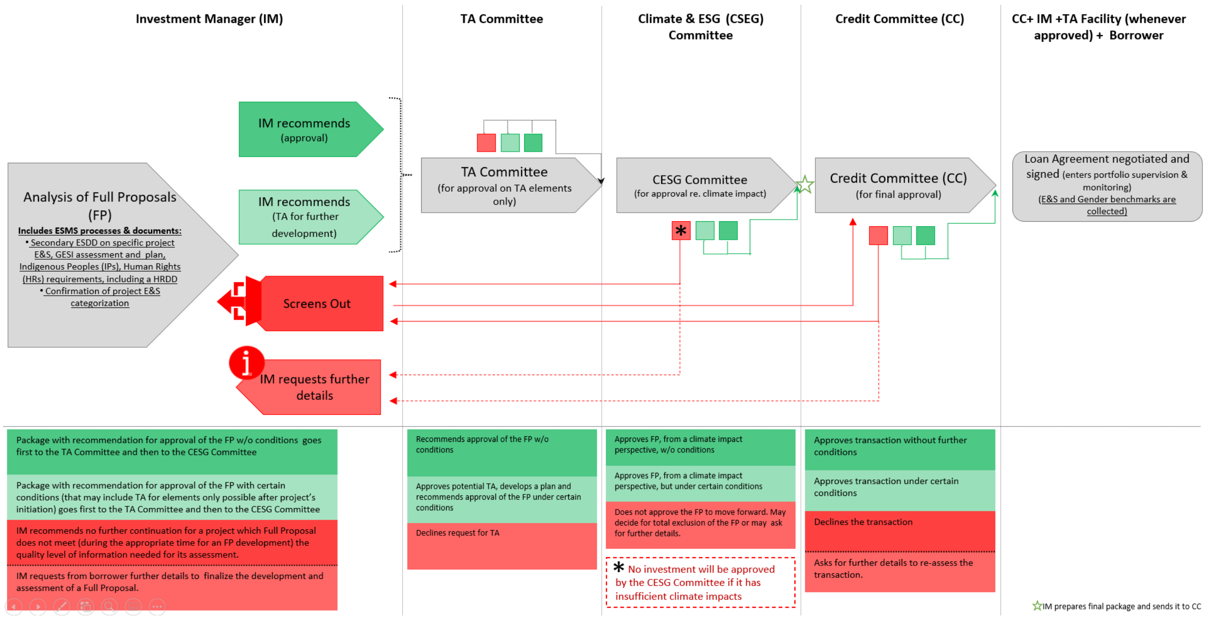
- Establishing specific GESI targets within the GAIA GESI plan described in the last section of this document.

At the project level, GESI will be integrated in each project investment through their GESI assessment and plans.

Recognizing the wide-ranging list of countries and sectors in which the platform will operate, and the variety of potential partner entities involved including Sovereign, Quasi-sovereign and Sub-sovereign entities, GAIA's approach to integrating and promoting GESI in its activities will follow the principle of fit for purpose as per the GAIA E&S Policy. Emphasis will be put on establishing each project's starting point (baseline) and the nature of the implementing Project Entity (sovereign, public-private, private) to identify the type of GESI actions that would be both impactful and feasible in their context.

E&S evaluation of the proposed projects, including GESI requirements, is embedded in each phase of the investment cycle, as shown below, starting with a first Environmental and Social Due Diligence (ESDD) during project screening (Phase 2) and ending with E&S benchmarks monitoring during project implementation (Phase 5).

Additional detail can be found in the sections presented in continuation.



Screening of gender and social inclusion variables begins at project origination and is considered with increasing detail and project specificity throughout the investment process. Social inclusion is here intended as the process of improving the terms on which '*individual and groups take part in the society – improving the ability, opportunity, and dignity of those disadvantage based on their identity*[4]'.

A Gender Equality and Social Inclusion (GESI) Assessment and GESI Action Plan is required of all Project Entities.

In summary:

[4] The World Bank, 2022

- All projects will undergo a GESI assessment which will inform the development and implementation of a GESI Action Plan. The content of each GESI Plan will be adapted to the context, capacity, and level of awareness of the Project Entities on GESI and the specific GESI risks and opportunities identified in the assessment.
- Given the ubiquitous nature of the risk of Sexual Exploitation, Sexual Abuse, and Sexual Harassment (SEAH) and wider Gender-Based Violence and Harassment (GBVH) and the material risk it poses to investments, special attention will be paid to these topics in GESI assessments and in the development of GESI Plans.

A proactive approach to climate, gender and inclusion is indeed possible, as is mapped out in the Gender & Climate Investment: A Strategy for Unlocking a Sustainable Future report.

Projects seeking financing through GAIA undergo extensive climate-related vetting in order to demonstrate their contribution toward National Adaptation Plans (NAPs), but the process of unlocking gender and inclusion co-benefits will often be the result of their interactions with GAIA during the investment process.

Discovery of the national context, followed by the development of more detailed knowledge of specific socio-economic factors relevant to the project's precise geographic location and proposed activities ensures that Project Entities develop an awareness of not only their unique GESI risks, but also the opportunities through which they can strengthen the performance and sustainability of their operations. In this regard, the GAIA Platform is committed to working with Project Entities, providing guidance and resources that contribute to materially relevant GESI assessments and constructive Gender Action Plans with KPIs that support meaningful gender and inclusion responsiveness and transformation over appropriate time horizons.

It is further important that Project Entities fully understand and buy into the GESI commitments that they must undertake in parallel to climate mitigation and adaptation goals.

GAIA APPROACH TO GESI ASSESSMENT

Broadly speaking, the approach to both GAIA and Project GESI assessment draws on international best practices, developed by leading international organizations, such as UN Women and multi-stakeholder initiatives such as the 2X Collaborative. In addition, the platform's GESI guidelines identify sector-specific key resources that will be used when screening projects in a corresponding sector. The goal of the assessment guidelines is to ensure that consistent international standards are applied and are then translated into relevant actions and activities using best practice lenses for specific sectors.

As noted above, the development of GESI assessments and action plans requires the full participation of Issuers and Project Entities. Attaining this level of commitment requires a deep understanding of systemic issues and constraints, as well as the risks and opportunities surrounding context specific GESI issues. The GAIA Platform provides guidance and resources to support these engagements via the parallel TA facility. Where projects fall short of adequate GESI undertakings, the development of GESI action plans through the investment process can remediate these shortcomings where Issuers and Project Entities are willing to engage.

The GAIA approach to GESI begins at initial project screening and moves into significant depth and detail at the Project Entity level during the Secondary Environmental and Social Due Diligence, (*please refer to **Annex 6 (GAIA ESMS), of the Funding Proposal** for more details on the E&S requirements during the investment cycle*).

As part of this process, Project Entities will be required to complete a gender assessment such as the UN Women Empowerment Principles Gap Analysis Tool (WEPs)[5]. 5,640 companies in 146 countries have completed this tool, which serves both to inform their own action and to increase the knowledge

[5] WEPs Gender Gap Analysis Tool, retrieved from https://weps-gapanalysis.org/.

base on which UN Women formulates global GEWE Actions and activities. GAIA has the opportunity to address and enhance the GESI capacity of every project that is financed through its platform, therefore making it important to have requirements that allow for comparison while also incorporating the flexibility necessary to fit the context of a broad range of sectors and sub-sectors across a diverse group of countries.

Other assessment tools and/or services, such as the UNCT-SWAP Gender Scorecard, which measures country level gender mainstreaming[6], and Equilo's[7] GBV Risk Scoring tool for Financial Investments[8] may also be used as part of the GESI assessment process.

The specific tools to be used will be determined on a case-by-case basis, recognizing that some Project Proponents may already be using one or more of the internationally or locally recognized alternatives. In practice, the specific gender assessment tool(s) used may vary from project to project, based on the project proponent's local context, capacity, and level of awareness of gender issues and gaps. At a minimum, project will comply with the GCF "Gender Analysis/Assessment and Gender and Social Inclusion Action Plan Templates"[9].

The core methodology for these GESI assessments is derived from the GCF "Gender Analysis/Assessment and Gender and Social Inclusion Action Plan Templates" and covers "Part I: Gender Analysis/Assessment: Template (Project/Program Level)" based on the guiding questions listed therein and the Gender and SEAH Policy of GAIA.

The GESI assessment includes not only the tools described herein, but also incorporates review and analysis of quantitative data and qualitative evidence, filtered through the lens of resources including, but not limited to:

- 2xChallenge Financing For Women Criteria and the 2X Climate Finance Taskforce Toolkit;
- Addressing Gender-Based Violence and Harassment: Emerging Good Practice for the Private Sector (IFC) including also IFC sector-specific anti GBVH practice guidelines for agribusiness, construction, manufacturing, public transportation and others that may become available in the future (IFC, 2020);
- Gender and Climate Change Guidelines & Tools (UNFCC)[10];
- Guide to strengthening gender integration in climate finance projects, (CDKN, WEDO)[11]
- Inclusive Finance Playbook (ILN)[12]
- Mainstreaming Gender in Green Climate Fund Projects (GCF, 2017);
- Mainstreaming Gender in Mitigation and Technology (UNDP, 2016);

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[6] US Sustainable Development Group, retrieved from https://unsdg.un.org/resources/unct-swap-gender-equality-scorecard
[7] Equilo is a private company that provides action-oriented gender equality and social inclusion analytics and analytical tools to enable organizations to tackle gender equality and GESI through improving efficiency and outcomes. Equilo offers both free open-source analytical tools, such as the GBV Risk Scoring tool referenced above, as well as fee-based advanced analytical products and services.
[8] Equilo website, retrieved from https://www.equilo.io/gbvr
[9] https://www.greenclimate.fund/document/gender-assessment-and-action-plan-annex-8-funding-proposals
[10] UNFCC, Gender and Climate Change Guidelines & Tools, retrieved from https://unfccc.int/topics/gender/resources/guidelines-or-other-tools-for-integrating-gender-considerations-into-climate-change-related-activities-under-the-convention
[11] CDKN, Guide to strengthening gender integration in climate finance projects, retrieved from https://cdkn.org/resource/guide-strengthening-gender-integration-in-climate-finance-projects
[12] https://investorleadershipnetwork.org/en/resource/inclusion-playbook

- Private Equity & Value Creations: A Fund Manager's Guide to Gender-Smart Investing (IFC, CDC, 2020).

The referenced sources are not intended to be a constrained set of resources. The determination of the appropriate suite of analytical tools to be used for gender assessments will be made by GAIA and the Investment Manager (IM), subject to approval by the Climate and ESG Committee and will evolve over time as new resources, standards and best practices emerge.

GAIA is primarily targeting greenfield projects that offer unique and innovative solutions to help pre-selected Recipient Countries, including Least Developed Countries (LDCs) and Small Island Developing States (SIDS), meet their Nationally Determined Contributions (NDCs) and National Adaptation Plans (NAPs).

Approved projects will address stated adaptation and resilience priorities as well as the countries' respective GHG emissions reductions priorities and targets. The greenfield nature of most proposed projects increases the likelihood that the project issuers and or project delivery entity(s) (collectively hereafter "Project Entities") may not be in place at the time the Project Proponents approach GAIA for financing.

In principle, this means that Project Proponents will be required to provide indicative information relevant to the proposed project to GAIA for the purposes of gender and GESI assessment. This information serves as a starting point for the more detailed analysis that takes place during the investment process, as discussed above.

The two main areas to which a gender lens will be applied are 1) at the country level, where economic and climate focused profiles will need to be supported by the addition of gender-related information, and 2) at the sector level, where analysis must be tailored to the characteristics, risks and opportunities of specific economic activities. These two areas are discussed in further detail below.

GESI assessments will take place during GAIA's selection process, as described in detail in Annex 6, the GAIA ESMS. The Project Proponent and, if already established, the Project Entity, are formally responsible for preparation of both the GESI Assessment and Action Plan. The findings of the GESI assessments are intended to serve as inputs for a project proponents' formulation of a GESI Action Plan, with support from GAIA management and the IM. Technical assistance funding may be available through GAIA to support capacity building for select Project Entities with respect to the formulation and implementation of Gender/GESI Action Plans.

GESI COUNTRY ASSESSMENT

GAIA targets primarily sovereign-sponsored, sub-sovereign and quasi-sovereign projects, thus the selection of eligible countries has been the focus of significant research. Detailed information can be found in Annex 2 (Feasibility Study).

The 19 selected Recipient Countries include a total of 14 unique GCF Priority Group countries (African States, SIDS, and LDCs). Selected countries fall into three geographic regions – Latin America, Africa and Asia – and into two descriptive categories for a large part – least developed countries (LDCs) and small island developing states (SIDS). Each of the three geographic regions contains one or more countries that fall into these two descriptive categories, highlighting the fact that selected countries are the most vulnerable to the impacts of climate change and have the least resource capacity to respond to these threats. While GAIA has developed in-depth country climate analytics and profiles and incorporated these in project selection eligibility criteria, including national development indicators, limited gender-specific indicators and analysis are applied at this level.

Because the use of gender-specific indicators at the national level will be quite context specific, GAIA will require Project Proponents to prepare a GESI assessment/analysis for each project and use this information to develop a gender/GESI action plan appropriate to the specific characteristics of the project being presented for financing.

GAIA is intended to serve as a financing mechanism for at minimum the 19 selected Recipient Countries that face high climate risk and have limited resources to address this risk. It is not possible to determine in advance the countries, sectors and sub-sectors in which projects will be presented for consideration, thus the platform must provide indicative guidance and resources.

The two tables below are indicative of the type of high-level data available, through which it can be seen that there are significant differences across countries and sectors, as well as within regions. In Africa, indicators of female workforce participation (FWP) are amongst the highest for Benin, while Morocco has one of the lowest levels of FWP across the group of 19 countries. FWP is not exclusively a function of national economic development, as can be seen by comparing Morocco, with a GDP of $132.7 billion and per capita GDP of almost $3500 (72%) with Benin, which has a GDP of only $17.8 billion and per capita GDP of only $1428 and is considered an LDC (68.8%).

Table 1 Female Workforce Participation

Country	Women's Work Force Participation	Country Categorization
Africa (Sub-Saharan)	**61.3%**	
Africa (Middle East & Northern)	**19.8%**	
Benin	68.8%	LDC
Cote d'Ivoire	44.6%	
Ghana	63.9%	
Kenya	72.0%	
Mauritius	45.0%	SIDS
Morocco	21.6%	
Tanzania	79.7%	LDC
Togo	56.3%	LDC
Asia (East Asia & Pacific)	**58.8%**	
South Asia	**23.6%**	

Country	Women's Work Force Participation	Country Categorization
India	20.8%	
Indonesia	53.8%	
Mongolia	55.3%	
Philippines	47.1%	
Latin America & Caribbean	**52.4%**	
Barbados	61.8%	SIDS
Costa Rica	51.9%	
Dominican Republic	54.3%	SIDS
Guatemala	40.6%	
Jamaica	60.3%	SIDS
Panama	54.9%	
Peru	70.6%	

*Source: (*ILO Estimates 2019)

Data on FWP by sector reveals an even more complex panorama at the national level, as can be seen below. Women's work is often concentrated in services and agriculture, although in countries where cultural obstacles to women's employment are high, FWP is often low across all three sectors. There are, however, exceptions even in this context, with Morocco, a country where FWP is low and culturally constrained nevertheless showing female participation in the agriculture sector at 49.9%. On the other hand, Kenya, with a very high FWP indicator nevertheless has only 29% female employees in industry, as compared to services or agriculture.

Table 2 Female Workforce Participation by Sector

Country	Services	Agriculture	Industry
Benin	63.0	43.4	48.1
Cote d'Ivoire	49.4	33.5	23.4
Ghana	60.1	48.3	40.1
Kenya	42.9	58.1	29.0
Mauritius	43.5	31.4	24.0
Morocco	18.5	49.9	14.7
Tanzania	50.0	51.4	24.7
Togo	54.6	43.5	55.6
India	16.4	28.1	17.1
Indonesia	44.9	36.5	28.5
Mongolia	57.4	47.1	45.3
Philippines	51.1	24.9	22.1
Barbados	56.1	31.6	23.7
Costa Rica	47.8	12.9	22.2

Country	Services	Agriculture	Industry
Dominican Republic	47.5	5.2	20.2
Guatemala	50.2	11.2	30.5
Jamaica	55.2	23.0	17.0
Panama	49.3	23.7	22.4
Peru	53.6	45.3	26.4

Source: (ILO – 2016)

These subtle and complex distinctions across and within countries and regions mandate against a high-level prescriptive approach to gender assessment and action planning at the national levels. Instead, GAIA offers the following guidance, developed using the Asian Development Bank's gender action planning guidelines.

At the country level, GAIA requires Project Proponents, or where such have already been established, Project Entities to conduct a project specific GESI assessment that should include a country overview on gender, providing data on women as percent of the population and the workforce; information on degree of gender parity in education, economics and politics; reference to international commitments on gender, such as being a signatory to the Convention on the Elimination of All Forms of Discrimination Against Women (CEDAW); and reference to national level commitments to gender equality and women's economic empowerment.

As a platform, GAIA country GESI assessment work must begin with comparable data, which presents certain challenges even at the national level. For initial high-level screening, GAIA looks to the sex-disaggregated data compiled and harmonized for the World Economic Forum's (WEF) Global Gender Gap indices and report. The Global Gender Gap scoring system looks at data across four categories: economic opportunity and participation, educational attainment, health and survival and political empowerment. Within each of these categories, the WEF looks at a number of different sub-indicators to calculate the category score. To create and index, the categories are weighted, and a composite score is calculated.

For GAIA's purposes, the category sub-indicators have greater relevance than the category scores. The tables below provide, for each of the selected Recipient Countries, the WEF sub-indicators, which include information on women in leadership and management, literacy rates, educational attainment at the primary, secondary and tertiary levels, prevalence of gender-based violence over a woman's lifetime, healthy life expectancy and the extent to which women participate at different levels of government. In order to highlight the potential risk of making assessments based on available international sex-disaggregated data, the table below also includes the global ranking attained by each country, based on their composite gender score. Costa Rica, for example, ranks 15 out of 156 countries based on scoring criteria and has very high female literacy rates, yet the participation of women in legislative roles, as senior officials and managers at 30%, is barely more than half that in Cote d'Ivoire, which ranks 134th of 156 countries overall.

At this time, sex-disaggregated data related to women's access to clean water, clean energy and other areas in which climate investment projects are expected to produce co-benefits, is primarily available for limited geographic areas (sub-national), where a gender lens focused organization is undertaking pioneering research. For GAIA, this means that the platform must ask each project to assess its potential GESI impact on the relevant co-benefits, understanding that this may require *de novo* field survey research. Over time, as sex-disaggregated data becomes more readily available, the GAIA Platform can expand its country level coverage for climate-investment related co-benefits.

The incipient nature of sex-disaggregated, climate-related data highlights the importance of distinguishing between what the GAIA Platform can offer as general guidance and resource, versus what must be done on a case-by case basis. Once a project begins the due diligence cycle, it is necessary to look more deeply at national and sub-level data, whether or not this information is comparable across countries. For this reason, the GAIA Platform looks at high level data but requires more detailed and in-depth analysis for each project that is considered for investment.

GAIA will ensure that in addition to GESI expertise within the IM, it puts in place the elements it requires to effectively supervise the work of the IM. The precise mechanism for ensuring this supervisory capacity is currently under discussion.

		Economic Opportunity & Participation					Health and Survival	
Country	Global Gender Index Rank (1-156)	Labour Force Participation %	Wage for Similar Work (1-7 best; F/M)	Estimated Earned Income (F/M %)	Legislators, Senior Officials, Managers %	Professional and Technical Workers %	Prevalence of GBV in Lifetime (Women)	Healthy Life Expectancy Years
Benin	123	70.20	5.49	72.00	34.90	75.50	68.60	56.60
Cote d'Ivoire	134	45.50	4.88	55.00	56.90	22.20	25.90	56.50
Ghana	117	65.40	4.90	29.00	33.80	33.90	24.40	59.60
Kenya	95	72.40	4.71	72.00	24.80	35.80	39.40	58.90
Mauritius	110	29.10	3.50	50.00	n.a.	n.a.	n.a.	59.40
Morocco	144	23.40	4.59	24.00	12.80	35.60	30.00	63.70
Tanzania	82	81.10	4.94	74.00	23.30	43.00	41.70	59.30
Togo	105	56.40	n.a.	80.00	70.10	21.60	22.10	57.80
India	140	22.30	3.38	21.00	14.60	29.20	28.70	60.40
Indonesia	101	56.00	4.88	52.00	29.80	49.90	18.30	63.80
Mongolia	69	58.90	5.13	67.00	43.70	54.10	31.20	63.80
Philippines	17	49.10	5.46	69.00	50.50	61.50	16.90	63.90

		Economic Opportunity & Participation					Health and Survival	
Country	Global Gender Index Rank (1-156)	Labour Force Participation %	Wage for Similar Work (1-7 best; F/M)	Estimated Earned Income (F/M %)	Legislators, Senior Officials, Managers %	Professional and Technical Workers %	Prevalence of Gender Based Violence in Lifetime (Women)	Healthy Life Expectancy Years
Barbados	27	75.20	4.78	87.00	45.90	55.10	n.a.	67.70
Costa Rica	15	58.30	4.25	65.00	30.00	43.00	36.00	71.30
Dominican Republic	89	58.50	3.85	52.00	40.40	54.10	20.40	66.10
Guatemala	122	42.50	4.05	47.00	29.70	49.20	18.00	64.10
Jamaica	40	65.80	4.27	63.00	56.70	57.90	19.70	67.30
Panama	44	60.00	4.18	67.00	47.40	52.20	n.a.	70.00
Peru	62	74.10	3.61	63.00	30.30	45.00	33.20	69.80

		Educational Attainment				Political Empowerment		
Country	Global Gender Index Rank (1-156)	Literacy Rate	Enrolment in Primary Education %	Enrolment in Secondary Education %	Enrolment in Tertiary Education %	Women in Parliament %	Women in Ministerial Positions %	Years with Female Head of State (last 50)
Benin	123	31.10	83.60	39.80	7.50	8.40	20.80	0.00
Cote d'Ivoire	134	40.50	86.60	35.10	7.60	11.40	12.80	0.00
Ghana	117	74.50	85.10	58.80	13.60	14.60	25.00	0.00
Kenya	95	78.20	81.70	47.30	9.70	21.60	30.40	0.00
Mauritius	110	43.40	80.90	31.70	3.30	20.30	21.70	0.00
Morocco	144	64.60	97.00	64.50	35.70	20.50	15.80	0.00
Tanzania	82	73.10	82.90	27.30	2.80	36.70	18.20	0.00
Togo	105	51.20	88.30	33.50	9.80	18.70	31.00	0.30
India	140	65.80	93.00	62.40	29.10	14.40	9.10	15.50
Indonesia	101	94.00	91.00	79.90	39.00	21.00	17.00	3.30
Mongolia	69	98.70	95.20	51.30	76.70	17.30	18.80	0.00
Philippines	17	98.20	93.70	71.30	40.40	28.00	13.00	15.80

		Economic Opportunity & Participation					Health and Survival	
Country	Global Gender Index Rank (1-156)	Labour Force Participation %	Wage for Similar Work (1-7 best; F/M)	Estimated Earned Income (F/M %)	Legislators, Senior Officials, Managers %	Professional and Technical Workers %	Prevalence of Gender Based Violence in Lifetime (Women)	Healthy Life Expectancy Years
Barbados	27	75.20	4.78	87.00	45.90	55.10	n.a.	67.70
Costa Rica	15	58.30	4.25	65.00	30.00	43.00	36.00	71.30
Dominican Republic	89	58.50	3.85	52.00	40.40	54.10	20.40	66.10
Guatemala	122	42.50	4.05	47.00	29.70	49.20	18.00	64.10
Jamaica	40	65.80	4.27	63.00	56.70	57.90	19.70	67.30
Panama	44	60.00	4.18	67.00	47.40	52.20	n.a.	70.00
Peru	62	74.10	3.61	63.00	30.30	45.00	33.20	69.80

Source: World Economic Forum, 2021 Global Gender Gap Report. Sources consulted by the WEF in compiling these statistics can be found on pages 73-75 of the report.

In addition, the project-level GESI assessments will include an assessment of women-owned businesses in the project's supply chain or other implementation arrangements and a discussion of relevant sociocultural issues and relations which may include, but are not limited to:

a. Indigenous Peoples;
b. Laws and Policies on Gender Equality;
c. National Mechanisms for addressing WEE, social & gender inclusion;
d. Gender Gaps in Economic Development;
e. Women's Participation in Politics;
f. Education and Youth Livelihoods;
g. Women's unpaid care work, including time-use surveys (when available);
h. Health, Sexual & Reproductive Health;
i. Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH) and other forms of Gender-Based Violence Harassment (GBVH).

Although all the above issues are of general relevance, it is worth noting that that in some proposed projects and in some geographies, there may be no need to cover Indigenous Peoples. In other proposed projects, particularly those that have important climate benefits but little direct impact on the health and well-being of local populations, it may not be necessary to cover health, sexual and reproductive health, whereas for projects related to waste management, sanitation and hygiene, this may be an important topic to cover.

Lastly, with regard to SEAH and GBVH it is required that all workplaces and projects must address this issue in one or more ways, such as anti-sexual harassment and discrimination policies (see the GAIA Gender Action Plan for further information).

With respect to projects, this will also include consideration of SEAH and GBVH issues at the community/beneficiary level in addition to workforce considerations. It is particularly important to look at gender-based violence in the context of safeguarding in sectors, particularly agriculture, infrastructure, and transport, where this is a prevalent and difficult to address concern.

GESI SECTOR ASSESSMENTS

As part of determining project eligibility criteria, climate change related priorities were identified for all 19 selected Recipient Countries. The top two priorities identified by all 19 countries are Health, including food and water security, and Energy, including generation and access. The top priority identified by African States (six countries) and SIDS (four countries) in the portfolio is Health, including food and water security, and all of the LDCs (four countries), which have NDC priorities that align with all GCF Adaptation Result Areas. Most of the eligible country NDC priorities align with the majority of the GCF Result Areas.

As was noted above, there is quite a bit of complexity within the issue of gender equality, social inclusion, and women's economic empowerment within and across countries and regions. This complexity is further exacerbated by sectoral differences in gender equality and women's empowerment, as well as with regard to social inclusion. By mapping NDC and GCF priorities and results areas, GAIA identified the following target sectors and sub-sectors.

Table 3 Positive list for mitigation activities eligible for financing from GAIA

Renewable Energy	Wind Power
	Geothermal Power (only if net emission reductions can be demonstrated)
	Solar Power (concentrated solar power, photovoltaic power)
	Transmission lines for renewable energy
	Second and third-generation biofuels sourced from a sustainable feedstock
Energy Efficiency	Energy efficiency in industry in existing facilities (at least 20% improvement compared to relevant conservative baseline)
	Energy efficiency improvements in existing commercial, public and residential buildings (at least 20% improvement compared to relevant conservative baseline)
Waste and Wastewater	Treatment of wastewater, including wastewater collection networks (renewable energy based for greenfield projects, reduction of GHG emissions for brownfield projects)
	Solid waste management
Transport	Urban mass transit
	Electric and non-motorized transport (bicycles and pedestrian mobility)
	Efficient freight transport (replacement of high-emissions trucking, etc.)

Table 4. Positive List for adaptation activities

GCF Results Area	Activities	Climate Impacts
Ecosystems & Ecosystem Services	Afforestation and reforestation as adaptation opportunity	Flooding, Droughts, Extreme Temperatures, Water Scarcity
Ecosystems & Ecosystem Services	Restoration and management of coastal wetlands	Sea Level Rise, Droughts, Storms, Flooding
Ecosystems & Ecosystem Services	Groynes and breakwaters	Sea Level Rise, Storms, Flooding
Ecosystems & Ecosystem Services	Beach and shoreface nourishment	Sea Level Rise, Storms, Flooding
Ecosystems & Ecosystem Services	Water sensitive forest management	Water Scarcity, Storms, Droughts, Flooding
Ecosystems & Ecosystem Services	Dune construction and strengthening	Sea Level Rise, Flooding
Health, Food & Water Security	Improvement of irrigation efficiency	Droughts, Water Scarcity
Health, Food & Water Security	Rehabilitation and restoration of rivers and floodplains	Droughts, Storms, Flooding, Sea Level Rise
Health, Food & Water Security	Adaptation of drought and water conservation plans	Water Scarcity, Droughts
Health, Food & Water Security	Water recycling	Water Scarcity, Droughts
Health, Food & Water Security	Establishment and restoration of riparian buffers	Droughts, Storms, Water Scarcity, Flooding, Sea Level Rise
Health, Food & Water Security	Improved water retention in agricultural areas	Droughts, Water Scarcity, Flooding

Health, Food & Water Security	Use of adapted crops and varieties	Extreme Temperatures, Water Scarcity, Droughts
Health, Food & Water Security	Conservation agriculture	Water Scarcity, Droughts
Health, Food & Water Security	Desalinisation	Droughts, Water Scarcity
Health, Food & Water Security	Adaptation of groundwater management	Droughts, Sea Level Rise, Water Scarcity
Infrastructure & Built Environment	Climate proofed road design, construction and maintenance	Ice and Snow, Storms, Extreme Temperatures, Flooding
Infrastructure & Built Environment	Adaptation options for hydropower plants	Droughts, Flooding, Water Scarcity
Infrastructure & Built Environment	Adaptation options for electricity transmission and distribution networks and infrastructure	Storms, Ice and Snow, Extreme Temperatures
Infrastructure & Built Environment	Climate proofing of buildings against excessive heat	Extreme Temperatures
Infrastructure & Built Environment	Storm surge gates / flood barriers	Sea Level Rise, Storms, Flooding
Infrastructure & Built Environment	Floating and amphibious housing	Flooding, Sea Level Rise, Storms
Infrastructure & Built Environment	Adaptation or improvement of dikes and dams	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Raising coastal land	Flooding, Sea Level Rise, Storms
Multiple adaptation areas	Cliff strengthening and stabilisation	Sea Level Rise, Storms
Multiple adaptation areas	Seawalls and jetties	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Green spaces and corridors in urban areas	Extreme Temperatures, Flooding, Water Scarcity
Multiple adaptation areas	Agro-forestry and crop diversification	Flooding, Extreme Temperatures, Droughts
Multiple adaptation areas	Water sensitive urban and building design	Flooding, Water Scarcity, Droughts
Multiple adaptation areas	Adaptation of integrated coastal management plans	Sea Level Rise, Storms, Flooding
Multiple adaptation areas	Adaptation of fire management plans	Droughts, Extreme Temperatures
Multiple adaptation areas	Establishment of early warning systems	Water Scarcity, Storms, Droughts, Flooding, Ice and Snow, Extreme Temperatures

The availability of sex-disaggregated data for these sectors and activities is, in many cases, constrained at both the national and international levels, although new research is being conducted and published constantly. An indicative list of current sector-specific sources and resources under development is provided below. Cross-sectoral activities can draw from resources related to the specific sectors applicable to the particular project, as well as to the general, high-level resources referenced above in connection with the GAIA approach to GESI assessment.

Table 5 Indicative List of Specific Sources for Gender-Related Sector Analysis

Sector	**Sources**
Energy	Renewable Energy: A Gender Perspective (IRENA, 2019)

Sector	Sources
	Gender and Renewable Energy, Entry Points for Women's Livelihoods and Employment, Climate Investment Funds (Climate Investment Fund, 2017) Opening Doors: Mapping the Landscape for Sustainable Energy, Gender Diversity and Social Inclusion (Sustainable Energy for All, Wallace Global Fund, 2017) Guide on gender mainstreaming: Energy and climate change projects (UN Women, 2014) ECOWAS Program on Gender Mainstreaming in Energy Access (ECOWGEN)
Waste **Water Supply and Wastewater**	Integrating Gender in Water & Sanitation Projects (IFC, CommDev) Gender & Water and Sanitation Projects (Public-Private Partnerships Legal Resource Center, World Bank, 2022) Gender-Responsive Water and Sanitation Systems (UN Women, 2018) Gender Issues in Waste Management (GDRC) Women's Economic Empowerment and Equality in Solid Waste Management and Recycling (USAID)
Transport	Integrating Gender in Transport Operations (IFC, CommDev, Canada) Integrating Gender Equality into Transportation Sector Operations (Caribbean Development Bank, 2018) Addressing Gender-Based Violence and Harassment in the Public Transport Sector (IFC, 2020)

Proposed projects' level gender assessment is potentially constrained by the availability of quantitative data, meaning that additional recontext-specific sources, including local and national level data, will need to be incorporated into GESI assessments. As part of the investment process, gender issues, will be considered even before approval.

To illustrate the need for context specific goal setting, for a project being designed in a country where women's education levels and workforce participation rates are low, achieving 2X level female participation in senior management (30%) may not be feasible in 5 years, yet it is still important to create specific, realistic time-bound targets. Starting with lower milestones (e.g., achieving 20% after 5 years) might be considered an appropriate mechanism to promote sustainable change over time, depending on the project's starting point. In some cases, setting representation targets might not be appropriate, in which case objectives related to the completion of certain actions (e.g., capacity building activities) could be preferred.

GAIA will encourage Project Entities to mainstream gender equality and social inclusion through an *ex-ante* establishment of specific and action-oriented KPI targets, beginning with a baseline measurement at or before investment approval, with phased progress goals to be achieved over time during project implementation. It is important to note that most Project Proponents, and even some Project Entities, will be sovereign, sub-sovereign or quasi-sovereign entities. Where this is the case, GAIA has only a limited ability to propose changes and the Project Proponent itself may only have limited ability to consider change. For example, labor laws may prevent the Project Proponent from making certain gender-or social inclusion related commitments in which case GAIA may not require such commitments.

As a result of the secondary due diligence (ESDD) gender and social inclusion assessment, project specific requirements are developed to be codified post approval in a project level gender and social inclusion action plan. These will include information on actions to be taken (such as training, establishment of an anti-sexual harassment policy, as well as project specific goals, etc.) and indicators that make it possible to show the extent to which progress is being achieved. GAIA, through the IM or directly to the Project Proponent, may make recommendations regarding further assessment or analysis over time to support GESI Action Plan implementation. In some cases, technical assistance funding may be available for this purpose.

GENDER IMPACT REPORTING & OTHER GENERAL PROVISIONS

GAIA will require annual reports on project gender equality and social inclusion (GESI) activities including the GESI Action Plans, together with other information required on E&S and impact and will report to the GCF. Please refer to M&E Annex 11 of the Funding Proposal for more details.

GAIA will work to ensure that the social and economic benefits that the stakeholder groups of its approved projects derive from their operations will be distributed on an equitable basis considering the needs of the various groups and noting that such needs may vary between the groups. Within this broad context of ESG, impact and inclusion, through its actions, processes and policies, GAIA commits to promote the following types of changes in behaviors and practices:

- Encouraging (and creating an enabling environment for) women's economic participation as leaders, employees, and suppliers by promoting the adoption of gender-inclusive practices in the workplace and in supply chains;
- Promoting access to gender-responsive products, services and approaches in clean energy, climate-smart agriculture and food systems, and nature-based solutions for women customers and end-users to more equally access and benefit from these resources;
- Advocating for gender-responsive safeguards to prevent and address unintended or negative impacts on women workers, users, and communities;
- Promoting principles of inclusion to gender-responsive products and safeguards such that the needs and rights of Indigenous Peoples, youth, persons with disabilities and other vulnerable populations are addressed in parallel to considerations related to gender.
- Assessing, avoiding and preventing any risks or potential adverse impacts on women, men, girls and boys regarding Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH); and in case of SEAH incidents occurs to establish a survivor-centered and gender-responsive grievance redress mechanism.

With the exception of safeguarding and compliance with GAIA E&S and Human Rights policies, including Gender and SEAH policies, not all GAIA projects will be expected to contribute to all of the GEWE objectives stated above. Additionally, the degree to which a project contributes to these goals will vary across countries and sectors. The underlying principle is to support progress toward these goals rather than to prescribe the level of progress to be attained. The identification of which GESI objectives are most relevant and appropriate for each project will be done in collaboration with the Project Proponent and the Project Entity (if already established) during the development of the GESI action plan.

GAIA will be operated by an Investment Manager (IM). The IM, under the oversight of the Credit Committee, will implement all relevant elements of the Environmental and Social Management System (ESMS) and the GESI Action Plan. GAIA, at the platform level, will implement appropriate measures to ensure that it has the ability to supervise effectively the work of the IM in this regard. Specific mechanisms for ensuring supervisory capacity are under discussion at this time.

The IM will allocate responsibilities and appropriate resources for the effective implementation of this GESI Plan and GAIA Policies.

GAIA will include a parallel TA facility, supported by FinDev Canada, to help structure transactions as well as bolster the capacity of sponsors and operators in the areas of project development, sustainability practices and impact management. FinDev Canada will share learnings from providing gender action technical assistance to its clients to ensure that this GESI action plan is implemented.

Approved Projects GESI impact reporting requirements will be included in each project's gender action plan. GAIA will provide its investors with annual reports on financial, ESG, impact and gender-related impact performance, which Project Entities are required to provide. We note that the preparation of GAIA's reports ultimately relies on the timely submission of proposed project level reports from Project Entities. GAIA will work to ensure compliance with these reporting requirements, as with all other requirements.

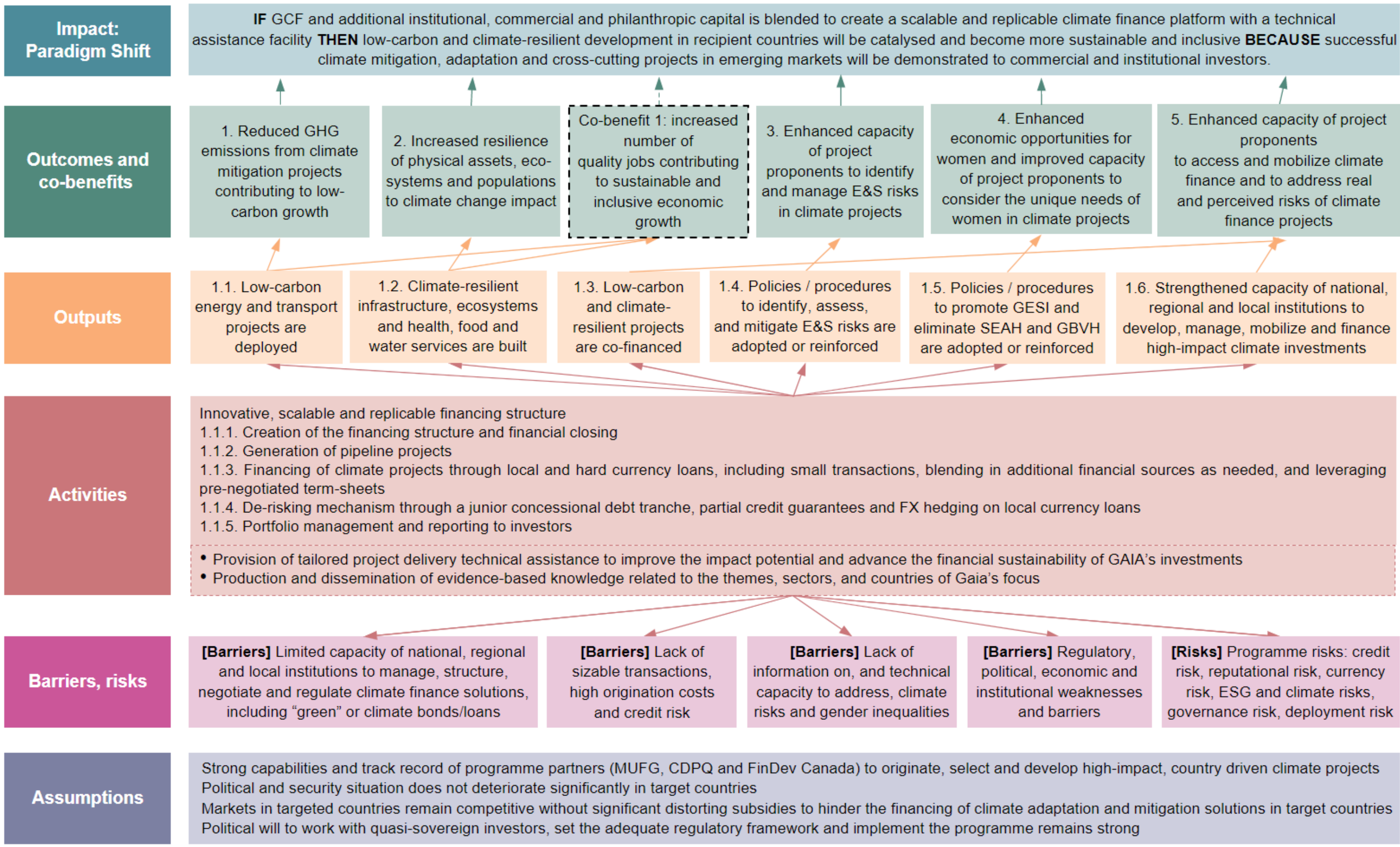
GESI ACTION PLAN

GAIA GESI Action Plan, which includes platform and project level undertakings, is presented in the next section.

	Impact Statement: GAIA is a blended finance platform that enables sophisticated institutional investors to deploy significant private sector capital in local and hard currency loans to finance climate adaptation, mitigation and cross-cutting projects in Emerging Markets (EMs), including in Least Developed Countries (LDCs) and Small Island Developing States (SIDS) (collectively "Recipient Countries") to help them meet their Nationally Determined Contributions (NDCs) and National Adaptation Plans (NAPs). Co-benefits such as gender, diversity, equality of access, and poverty reduction, will be considered in the evaluation of projects. These underlying benefits will be reflected in the recommendation to proceed to next steps as described in Annex 6 under "Outcomes of Project Screening". Specific actions to be taken post-approval will be incorporated into a project's Gender and Social Inclusion action Plan. GAIA is designed to support the identified national climate priorities of all 19 countries as defined by their latest NDCs submitted to the UN Framework Convention on Climate Change (UNFCCC). It aims to address stated adaptation and resilience priorities and the countries' respective GHG emissions reductions priorities and targets. A high-level impact goal relates to financial markets practice change: GAIA's success will leverage both GCF and additional institutional, commercial, and philanthropic capital, to catalyze low-carbon growth in Recipient Countries. At a more profound level, GAIA's funding is meant to enhance each countries efforts to become more sustainable and inclusive and help local populations become more resilient to the adverse effects of climate change, ensuring that Recipient Countries will have stronger and broader access to available financing channels and technical assistance to promote climate-resilient, gender neutral and low-carbon development, thus addressing one of the critical needs identified in the Paris Agreement (Article 2.1 (c)). In this context, the Gender and Social Inclusion Action Plans of GAIA and of the approved projects it finances will support the core pillars of gender equality and inclusion, in a way that is relevant and appropriate for each project, seeking to encourage increased participation of women in governance and leadership roles, job creation and career progression opportunities for women in the workforce, gender-sensitive capacity building to implement successful climate adaptation and resilience projects and through project level impact benefits, or improvement in women's health, well-being and economic productivity through better and more equitable access to clean air, clean water, clean energy and nutritious food. Statements with regard to gender are also applicable to social inclusion such that the needs and rights of Indigenous Peoples, youth, the disabled and other vulnerable groups are also addressed, where/as applicable in the Gender/GESI Action Plan, proposed outcomes and associated KPIs. The implementation of this GAP will be led by the IM which has been selected in part because of its ability to integrate a gender equality and social inclusion perspective into investment projects, included in similar countries than the ones targeted by GAIA. Since the gender equality and social inclusion perspective is integrated throughout the platform's investment cycle, the monitoring of the development of GESI Assessments and Action Plans will be done alongside the regular monitoring and reporting that the IM will conduct with Project Entities and with the same rigor. The IM will also be able to capitalize on the support, expertise and guidance of the members of the Climate and ESG Committee as well as of GAIA Sponsors which all have policies and initiatives in place on equity, diversity and inclusion. Notably, gender equality and women's economic empowerment (WEE) are strategic priorities for FinDev Canada (who will have a seat on the Climate and ESG Committee) which applies a gender lens to all of their transactions. **Outcomes Statement:**

	The outcome expectations for GAIA reflect the objectives contained within the Preamble to the Paris Agreement "when taking action to address climate change, respect, promote and consider their respective obligations on human rights, the right to health, the rights of Indigenous Peoples, local communities, migrants, children, persons with disabilities and people in vulnerable situations and the right to development, as well as gender equality, empowerment of women and intergenerational equity." Outcomes statements for this GESI Plan therefore relate to the integration of strong gender equality and women's empowerment principles within the targeted climate adaptation and resilience priorities. Drawing on the high-level objectives noted in section 1.1 above, GAIA's targeted outcomes include: • Enhancing the effectiveness and sustainability of climate change interventions and innovations through a comprehensive gender approach, applied both by GAIA and through Project Entities, national designated authorities (NDAs) and focal points, and delivery partners for project implementation; • Promoting gender balance within the Gaia platform and across the Project Entities that it finances, taking guidance with respect to the setting of targets and KPIs from the 2X Criteria and other relevant standards; • Advancing gender equality and women's empowerment through the impacts outlined in project-level gender action plans, incorporating consideration of Indigenous Peoples, disabled populations, youth and other vulnerable population groups within these plans; • Minimizing social and gender-related risks in approved projects through the establishment, support for and monitoring of robust gender action plans at the project level, incorporating safeguarding commitments to reduce SEAH and GBVH; and • Reducing the gender gap of climate change-exacerbated social, economic and environmental vulnerabilities and exclusions through the mainstreaming of gender equality and social inclusion issues within approved projects, with respect both to operations and to project proponents; and • Assessing, avoiding and preventing any risks or potential adverse impacts on women, men, girls and boys regarding Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH); and in case of SEAH incidents occurs to establish a survivor-centered and gender-responsive grievance redress mechanism. **GAIA Level Activities leading to outputs at Project Level:** The presence of a strong guiding policy and strategy, and the formulation of actions in alignment with that policy, have helped development institutions to drive positive practice changes with respect to gender and inclusion. Emulating this success, GAIA aim to demonstrate good practices with respect to the key pillars of gender equality and women's empowerment: Governance, Leadership, Employment, Capacity Building and consumption, interpreted here as better access to clean air, clean water, clean energy, transport, and nutritious food. Except for safeguarding, not all GAIA projects will be expected to contribute to all these areas. The identification of which GESI objectives are most relevant and appropriate for each project will be done in collaboration with the project proponent during the development of the GESI action plan Additionally, GAIA assumes a critical role with respect to Knowledge Generation and Communication, overseeing the collection and analysis of ESG, impact and gender reports, monitoring and evaluating incoming information and publishing findings and lessons learned so that countries,

	companies and investors can all benefit. This rigorous approach to aggregating, analyzing and sharing information supports GAIA's goal of creating a replicable structure for mobilizing and offering blended climate finance at scale. At the project level, the fifth pillar of gender equality – consumption – is translated into the concept of access (e.g., to clean energy and clean water). When relevant and available, access oversight is provided by GAIA through monitoring and evaluation of mutually agreed upon KPIs and progress targets. Note that while monitoring and evaluation may be delegated to the IM and/or specialized third-party service providers, the ultimate responsibility for tracking and supporting progress toward GESI goals rests with GAIA itself through its governing bodies. The objectives of the Gaia platform will be achieved through: • The financing of climate projects (both mitigation, adaptation and cross-cutting) through implementing entities who will receive up to 15-year loans in local and hard currency. The loan portfolio, capitalized with a senior (80%) and junior and mezzanine insurance tranche (20%) tranche, will benefit from de-risking through currency hedging. • Technical Assistance Committee, and other appropriate governance bodies committees that may be established, will ensure that, technical assistance approved for specific Project Entities will include required support for GESI assessment and action planning as indicated in the respective technical assistance proposals. The parallel Technical Assistance Facility, which is still under development, is not explicitly contemplated in the following GESI plan, which is specifically focused on the GAIA Platform and its project level activities. The majority of the activities in the FP have the potential, through gender assessments that serve as diagnostics and gender action plans that catalyze practice change, of establishing gender mainstreaming approaches/activities and in return gender outcomes which are transformative. A visual representation of this can be found in the GAIA theory of change, shown below.


Impact: Paradigm Shift
IF GCF and additional institutional, commercial and philanthropic capital is blended to create a scalable and replicable climate finance platform with a technical assistance facility THEN low-carbon and climate-resilient development in recipient countries will be catalysed and become more sustainable and inclusive BECAUSE successful climate mitigation, adaptation and cross-cutting projects in emerging markets will be demonstrated to commercial and institutional investors.
Outcomes and co-benefits
1. Reduced GHG emissions from climate mitigation projects contributing to low-carbon growth
2. Increased resilience of physical assets, eco-systems and populations to climate change impact
Co-benefit 1: increased number of quality jobs contributing to sustainable and inclusive economic growth
3. Enhanced capacity of project proponents to identify and manage E&S risks in climate projects
4. Enhanced economic opportunities for women and improved capacity of project proponents to consider the unique needs of women in climate projects
5. Enhanced capacity of project proponents to access and mobilize climate finance and to address real and perceived risks of climate finance projects
Outputs
1.1. Low-carbon energy and transport projects are deployed
1.2. Climate-resilient infrastructure, ecosystems and health, food and water services are built
1.3. Low-carbon and climate-resilient projects are co-financed
1.4. Policies / procedures to identify, assess, and mitigate E&S risks are adopted or reinforced
1.5. Policies / procedures to promote GESI and eliminate SEAH and GBVH are adopted or reinforced
1.6. Strengthened capacity of national, regional and local institutions to develop, manage, mobilize and finance high-impact climate investments
Activities
Innovative, scalable and replicable financing structure
1.1.1. Creation of the financing structure and financial closing
1.1.2. Generation of pipeline projects
1.1.3. Financing of climate projects through local and hard currency loans, including small transactions, blending in additional financial sources as needed, and leveraging pre-negotiated term-sheets
1.1.4. De-risking mechanism through a junior concessional debt tranche, partial credit guarantees and FX hedging on local currency loans
1.1.5. Portfolio management and reporting to investors
• Provision of tailored project delivery technical assistance to improve the impact potential and advance the financial sustainability of GAIA's investments
• Production and dissemination of evidence-based knowledge related to the themes, sectors, and countries of Gaia's focus
Barriers, risks
[Barriers] Limited capacity of national, regional and local institutions to manage, structure, negotiate and regulate climate finance solutions, including "green" or climate bonds/loans
[Barriers] Lack of sizable transactions, high origination costs and credit risk
[Barriers] Lack of information on, and technical capacity to address, climate risks and gender inequalities
[Barriers] Regulatory, political, economic and institutional weaknesses and barriers
[Risks] Programme risks: credit risk, reputational risk, currency risk, ESG and climate risks, governance risk, deployment risk
Assumptions
Strong capabilities and track record of programme partners (MUFG, CDPQ and FinDev Canada) to originate, select and develop high-impact, country driven climate projects
Political and security situation does not deteriorate significantly in target countries
Markets in targeted countries remain competitive without significant distorting subsidies to hinder the financing of climate adaptation and mitigation solutions in target countries
Political will to work with quasi-sovereign investors, set the adequate regulatory framework and implement the programme remains strong

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
GAIA Activities: innovative, scalable and replicable financing structure and parallel high-standard technical assistance facility				
Inclusive and gender balance in GAIA Governance:	• GAIA will seek gender balance in governing bodies and decision-making over time starting with a 30% of women in governance positions at year 1.	Year 1	GAIA Sponsors (MUFG, FinDev Canada)	No additional costs
	• Gender balance and representation at the project level is the operational responsibility of the IM. GAIA will ensure that it has in place effective supervisory capacity to oversee the work of the IM in this regard.	Year 1	GAIA Sponsors (MUFG, FinDev Canada)	Mechanisms for ensuring GESI supervisory capacity at the platform level are still under discussion, however, to the extent that GAIA will hire specialized staff or make use of external consultants, these costs will be included in the GAIA annual operating budget.
	• IM adopts the GEWE/GESI commitments of GAIA, or provides evidence of comparable existing internal policies, and ensures compliance with these commitments and by integrating within the investment approval and implementation processes that project level GEWE/GESI requirements are met by Project Entities. IM will approve 100% of the GEWE/GESI policies requested by GAIA Management	Year 1, with screening for GESI readiness as part of the IM selection process	IM	No additional costs

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
	during implementation and prior to the commencement of funding activities;			
Knowledge Generation & Communication	• Impact reports will present sex-disaggregated data, distinguishing between absolute numbers, comparative numbers (i.e., women employees as percent of workforce, not just the number of jobs held by women) and achievement of progress targets;/ One annual impact reports to include sex-disaggregated data on leadership, workforce and project beneficiaries; • Gender-sensitive language is used in reports, training materials and publications/ Key policies, updated as needed, related to ESMS, impact and gender to be made available • In addition to gender, social inclusion, human rights, labour, Indigenous Peoples and sexual exploitation, sexual abuse and sexual harassment considerations are to be incorporated in the knowledge building work of GAIA./ Context-specific undertakings on GBVH and social inclusion to be analyzed within Gender and/or Impact reporting.	Every year As frequently as needed. Every year	GAIA Sponsors (MUFG, FinDev Canada) IM IM	No additional costs anticipated.
	Project Level Outcome/Outputs			
Gender Assessment and Action Plans: GAIA will require that all Project Proponents submit a project/sector	• For 100% of diligenced investment projects safeguards and policies in place will be assessed . • 100% of diligenced investment projects present detailed Gender Assessments; A baseline Gender	During screening as part of the Primary ESDD (Phase 2)	Project Entities, GAIA's IM	Project Proponent is required to include these expenses in its *pro forma* budget.

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
specific gender assessment and a gender action plan that reflects the findings of the assessment. Each of these documents should contain baseline information and realistic, specific, time-bound actions/goals. Gender Action Plans are expected to include relevant and context-specific commitments with regard to social inclusion and the safeguarding of women and vulnerable populations.	Assessment must be completed and presented during GAIA secondary ESDD (using tools such as the UN Women Empowerment Principles Gap Analysis Tool (WEPs)). • 100% of approved investment projects prepare and submit Gender Action Plans./ Gender Action Plans must be prepared and presented on approval and, must contain baseline information but may be implemented over a multi-year period. Progress indicators related to KPIs and metrics are to be specified alongside timeline.	During assessment as part of the Secondary ESDD (Phase 3) At project approval and then for all the duration of the project		Estimated cost of third-party specialist consulting services is $1.2 million for 30 projects. These costs may be for the account of the Project Entity or supported by a technical assistance grant, if so determined by the GAIA parallel technical assistance facility, structure and governance of which is still under development.
It is important to note that, unless otherwise specified, not all projects will achieve all outputs listed below, rather each project will tailor made their own outputs. Also, specific project timeline and target will be established when project GESI Plan will be developed. **It is important to remember that all approved projects will be required, in a manner appropriate to the sector and proposed intervention, to comply with GAIA ESMS and policies and in particular to engage with relevant stakeholders affected by the activities, including women and other vulnerable groups, and to apply a gender lens during all stages of the project cycle, including design, formulation, implementation and monitoring and evaluation.**				

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
For 100% of GAIA approved projects, baseline indicators are required for key GESI considerations. In addition, all projects will formulate progress targets within one year of the date of approval. The definition of progress targets, as used in the table below, is the achievement of a minimum improvement of at least 10% above the baseline for selected priority outcomes in a reasonable timeframe (not more than 5 years) . If 2X eligibility thresholds have been achieved for a priority outcome, progress targets are not constrained by a specific timeline. Note that projects are not required to prioritize equally all the outcome areas indicated below, which align with the 2X framework, but may select other specific relevant priority areas on which to focus. Within these relevant focal points, the minimum 10% progress hurdle in a reasonable timeframe will be applied and monitored.				
Governance: Project Entities will seek to appoint women to Boards and other governing bodies. Project Entities will seek to appoint diverse candidates to Boards and other governing bodies, appropriate to the project context.	• Appropriate progress targets for reaching representative participation of women and minorities overtime to be included within project GESI action plans. • Context-specific objectives with respect to social inclusion to be developed and incorporated into Gender Action Plans./ KPIs for social inclusion objectives will be developed in accordance with context-specific good practices. • Progress targets and specific GESI Plan actions for advancing towards gender balance will be developed in a project-specific context.	• Baseline indicators to be submitted in Year 1 following approval of the Project • Progress targets to be determined in Year 1 and submitted regularly over the life of the project • Social inclusion KPIs to be developed at the earlier of (i) the commencement of project implementation or	• Project Proponents; • Project Entities.	No additional costs anticipated. No additional costs anticipated

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
		(ii) Year 3 of the project life cycle		
Leadership: Approved projects will recruit and promote women to senior management positions where possible.	• Project entities are encouraged to work toward gender balance with respect to women's representation balance in senior management positions over time; • Baseline indicator of women in senior management positions and percentage of senior management positions held by women at launch;	• Baseline indicators to be submitted in Year 1 following approval of the Project	• Project Proponents; • Project Entities.	No additional costs anticipated.
Approved projects will ensure that human resources policies contemplate appropriate career paths and opportunities for career progression are available to women.	• GESI Plans will include specific actions related to creating career progression opportunities for women as applicable; • Progress targets and specific GESI Plan actions on career advancement for women;	• Progress targets to be determined in Year 1 and submitted regularly over the life of the project	• Project Proponents; • Project Entities.	No additional costs anticipated.
Approved projects will encourage the development of women as leaders outside of the project (i.e. in beneficiary communities) as well as within, to the extent relevant and feasible.	• Where possible and relevant, Project Entities will actively seek to nominate female candidates to represent executing and sponsoring agencies in industry organizations and working groups, creating visibility and leadership opportunities; Progress targets and specific GESI Plan actions for advancing towards gender balance over time;	• Specific implementation time frames to be included together with GESI Action Plan progress targets • Specific implementation	• Project Proponents; • Project Entities.	No additional costs anticipated.

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
Approved projects will support diversity and social inclusion at the project level and within communities in which projects are to be implemented.	• Project context-specific targets with respect to social inclusion to be developed and incorporated into Gender Action Plans. Context-specific social inclusion objectives are identified and assigned specific timelines for achieving progress over time.	time frames to be included for all context-specific social inclusion objectives at the earlier of (i) the commencement of project implementation or (ii) Year 3 of the project life cycle	• Project Proponents; • Project Entities.	No additional costs anticipated.
Employment: Project Entities will recruit and retain women in the project company(s) workforce where possible. Project Entities will create sustainable livelihood options for local communities, including women. Safeguarding	• Competencies on gender and gender-sensitive management will be considered during the hiring process and further developed by means of training; HR Manuals incorporate information on gender-sensitive hiring practices, SEAH and GBVH safeguards and such other ESS policies that may be required by GAIA in a project context. • Project Entities are encouraged to increase women's representation in the workforce over time;	• HR Manuals to be ready at the earlier of (i) the commencement of project implementation or (ii) Year 3 of the project life cycle • Baseline indicator to be calculated at the earlier of (i) the commencement of project implementation or (ii) Year 1 of the project life cycle	• Project Proponents; • Project Entities.	To the extent that Project Executing Agencies or Sponsors need to modify their HR manuals in order to be in compliance with Gender, SEAH and GBVH safeguards, this must be done at their own cost. As GAIA will focus on greenfield projects, development of HR manuals for Project Entities will include gender-sensitivity (balancing the needs of women and men) as part of the TOR, thus no additional costs are expected.

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
	Baseline indicator of women in the workforce and percentage of women and men in the workforce at launch; • 100% of approved projects will be required to ensure the safeguarding of women employees and members of vulnerable population groups against violence, sexual harassment, and discrimination. • Progress targets and specific GESI Plan actions on hiring and career advancement for women. Progress targets and specific GESI Plan actions for advancing towards gender balance over time; • Board (or other governing authority approval) of anti-sexual harassment and discrimination policies with appropriate grievance resolution mechanisms.	• Specific implementation time frames to be included together with GESI Action Plan progress targets • Specific implementation time frames to be included for all context-specific social inclusion objectives at the earlier of (i) the commencement of project implementation or (ii) Year 3 of the project life cycle •		
Capacity Building:	• Gender awareness training to be made available to and by Project Entities when required by the findings of their Gender Assessment or ESIA study in line with	• Timeline to follow GAIA reporting	• Project Proponents;	Project Entities include gender related capacity building into

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
Project Entities will develop gender and gender sensitive capacity. Project Proponents will be encouraged to do the same (noting that these are sovereign entities who are not required to follow project level requirements). Project Entities will enable career progression for women by enabling them to level up work-related skills and capabilities. Project Entities will work toward the creation of socially inclusive, diverse workplaces by offering training and advancement opportunities to members of vulnerable populations within the work force.	the IFC PSs; SEAH and GBVH related training to be made available by Project Entities if not already in place. Gender awareness, SEAH and GBVH trainings to be offered on a non-discriminatory basis (i.e., women, men and non-binary employees encouraged and/or required to participate as per Project Entity policy) • Sex-disaggregated reporting of the number and percentage of employees receiving gender awareness training; • Skills-based training for the professional development of female employees, which may include active promotion of existing skills training opportunities to women in the workforce; • Number of women employees receiving skills-based training; percent of total employees receiving skills-based training attributable to women, reported annually • Skills-based training for the professional development of employees in vulnerable population groups, which	requirements, as specified in the FP • Reported annually once project implementation has commenced • Reported annually once project implementation has commenced • Once diversity and social inclusion progress targets are set, results are to be reported annually	• Project Entities.	their unified capacity building plans. Project Proponents may apply for capacity building technical assistance but are expected to cover at least part of the costs incurred from their own budget resources (exact ratio to be determined by the parallel TA Facility).

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
	may include active promotion of existing skills training opportunities to diverse populations in the workforce. • Comparative reporting on career progression of women receiving skills-based training relative to those who do not, reported annually; • Analogous objectives and reporting requirements for diversity and social inclusion related capacity building activities put in place.			
Project Impact Co-Benefits	The GESI Plan for each approved project will designate sector-specific gender and social-inclusion related metrics, drawing on the 2X criteria, IRIS+ gender indicators[13], as well as such others as may be selected by GAIA and the IM. Baseline data will be required as part of the process for determining appropriate metrics and targets. The targets, indicators and timelines described below include the specific co-benefits identified in the FP. Whenever a project GESI assessment identifies potential co-benefits not covered herein, the same principles of establishing baseline data, establishing clear indicators and time-frames and monitoring outcomes will apply to these additional co-benefits.			
Access to Clean Air, Energy, Water and Nutritious Food:	100% of relevant approved projects will increase air quality for local communities including women and vulnerable populations, providing clear indicators and timeframes for monitoring progress toward this co-benefit impact outcome.	• During project due diligence and approval process	• Project Proponents; • Project Entities.	Project Entities are expected to include gender disaggregated reporting within their reporting frameworks *ab initio*, such that additional budget is not required for the provision of gender-related metrics.

[13]CDC, 2XChallenge, GIIN, IRIS+, How to Measure the Gender Impact of Investments: Using the 2X Challenge Indicators in Alignment with IRIS+ , retrieved from https://s3.amazonaws.com/giin-web-assets/iris/assets/files/How-to-measure-the-gender-impact-of-investments.pdf

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
	100% of relevant approved projects will increase access to renewable energy and energy efficiency solutions for local communities, including women and vulnerable populations, providing clear indicators and timeframes for monitoring progress toward this co-benefit impact outcome. 100% of relevant approved projects will improve waste management and/or access to clean water for local communities, including women and vulnerable populations, providing clear indicators and timeframes for monitoring progress toward this co-benefit impact outcome. 100% of relevant approved projects will increase food security and the availability of nutritious foods for local communities, including women and vulnerable populations, providing clear indicators and timeframes for monitoring progress toward this co-benefit impact outcome. 100% of relevant approved projects will take appropriate measures to safeguard project beneficiaries including women and vulnerable populations, providing clear indicators and timeframes for monitoring progress toward this co-benefit impact outcome. Project Entities will provide relevant gender and social inclusion information to support gender assessment as			

	Targets & Indicators	Timeline	Responsibilities	Costs
Output Statements: All Outputs of GAIA as per GAIA Theory of Change				
	part of GAIA due diligence processes and will prepare a comprehensive GESI Plan upon approval. Project Entities will provide annual reporting to GAIA on GESI Plan activities during and throughout project implementation.	Annual reporting unless otherwise specified in the GAIA reporting requirements		

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APPENDIX A GAIA E&S POLICIES

Environmental and Social Policy

This Policy outlines the E&S principles and commitments that serve as guidelines for GAIA. Proposed Projects will be analysed and evaluated according to the potential contribution of the projects' activities.

GAIA is designed to enable investments in projects with specific development and climate priorities such as climate-resilient infrastructure, urban mobility projects, transportation options, renewable energy, reforestation, irrigation, and other agricultural processes (*please refer **Appendix 1 GAIA Proposed Sectors and Activities***).

GAIA's E&S Policy is approved by GAIA's management.

Principles

GAIA's overall approach to this policy is underpinned by principles which include, but are not limited to, the following, and both GAIA and the Project Entities must adhere to them:

1. **Legislation compliance.** GAIA, Project Entities and Approved Projects must comply with all host country laws, regulations and permits, including those laws that implement host country obligations under international law.
2. **Enhanced projects support (Technical Assistance).** Based on available resources, GAIA will support Approved Projects in developing their governance and management system, through TA, guidance, and collaboration with third parties. Where GAIA asks projects to adopt E&S Performance Benchmarks beyond those that are normally adopted in the host country market, it will assess the need to provide appropriate support to stimulate sector or geographic adoption of those standards.
3. **Transboundary risks and impacts.** In case of potential transboundary impacts[14] of GAIA-funded projects, all necessary consultations and due diligence processes, including prior notification and consultations with the relevant stakeholders and addressing their comments, must be carried out.
4. **Scaled risk-based approach.** E&S requirements will be implemented in a risk-based manner and not in a blunt, one-size-fits-all approach. This approach will require that E&S requirements and processes are commensurate with the level of risk and meet the relevant E&S standards.
5. **Fit for purpose.** In line with the Paris Agreement principle of *'equity and common but differentiated responsibilities and respective capabilities in the light of different national circumstances'*[15]*;* and the GCF Fit for Purpose approach[16], in implementing this policy GAIA acknowledges that projects seeking investments in different Emerging Markets (EMs) may face different E&S challenges. This recognition does not change the applicable ESMS or the Performance Benchmarks, nor the accountabilities of GAIA, although a reasonable timeframe for compliance might be required and the parallel TA facility activated.
6. **Mitigation of hierarchy**, seeking to avoid, and where this is not possible, minimize adverse impacts and enhance positive effects on the environment and affected stakeholders.
7. To contribute to the **avoidance of any deterioration in the quality of human life**, the environment and any net loss of biodiversity and ecosystems.

[14] Impacts that cross national borders
[15] https://unfccc.int/process-and-meetings/the-paris-agreement/the-paris-agreement
[16] https://www.greenclimate.fund/sites/default/files/document/environment-social-policy.pdf

8. Honesty, integrity, fairness, diligence and respect in all business dealings by adhering to and requiring financed projects to adhere to the **principles of good corporate governance and integrity standards.**
9. **Transparency, accountability, and disclosure of information.** GAIA will operate in a transparent and accountable manner, ensuring access to relevant information to stakeholders and the public at large.
10. **Vulnerable people or groups engagement.** Approved projects are requested to identify vulnerable people or groups who may be impacted by the project's activity and more attention is requested to meet the priorities and concerns of women and Indigenous Peoples throughout the engagement process. GAIA will use its influence to encourage the respective projects to engage with any affected stakeholder in accordance with the E&S Policy throughout the investment cycle and their activities.
11. **Zero Tolerance of SEAH**. GAIA does not tolerate any forms of SEAH throughout its management, operational and project activities. Sexual Exploitation, Sexual Abuse and Sexual Harassment are an unacceptable behaviour, and violate human dignity generating a culture of discrimination and privilege. In line with GCF E&S Policy, GAIA will prevent and respond effectively to SEAH in a survivor-centred and gender-responsive way, protecting especially those who are in vulnerable positions and situations and survivors of SEAH.

GAIA is committed to tracking and continually learning from GCF and good international practices, collaborating with other development finance institutions and building and sharing knowledge.

Approved Projects are required to structure their E&S guidance to enhance GAIA's capacity to identify and mitigate potential negative impacts, improve stakeholder relationships, and achieve a higher potential for positive societal impact.

GAIA considers investments for those projects which comply with its Policies E&S risks are completely integrated into the platform's due diligence and throughout the whole process of selection, support, monitoring, information disclosure, including SEAH, IPs, Human Rights and gender factors and policies. GAIA undertakes an overarching financing approach based on the assessment of all relevant risks, together with considerations for positive development impact (*please refer to section **ESMS Operational Guidelines during GAIA investment cycle** for more details*).

GAIA has established a protocol to obtain feedback and redress grievances associated with the implementation of the projects' activities (*please refer to the **Grievance Mechanism** section of this report for more details).*

GAIA will make this Policy public (*please refer to the **Disclosure of Information** section of this report for more details).*

Human Rights Policies

GAIA's management reflects, promotes and fulfils universal respect for human rights as recognized by the United Nations Guiding Principles on Business and Human Rights (UNGPs).

GAIA's management commits to:

a) Avoid causing or contributing to adverse human rights impacts through their own activities and address such impacts when they occur.
b) Seek to prevent or mitigate adverse human rights impacts that are directly linked to their projects, operations, products or services by their business relationships, even if they have not contributed to those impacts.

GAIA has incorporated human rights within its due diligence process during the investment cycle to identify, prevent, mitigate, and account for how they address their impacts on human rights *(please refer to section **ESMS Operational Guidelines during GAIA investment cycle**).*

GAIA's processes to enable the remediation of any adverse human rights impacts they cause or to which they contribute are described in the section *Grievance Mechanism*.

GAIA's specific Human Rights references regarding labour, gender, Indigenous Peoples and SEAH are described in the next sections.

GAIA's HuRi Policies are approved by GAIA's management.

Labour Policy

GAIA's reference for Labour Human Rights can be found in the International Bill of Human Rights and the principles concerning fundamental rights set out in the International Labour Organization's Declaration on Fundamental Principles and Rights at Work. Project Proponents must have Human Resources policies in place to communicate with workers and third parties to establish a consistent approach to managing workers across the company. Policies must be clearly written and posted in all places of work in the main language(s) spoken by the workforce.

Policies must include commitments to:

- Fair treatment, non-discrimination, and equal opportunity for candidate projects by complying with the International Labour Organisation Fundamental Convention.
- Respecting human rights, seeking to avoid infringement on the human rights of others, and addressing adverse human rights impacts that financed business operations may cause or contribute to.
- Zero tolerance of Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH).
- Preventing and addressing risks of Modern Slavery, Forced Labour, and Child Labour.

Policies should also include the requirements for:

- A fair and inclusive recruitment plan.
- Workers' terms and conditions of employment.
- Clear, objective and merit-based criteria for promotions.
- Worksite (and accommodation and travel where applicable) plans which consider health and safety, gender, and worker welfare

Gender Equality and Social Inclusion Policy

GAIA's management recognise that climate change disproportionately affects women, Indigenous and other vulnerable population, as set out in the mainstream gender considerations in climate finance of the GCF.

Gender and equality policy is a key component of the GAIA Platform itself, and to discern Project Proponents who generate benefits regarding gender diversity and equality of access. GAIA's management commit to mainstream gender and incorporate equality policies throughout the platform itself, and to ensure its service providers, implementation partners and every project financed by GAIA will adopt and implement gender and equity-responsive approaches.

Gender equality and women's economic empowerment are broad issues that span multiple sectors of the economy and society. For the purposes of the GAIA Platform, high level objectives, to be addressed broadly during Gender Assessment reviews and in more depth through the construction of Gender Action Plans, will set realistic and feasible goals related to the specific country, project issuer and implementing entity's context.

The high-level objectives of the Platform include:

- Encouraging women's economic participation as leaders, employees, and suppliers by promoting the adoption of gender-inclusive practices in the workplace and in supply chains.

- Promoting access to gender-responsive products, services and approaches in clean energy, climate-smart agriculture and food systems, and nature-based solutions for women customers and end-users so that they can more equally access to and benefit from these resources.
- Advocating for gender-responsive safeguards to prevent and address unintended or negative impacts on women workers, users, and communities.
- Promoting principles of inclusion to gender-responsive products and safeguards such that the needs and rights of Indigenous Peoples, youth, persons with disabilities and other vulnerable populations are addressed in parallel to considerations related to gender.

Gender analysis and assessment, with social inclusion and diversity considerations, takes place throughout the investment life cycle: from the moment a project is identified for potential listing on the Platform, throughout due diligence and over the course of each investment's active life span, the analysis and assessment are intended as follows:

- Enhancing gender equality within the process and operations of candidate projects (for more details on gender requirements during the investment cycle please refer to section *ESMS Operational Guidelines during GAIA investment cycle*).
- Ensuring that each component of the proposed project respects the dignity, identity, and integrity of the individuals involved.
- Minimising social, gender-related and climate risks in all processes of the projects by requesting a Gender and Equality and Social Inclusion (GESI) Assessment (for more details on GESI assessment please refer to ***Annex 8 of the Funding Proposal*** and section ***ESMS Operational Guidelines during GAIA investment cycle***).
- Ensuring a GESI Assessment is conducted both during the selection process and over time with further assessments.
- Discerning projects which deliver accountability to both men and women to generate sustainable livelihood opportunities, health and well-being, and resilience against climate-induced risks.
- Projects will be encouraged to:
  - mainstream gender equality and women's empowerment.
  - reduce the gender gap exacerbated by climate change.
  - economically empower women, as well as projects which enhance gender inclusion and diversity practices.
  - maintain a network of equity, diversity and inclusion workforce and ambassadors and/or commit to create a workforce composed of people from different backgrounds, will be recommended.
  - ensure the deployment of institutional equity, diversity, and inclusion action plans for people with disabilities, ensuring their full professional and social development.
  - encourage the development of skills of women, minorities, and people with disabilities.
- Project Proponents are required to demonstrate that equitable opportunities are to be provided to both women and men, and that especially women are to be fully engaged in consultations and decision-making throughout the project processes and operations.

Sexual Exploitation, Sexual Abuse and Sexual Harassment (SEAH Policy)

GAIA has zero tolerance for any forms of SEAH, considering unacceptable behaviour which violates human dignity. Therefore, Project Entities will need to develop and adopt SEAH policies. Adherence to these policies must be a requirement of all project contract and procurement processes and specifically that:

1. Any risks or potential adverse impacts on women, men, girls, and boys are identified as early as possible as part of GAIA financed activities screening and reflected in relevant safeguards instruments (including the ESIA and ESMP as appropriate), and differentiated by gender and age where relevant, including Sexual Exploitation, Sexual Abuse and Sexual Harassment and
    a. The relevant safeguards instruments (including the ESIA and ESMP as appropriate) include measures to enhance gender equality, and to prevent, address and eliminate SEAH.
    b. All measures to mitigate and manage the identified risks and impacts are implemented, monitored, and continuously improved.
    c. Progress and performance are monitored and reported to GAIA.
2. In case incidences of SEAH occur, there are:
    a. Established accessible and inclusive survivor-centered and gender-responsive grievance redress mechanisms in place, with specific procedures for SEAH including confidential reporting with safe and ethical documenting of such cases, that indicate when and where to report incidents, and what follow-up actions will be undertaken; and
    b. Modalities to provide timely referral services and redress to survivors, including as appropriate, medical care, psychosocial support, legal support, community driven protection measures and reintegration.

Indigenous Peoples policy

GAIA's Indigenous Peoples policy complies with the GCF Indigenous Peoples Policy and its Operational guidelines and the International Finance Corporation (IFC) Performance Standard 7 Indigenous Peoples.

Projects will ensure that Indigenous Peoples do not suffer harm or adverse effects from the design and implementation of Project activities. The definitions in *Appendix 3 of the ESMS – Indigenous Peoples Framework* apply. The application of this Policy will not be limited by the absence of legal recognition or identification of Indigenous Peoples by a state. It will also not be limited by the legal status of titling of indigenous lands, resources, and territories.

Projects will be encouraged to:

- benefit Indigenous Peoples in a culturally appropriate manner.
- promote empowerment of Indigenous Peoples.
- economically empower indigenous populations and other vulnerable minorities.
- encourage the development of skills of Indigenous Peoples.

For more details on *Indigenous Peoples' framework* and other relevant deliverables required at Project level, please refer to *Appendix 3 of the ESMS – Indigenous Peoples Framework*.